ENERGY SHOCK: THE FOUR KEYS TO CENTRAL EUROPE'S RESILIENCE

The economies of Central Europe have weathered several shocks since 2020, demonstrating remarkable resilience. In 2025, the US tariff shock had a limited impact on economic activity. In fact, regional growth even accelerated, driven by strong consumer spending. In 2026, the war in the Middle East is once again putting the region to the test, while its fiscal flexibility has been considerably reduced. Uncertainties over the duration of the war are casting a shadow over the economic outlook. In any case, Central Europe can count on four key strengths to weather this shock. Firstly, its direct exposure to risks associated with disruptions in energy and industrial material supplies remains limited. Secondly, and most importantly, the European 'Recovery and Resilience' funds, a significant portion of which will be deployed in 2026, offer significant support. Furthermore, monetary authorities still have some room for manoeuvre and, finally, external liquidity positions, alongside public accounts, are fairly robust. Romania appears to be the most exposed country in the region, yet it is demonstrating resilience.

THE ENERGY SHOCK: INITIAL IMPACTS ARE MODERATE

The initial data for March is largely reassuring. Inflation, driven by fuel prices, has indeed picked up in Central Europe but has remained modest. The deterioration in confidence indicators, such as the European Commission's index and household purchasing intentions, has been limited. In fact, manufacturing PMI indices even saw an uptick in March in Poland, the Czech Republic and Romania.

In the short term, several risks loom large over the region's economy. All Central European countries are net energy importers, with their energy balance deficits ranging from -1.4% of GDP for Romania to -3.6% of GDP for Slovakia. The rising energy bill will therefore have a negative impact on their trade balances. In addition, inflation could rise further. The increase in logistics and input costs (fertilisers, plastics, aluminium, etc.) is likely to be reflected in the prices of food and durable goods. Furthermore, industrial activity, which has been sluggish since 2020, may be slow to recover, held back by rising production costs across all sectors. However, the region, which is highly industrialised, is home to several energy-intensive industries such as the chemical industry, which has contributed between 2.3% in Slovakia to 6.1% in the Czech Republic to manufacturing value added on average between 2022 and 2023[1]. These industries are particularly exposed to the increasing prices of raw materials and energy. The automotive sector, which is particularly significant in the region, accounting between 8.5% of the manufacturing sector's value added in Poland to 23.7% in Slovakia, could suffer from a decline in vehicle sales if the rise in production costs were passed on, in part or in full, to retail prices.

In response, governments in the region have introduced support measures for both households and businesses. These measures remain targeted in order to minimise their impact on public finances. They encompass various initiatives, including caps on the profit margins of energy companies and fuel prices, as well as reductions in excise duties. Poland, Slovakia, Hungary and Romania are currently subject to an excessive deficit procedure, which restricts their fiscal flexibility.

THE FOUR KEYS TO RESILIENCE

Economies relatively shielded from the risk of supply disruptions

Central Europe (excluding Poland) is not heavily reliant on the Middle East for its energy. Poland, which is more exposed, imports 50% of its oil from Saudi Arabia and around 10% of its gas from Qatar. Hungary, Slovakia and, to a lesser extent, the Czech Republic source most of their supplies from Russia[2]. Romania, meanwhile, relies mainly on Kazakhstan and Azerbaijan for its crude oil, while its gas is largely produced domestically. Furthermore, the region's strategic oil reserves, which stood at nearly 90 days' worth in January 2026, are at a satisfactory level. In March 2026, gas stock levels, estimated at one-third of storage capacity, are slightly lower than those recorded during the same period in 2025. At the end of winter, these levels generally fall short of the European target of 90% of storage capacity by late autumn. Countries will need to bring forward their procurement to meet this target against a backdrop of reduced global supply.

Furthermore, the immediate risks of a shortage of key industrial materials are currently limited. In the automotive sector, aluminium derivatives and plastics are sourced mainly from EU member states[3]. The same holds true for the agri-food sector where fertilisers are predominantly supplied from Europe[4].

European funds: a strong driver of growth

European funding designated 'for recovery and resilience', which is primarily earmarked for public investment, provides a significant safety net amid the ongoing energy shock. The economic convergence of Central European countries has been largely supported by European grants. From 2004 to 2024, these countries received EUR 430 billion, equivalent to 20.4% of regional GDP. In 2026, the remaining EUR 56 billion from the Recovery and Resilience Facility (equivalent to 3% of regional GDP) will be available for disbursement. The Czech Republic and Slovakia have already used the majority of this funding. Romania and Poland, meanwhile, are expecting a relatively large share (2.5% and 3.9% of their GDP respectively). In Hungary, the imminent arrival of a pro-European government committed to fighting corruption should quickly pave the way for the release of funds that have been on hold since 2022 (totalling approximately EUR 19 billion, or 8.8% of GDP). However, access to the full amount of the Recovery and Resilience Facility (around 4.6% of GDP)

1 It is the latest data is available

2 The Druzhba pipeline, the Ukrainian section of which has been damaged since late January, is central to the tensions between Ukraine, on the one hand, and Slovakia and Hungary, on the other. It has been repaired, allaying fears of a disruption to hydrocarbon supplies for Hungary and Slovakia.

3 Central European countries source their supplies mainly from Germany, and for its part, Germany has little direct exposure to the Middle East for its imports of aluminium and plastics.

4 Central European countries source their supplies mainly from EU countries and Russia.

Energy shock: Moderate risk in Central Europe

	Energy exposure to the Middle East	Energy trade balance (% of GDP)	Current account balance (% of GDP)	External liquidity	Fiscal deficit (% of GDP)	Under Excessive Deficit Procedure	Average inflation in Q1 2026, %	Currency movements vs EUR since end February, %
Czech Republic	low	-2.7	0.7	Robust	-2.1	No	1.6	-0.5
Hungary	Low	-2.7	1.6	Robust	-4.7	Yes	1.8	2.4
Poland	Medium	-2.4	-0.9	Robust	-7.3	Yes	2.4	-0.5
Romania	Low	-1.4	-7.9	Robust	-7.9	Yes	9.6	0
Slovakia	Low	-3.6	-3.6	Robust	-4.5	Yes	3.7	non applicable

- Energy exposure to the Middle East: green if energy imports are < 20% of the total; orange between 20–60%; red if >60%.
- Energy trade balance: green if the country is a net exporter; orange if the deficit is between 0 and -4% of GDP; red if >-4% of GDP.
- Current account balance as a % of GDP (2025): green = current account surplus; orange = -0.5% to -5%; red = -5% to -10%.
- External liquidity: all EU member states have an external liquidity position considered to be robust; Slovakia, being a member of the eurozone, has access to liquidity facilities should the need arise. Furthermore, these countries have comfortable foreign exchange reserves.
- Budget deficit as a percentage of GDP (2025): green = <-3% of GDP; orange = -3 to -5%; red = >-5%.
- Countries subject to the excessive deficit procedure: orange; green = not subject to the excessive deficit procedure.
- Average inflation in Q1 2026: green = inflation within the Central Bank's target range; orange = inflation slightly above the target range; red = inflation significantly above the target range.
- Fluctuations against the euro since late February: green = stable or appreciation; orange = depreciation between -0.1% and -5%; red = depreciation greater than -5%. Not applicable to Slovakia, which is a member of the eurozone.

HEATMAP

SOURCE: NATIONAL STATISTICS, CENTRAL BANKS, EUROSTAT, ITC, BNPPARIBAS

is not guaranteed. It continues to be contingent on the EU's validation of the necessary reforms by the end of August 2026; otherwise, these funds may be permanently forfeited.

Some room for manoeuvre for the monetary authorities

The appreciation of the region's currencies over the past two weeks, coupled with the so far moderate rise in inflation, gives monetary authorities some room for manoeuvre. The losses incurred by the currencies against the US dollar and the euro from late February to mid-March (ranging from -0.8% for EUR/CZK and -4.2% for EUR/HUF to -2.8% for USD/RON and -7% for USD/HUF) have now largely been recouped. The Hungarian forint has notably appreciated (+2.4% against the euro and 1.5% against the dollar since the start of the conflict), driven by the election on 12 April of a two-thirds pro-European majority in Parliament.

A wait-and-see approach by the region's central banks is likely in the coming months. For now, the scenario of moderate easing, which prevailed before the start of the conflict, is no longer on the cards. However, central banks may revisit this option if inflation and exchange rate movements remain manageable. Monetary tightening does not appear to be on the agenda in Central Europe, contrary to market expectations for the ECB.

Public and external accounts strong enough to absorb the shock

The external financial position of countries in the region is sound, enabling them to withstand shocks. Foreign exchange reserves, which have been rising steadily for several years, have reached very comfortable levels (EUR 572 billion in March 2026). They cover approximately 7 to 8 months' worth of goods imports in most countries[5]. Over the year as a whole, reserves could even continue to grow due to capital inflows, bolstered by European fund transfers, attractive bond yields and the ongoing development of nearshoring activities.

Furthermore, the trade balance of Central European countries, which was either slightly in deficit or in surplus (except in Romania) prior to the conflict in the Middle East, also contributes to the region's resilience. Even in a scenario of a moderate rise in energy costs (our forecasts predict an average 32% increase in the price of a barrel of oil in 2026 and a 30% rise in gas prices), Central European countries would be able to absorb the shock with relative ease. According to our estimates, the impact on the current account ranges from -0.5% of GDP for Romania to -1.1% of GDP for Slovakia.

As for public finances, they have deteriorated since 2020. However, sovereign risk remains limited. Yields on government bonds, which have seen a moderate increase since the start of the conflict, remain well below 2022 levels (the increase stands at between 0.6 and 0.9 percentage points for 5-year bonds since 27 February 2026). In Hungary, yields have even returned to the levels seen at the end of February 2026. The increase in the debt burden is therefore limited.

In summary, Central European countries should prove resilient on the whole despite varying degrees of exposure to the current energy shock. Within the region, Romania stands out as the most vulnerable to the energy shock due to the size of its twin deficits (budget deficit: -7.9% of GDP in 2025; current account deficit: -7.9% of GDP). However, it has a managed floating exchange rate mechanism against the euro, which mitigates exchange rate volatility, and its external accounts are not expected to deteriorate significantly. In March, although the monetary authorities spent around EUR 1 billion to support the currency, Romania managed to increase its foreign exchange reserves, most probably due to the resilience of capital flows. Its energy trade deficit is lower compared with other countries in the region, hence a limited impact on the current account.

Poland, Hungary and Slovakia are among the countries with moderate exposure. Poland, which is reliant on energy imports from the Middle East, could face difficulties in terms of supply and consequently would hamper its industrial activity. Nevertheless, its economy remains robust. Meanwhile, Hungary has low energy exposure and a current account surplus; however, it is relying on a prompt disbursement of European funds. Furthermore, inflation may rise relatively quickly. As for Slovakia, the impact of the shock on its current account is expected to be greater due to its larger energy trade balance compared with other countries in the region. Finally, the Czech Republic is relatively less exposed as it has a current account surplus and significant fiscal room for manoeuvre (it is not subject to an excessive deficit procedure). The country is also less dependent on hydrocarbons from the Middle East.

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5 For Hungary, this ratio is lower but remains comfortable (4.3 months' worth of goods imports). Similarly, countries can access liquidity if needed by virtue of their status as EU member states.

ECONEWS

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

UNITED STATES

The path is now clear for Kevin Warsh to be appointed as head of the Federal Reserve. The Fed is expected to adopt a neutral stance at the next FOMC meeting. The Department of Justice (DoJ) has closed its investigation into J. Powell regarding the cost of renovating the Federal Reserve headquarters. Senator Thom Tillis (Republican, North Carolina) based his decisive vote on this outcome. Consequently, he announced that he would vote in favour of Kevin Warsh's confirmation. Previously, K. Warsh had stated, during his hearing before the Senate Banking Committee, that President Donald Trump had '*never asked him to (...) commit (...) to any interest rate decision*' and '*that he would never agree to that*', reaffirming his position on the management of monetary policy (see our Eco Insight). The upcoming FOMC meeting is likely to see a shift away from the bias towards monetary easing, transitioning to a balanced approach regarding both upside (inflation) and downside (labour market) risks to the policy rate. Retail sales momentum (excluding fuel) remains strong. The core component, which excludes cars and petrol, was relatively stable at +0.6% m/m (-0.1pp) in March. The overall figure rose by +1.7% m/m (+1.0pp), driven by fuel (+15.5% m/m, frontloading). *Coming up: consumer confidence (Conference Board, Tuesday), FOMC meeting, durable goods orders and housing starts for March (Wednesday), Q1 GDP (Thursday), ISM manufacturing (Friday).*

EUROZONE

The energy shock is spreading. Economic activity (as measured by the composite PMI) contracted in April (-2.1 m/m to 48.6) due to the services sector (-2.8 m/m to 47.4). The manufacturing PMI, however, saw an uptick (+0.6 m/m to 52.2) thanks to inventory build-up. The shock to input prices continues (+3.1 m/m to 68.4). This is expected to feed through to selling prices (+3.2 m/m to 57), primarily in sectors that are heavily dependent on oil (notably chemicals). Household confidence fell by a further 4 points (-8 points in two months), reaching -21 in April, nearing its April 2022 level. *Coming up: March monetary aggregates and credit data, European Commission survey (Wednesday), Q1 GDP, inflation figures, March unemployment rate, ECB meeting (Thursday).*

France: Moderate deterioration in business sentiment; more pronounced decline in household confidence. Surveys point to a moderate decline in business sentiment in April, with a score of 97 (-3 points) according to INSEE and 47.6 (-1.2 m/m) for the composite PMI. This drop is primarily due to the services sector (94, down 2 m/m, and 46.5, down 2.3 m/m respectively). Conversely, industry is showing signs of improvement (100, up 1 m/m, and 52.8, +2.8 m/m respectively), which can be attributed to additional purchases (stockpiling) ahead of the rebound in inflation (benefiting the agri-food sector, mainly). Surveys also show that pressure on selling prices is expected to intensify in certain areas of industry and construction, although the services and food retail sectors are likely to remain unaffected. The magnitude of these pressures is still manageable (+0.8% over the next three months in industry, compared with +2.5% in April 2022) and is largely confined to 'other industries', which include inputs (+1.7%, with prices stable in other sectors). Household confidence declined in April (84, down 5 points month-on-month), weighed down by perceptions of rising prices (+23, up 30 points month-on-month), intentions to make important purchases (-36, down 6 points month-on-month) and concerns regarding unemployment (+56, up 7 points month-on-month). The government has frozen EUR 6 billion in spending (EUR 4 billion for the State and EUR 2 billion for Social Security). This should enable it to finance the support initiatives introduced since early April and to mitigate the projected increase in the debt burden in 2026 (EUR 3.6 billion) and a shortfall in revenue. Support will total EUR 400 million, which includes the continuation of fuel purchase subsidies for vulnerable sectors in May and their tension to 3 million households (subject to means and mileage criteria). *Coming up: Q1 GDP and employment figures, inflation figures (Thursday).*

Germany: Mixed signals. The IFO business climate index is at its lowest level since May 2020 (-2 points) at 84.4. This decline is primarily due to negative expectations, particularly in the retail sector. However, activity is picking up in industry (including investment prospects, with the balance of opinion at +0.1 in March compared with -6.9 in December); it is deteriorating in services (mainly logistics) and construction. The composite PMI (48.3, down 3.5 m/m) indicates a contraction in activity, particularly affected by services (46.9, down 4.1 m/m). The manufacturing PMI, however, remains in expansionary territory (51.2, down 0.9m/m). Input price indices continue to rise but remain below 2022 levels. GfK consumer confidence fell again in April (-5.2 m/m to -33.1, marking a drop of 8.5 points in two months) due to a sharp deterioration in income expectations. The government has halved its growth forecasts (0.5% in 2026 and 0.9% in 2027) and raised its inflation forecasts (2.7% in 2026 and 2.8% in 2027). In March, producer prices stabilised (-0.2% y/y, -3.3% in February). *Coming up: inflation (Wednesday), March retail sales, April unemployment rate and Q1 GDP (Thursday).*

JAPAN

Economic activity continues to grow and is picking up pace in the manufacturing sector. The manufacturing PMI rose sharply to 54.9 (+3.3 m/m) in April, with production bolstered by stockpiling purchases. However, the input price index (71.1, +8.9 m/m) and the delivery times index (37.4, -10.6 m/m) fell to levels similar to those seen in 2022. The composite PMI (52.4, -0.6 m/m) was dragged down by services (51.2, -2.2 m/m), although all sectors remained in positive territory. In March, inflation excluding unprocessed food rose to 1.8% y/y (+0.2pp), driven by oil prices (+8.7% m/m). *Coming up: BoJ meeting (Tuesday), March industrial production and retail sales, consumer confidence (Thursday), employment (Saturday).*

UNITED KINGDOM

Inflation and economic activity rebound. Inflation rebounded to 3.3% year-on-year in March (3% in February). Core inflation fell to 3.1% (-0.1percentage points), but producer prices point to a rebound, rising by 5.4% year-on-year (+0.7% in February), driven by rising energy and transport costs. According to the Bank of England's Decision Maker Panel survey, businesses' one-year inflation expectations rose from 3.5% in March to 4% in April (the highest level since December 2023). The unemployment rate fell to 4.9% in February (-0.3 pp m/m), while wage growth slowed (+3.5% y/y weekly, excluding bonuses, -0.3 pp on January). PMIs are improving, with the composite index rising to 52 (+1.7 m/m), as both the services index at 52 (+1.5 m/m) and the manufacturing index at 53.6 (+2.6 m/m) increased. Production and new orders are bolstered by stockpiling purchases, while the technology sectors are driving services growth. Companies report a continued rise in input prices. The GfK consumer confidence index fell by four points to 25 in April, its lowest level since October 2023. Retail sales (+0.7% m/m) were buoyed in March by fuel purchases (+0.2% m/m otherwise). *Coming up: BoE meeting (Thursday).*

Find out more in our scenario and forecasts

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Several Gulf countries, including the United Arab Emirates, are in discussions to establish a currency swap line with the US Treasury. The Emirates' foreign exchange liquidity remains comfortable despite the ongoing conflict (the UAE central bank's foreign exchange reserves stand at over USD280 billion), but such an agreement would bolster investor confidence in the stability of the Emirati financial system.

ASIA

Monetary policy: Status quo in Indonesia, tightening in the Philippines. The central bank of Indonesia left its policy rate unchanged at 4.75% despite downward pressure on the rupiah (-3% against the US dollar since the start of the conflict), as inflationary pressures remain limited (+3.5% y/y in March) and risks to growth are mounting. In contrast, the Philippine central bank raised its key rate by 25 basis points to 4.5%. It forecasts that CPI inflation will exceed the upper limit of its target range (set at 4%) in 2026, and aims to limit the spillover effects of rising global oil and fertiliser prices while anchoring inflation expectations. Monetary tightening could benefit the Philippine peso, which has recorded the sharpest fall against the USD among Asian currencies since the start of the war in Iran (-4.5%).

South Korea: A marked acceleration in real GDP growth in Q1 (3.6% y/y), driven by strong semiconductor exports. All GDP components grew (with the exception of the 'construction' component of investment). The main contribution to growth came from exports (+10.3% y/y in volume terms). Despite the country's high exposure to the energy crisis, strong exports and the support measures announced by the government should mitigate the economic slowdown. In its April forecasts, the IMF maintained its growth forecast at 1.9% for 2026.

EMERGING EUROPE

Türkiye: Monetary status quo. The central bank has kept its key interest rate unchanged at 37%, opting for a wait-and-see approach in the face of the energy shock. Its cycle of rate cuts has been on hold since January. Despite this, the lira has continued to depreciate against the USD. It has fallen by 2.4% since 27 February and by 4.6% since the start of the year.

COMMODITIES

In its latest quarterly report on the gas market, the IEA states that the reduction in liquefied natural gas (LNG) supply from Qatar and the UAE has been partially offset by increased production in the United States, and to a lesser extent in Africa. The market has adjusted through higher prices and reduced demand. In March, imports fell by 3% year-on-year in volume in Europe (the first decline since late 2024) and by 6% in Asia (mainly due to China). Losses resulting from the conflict could reduce the available supply of LNG by 15% over the period from 2026 to 2030 and delay the availability of all additional production that was scheduled before February 2026 by two years.

The spread between the price of a barrel of Dated Brent and that of Brent for June 2026 (the nearest futures contract) continues to narrow, standing at USD7.5/b on 24 April. Brent and TTF prices rose by 13% and 12% respectively compared with Monday 20 April, standing at EUR108/b and EUR45/MWh respectively.

Aluminium prices remain close to their highest level since 2022 (USD3,600/t on the LME) due to a reduction in supply associated with the loss of part of the Gulf's production.

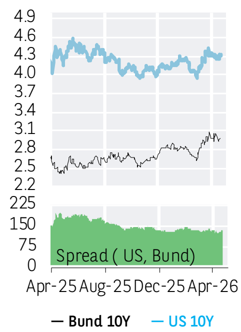
Copper prices are trading close to their all-time high of January 2026 on the European and US markets (at USD13,310/t on the LME), buoyed by concerns over a decline in sulphuric acid supply (the Middle East accounts for 24% of global production) and hopes for an extension of the ceasefire, which would be favourable to growth in copper demand.

MARKETS OVERVIEW

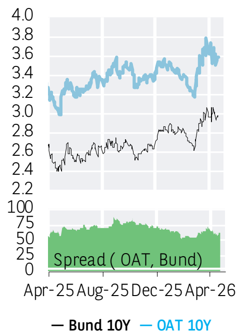
Bond Markets

	in %	in bps			
	24/04/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.52	+14.1	-9.1	+43.4	+80.4
Bund 5Y	2.68	+9.1	-4.7	+21.4	+73.6
Bund 10Y	2.98	+4.3	-1.1	+11.3	+57.1
OAT 10Y	3.59	+8.1	-9.8	+9.1	+60.0
BTP 10Y	3.78	+10.0	-11.5	+28.5	+44.4
BONO 10Y	3.45	+5.9	+0.2	+20.3	+46.6
Treasuries 2Y	3.78	+7.4	-18.9	+29.6	-3.8
Treasuries 5Y	3.91	+7.5	-12.8	+18.6	-1.2
Treasuries 10Y	4.31	-1.2	-7.6	+14.0	+3.2
Gilt 2Y	4.36	+23.7	-12.0	+60.0	+48.0
Treasuries 5Y	4.45	+19.4	-7.7	+59.7	+44.9
Gilt 10Y	4.91	-3.9	-4.8	+47.6	+17.2

Bund 10Y & US Treas. 10Y



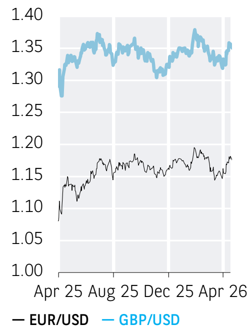
Bund 10Y & OAT 10Y



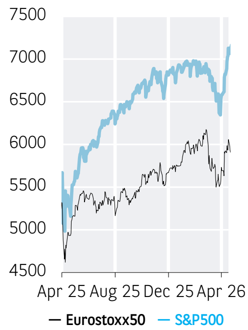
Currencies & Commodities

	Level	Change, %			
	24/04/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.17	-0.9	+1.1	-0.3	+2.9
GBP/USD	1.35	-0.5	+0.9	+0.4	+1.4
USD/JPY	159.50	+1.0	+0.4	+1.8	+11.9
DXY	98.53	+0.4	-1.4	+0.2	-0.8
EUR/GBP	0.87	-0.4	+0.2	-0.7	+1.5
EUR/CHF	0.92	+0.0	+0.4	-1.1	-2.1
EUR/JPY	186.72	+0.1	+1.5	+1.4	+15.2
Oil, Brent ($/bbl)	105.44	+16.1	+1.9	+73.3	+58.3
Gold ($/ounce)	4722	-3.0	+7.0	+9.2	+42.0

EUR/USD & GBP/USD



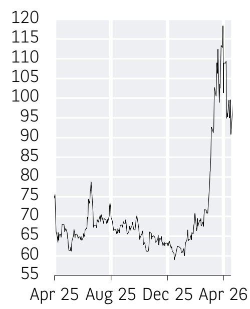
EUROSTOXX 50 & S&P500



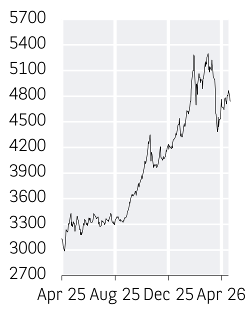
Equity Indices

	Level	Change, %			
	24/04/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4633	-0.4	+8.4	+4.6	+28.8
North America					
S&P500	7165	+0.5	+9.3	+4.7	+30.6
Dow Jones	49231	-0.4	+6.7	+2.4	+22.8
Nasdaq composite	24837	+1.5	+14.1	+6.9	+44.7
Europe					
CAC 40	8158	-3.2	+5.3	+0.1	+8.7
DAX 30	24129	-2.3	+6.6	-1.5	+9.4
EuroStoxx50	5883	-2.9	+5.4	+1.6	+15.0
FTSE100	10379	-2.7	+4.2	+4.5	+23.5
Asia					
MSCI, loc.	1818	-1.0	+4.8	+7.6	+34.6
Nikkei 225	59716	+2.1	+14.3	+18.6	+70.4
Emerging					
MSCI Emerging ($)	1610	+0.8	+11.5	+14.6	+47.3
China	79	-1.7	+3.2	-4.3	+12.8
India	944	-3.0	+5.5	-10.9	-8.6
Brazil	2046	-3.5	+8.5	+24.3	+49.5

Oil, Brent ($/bbl)



Gold ($/ounce)



Performance by sector

Eurostoxx600

Year 2026 to 24-4, €

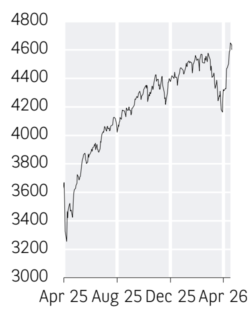
+34.9%	Oil & Gas
+19.7%	Commodities
+16.2%	Telecoms
+15.1%	Utilities
+10.6%	Chemical
+7.8%	Technology
+4.3%	Industry
+3.1%	**Eurostoxx600**
+1.1%	Real Estate
+1.1%	Construction
-0.2%	Financial services
-0.4%	Banks
-0.4%	Insurance
-0.4%	Food industry
-4.0%	Health
-5.9%	Retail
-8.8%	Media
-9.3%	Travel & leisure
-14.5%	Consumption Goods

S&P500

Year 2026 to 24-4, $

+26.6%	Energy
+25.9%	Semiconductors
+15.5%	Retail
+15.4%	Capital Goods
+14.1%	Materials
+10.6%	Tech. Hardware & Equip.
+10.1%	Consumer Discretionary
+8.2%	Utilities
+5.9%	Food, Beverage & Tobacco
+5.3%	Media
+4.7%	**S&P500**
+4.4%	Telecoms
-2.3%	Consumer Services
-3.1%	Bank
-4.8%	Insurance
-5.7%	Pharmaceuticals
-8.9%	Healthcare
-12.7%	Commercial & Pro. Services
-15.2%	Automobiles
-22.1%	Real Estate

MSCI World ($)



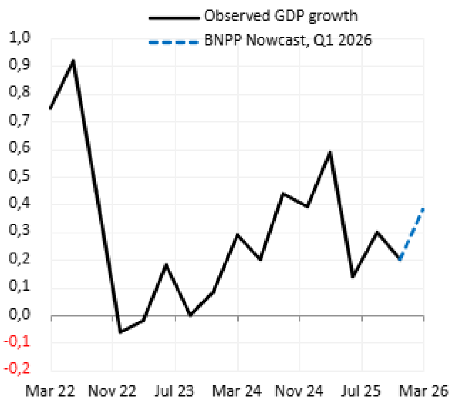
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 27 April 2026

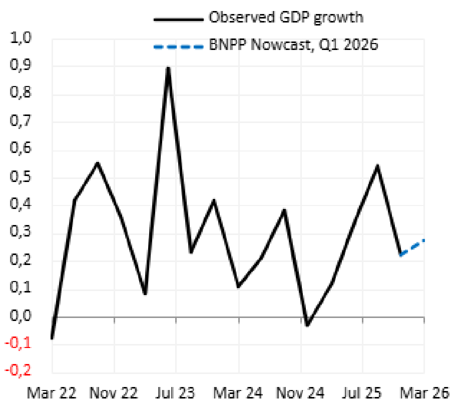
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



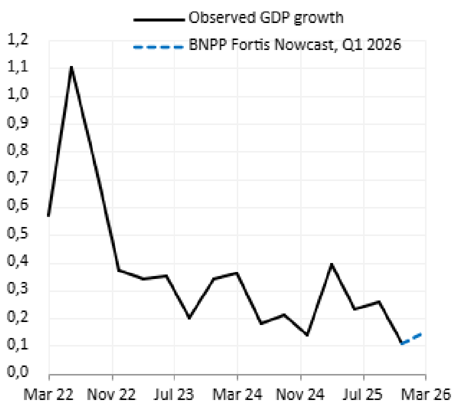
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry. The decline in consumer confidence in March is not expected to weigh on Q1 GDP, but rather on Q2.

Business and household sentiment deterioration, as well as the cooling down of the labor market weigh on our nowcast for Q1 Belgian GDP growth (0.15%).

Read the Nowcast methodology
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.4	2.3	2.9	2.7	3.3	2.8
Japan	0.1	1.2	0.5	0.4	2.7	3.1	2.7	3.2
United Kingdom	1.1	1.4	0.7	1.2	2.5	3.4	3.6	3.3
Euro Area	0.9	1.5	1.0	1.3	2.4	2.1	3.0	3.3
Germany	-0.5	0.4	0.8	1.1	2.5	2.2	3.2	3.5
France	1.1	0.9	1.0	1.1	2.3	1.0	2.4	1.9
Italy	0.5	0.7	0.7	0.8	1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.4
India*	7.1	7.6	6.6	6.8	4.6	2.1	4.5	4.2
Brazil	3.4	2.3	2.0	1.6	4.4	5.0	4.7	4.5

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 24 April 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 22/04	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.27	4.40	4.50	4.55	4.55
Eurozone	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	3.00	3.15	3.20	3.35	3.10
	OAT 10y	3.64	3.77	4.00	4.17	3.60
	BTP 10y	3.75	3.85	3.95	4.10	3.60
	BONO 10y	3.44	3.57	3.64	3.79	3.42
UK	Base rate	3.75	4.00	4.25	4.25	3.50
	Gilts 10y	4.87	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.40	2.40	2.55	2.60	2.70

Exchange Rates		2026				2027
End of period		Spot 22/04	Q2	Q3	Q4	Q4
USD	EUR / USD	1.18	1.19	1.20	1.21	1.25
	USD / JPY	159	159	159	160	160
	GBP / USD	1.35	1.35	1.35	1.35	1.36
EUR	EUR / GBP	0.87	0.88	0.89	0.90	0.92
	EUR / JPY	187	189	191	194	200

Brent		2026				2027
Quarter Average		Spot 22/04	Q2	Q3	Q4	Q4
Brent	USD/bbl	103	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 24/04/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.3% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is experiencing a slowdown in both demand and supply, reflecting a less dynamic economy than after the pandemic and the administration's tighter immigration policy. We expect the Fed Funds target range to remain steady at 3.5% - 3.75%, with a FOMC shifting to a 'two-sided outlook', signaling equal readiness to implement rate hikes or cuts if warranted.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but weakened again in March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures will continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow due to spillovers from the Middle East conflict, despite earlier expectations of acceleration. Consumption, particularly, would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 1.0% in 2026 and 1.3% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 - with the first hike expected in June - pushing the deposit facility rate to 2.5%. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3) and probably 0.3% q/q in Q1 2026 according to our nowcast (see above). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). However, GDP growth should reach 1% in 2026 (after 0.9% in 2025), driven by public spending, private investment in AI and exports.

UNITED KINGDOM

Economic activity is expected to slow down in 2026, with growth limited to 0.7% after 1.4% in 2025; following an estimated +0.4% q/q in Q1, the average quarterly pace would fall to around +0.1%. This slowdown would occur against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation would reach 3.6% y/y before easing only gradually to 3.3% y/y in 2027, remaining well above BoE's target. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.2% in 2025. Higher inflation and production costs are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.

ECONOMIC OUTLOOK 2026-2027: ADVANCED ECONOMIES FACE THE RISK OF STAGFLATION

Before the outbreak of war in the Middle East in late February, our 2026 forecasts for the major advanced economies pointed to higher growth and lower inflation. However, this new conflict in the Persian Gulf is a game-changer. The resulting energy shock is of a stagflationary nature: growth forecasts are being revised downward and inflation forecasts upward, with variations observed across different countries. Most of the supportive factors that were present in 2025 are expected to remain in place in 2026, providing some buffer against the shock. Under the central scenario of the conflict losing intensity by the end of the second quarter, growth forecasts for 2026 are lowered by 0.4 percentage points (an average of the revisions for the countries considered here) while inflation forecasts are revised up by 1.1 percentage points. Fiscal support is expected to remain limited and targeted, with little room for manoeuvre. Monetary support, however, is not currently on the agenda. For the time being, central banks are more concerned about inflationary risks than the negative impact on growth. They appear ready to raise their policy rates, although a definitive decision has yet to be reached. This is our scenario for the ECB and the Bank of England (BoE). For the Bank of Japan (BoJ), such a hike would align with the ongoing process of monetary tightening. The Fed, for its part, would stick to the *status quo*.

At the start of the year, we expected 2026 to be as turbulent as 2025 (judging by geopolitical upheaval and tensions in the early days) as well as characterised by stronger growth, this latter being driven by the reinforcement of the supportive factors at work in 2025 (lower uncertainty, favourable financial conditions, low oil prices, resilient global trade, the AI boom, European revival, good labour market performance, lower inflation, less restrictive monetary policy, and broadly neutral fiscal policy). The challenge was to capitalise on the momentum and, as in 2025, overcome obstacles despite the risks: upward pressure on long-term interest rates, the full impact of the U.S. tariff shock, escalating trade tensions, AI-driven stock market correction, threats to the Fed's independence, and geopolitical tensions[1].

FROM ONE SHOCK TO ANOTHER

A few months later, geopolitical risk resurfaced. The Israeli-American offensive in Iran on 28 February, along with the spread of the conflict throughout the region, propelled the geopolitical risk indicator to an historic high, comparable to that reached when the Russian offensive in Ukraine began (see Chart 1). The resilience of the global economy is being severely tested by the new energy shock triggered by this latest war. This shock affects all countries, albeit to varying degrees, depending on their level of exposure and their capacity to absorb the impact. This is a negative shock for the global economy, in which there are only losers, even if net hydrocarbon-exporting countries will be less impacted than net importers. Of the seven advanced economies reviewed in this issue of EcoPerspectives, the United States is the least vulnerable, while Italy, Germany, the United Kingdom and Japan are more exposed; France and Spain fall somewhere in between.

Deprived of a number of its supporting factors (oil prices, uncertainty, inflation and monetary conditions, all previously favourable), to what extent will growth withstand the shock thanks to the cushioning effect of the remaining factors still in play? To what extent should we also be concerned about the apparent disconnect between, on the one hand, the stock markets' rather benign outlook and the geopolitical de-escalation they seem to be factoring in, and, on the other hand, a more difficult, complex and uncertain reality on the ground, characterised by substantial concerns (disruptions in fuel and derivative supplies, a prolonged and delayed return to normalcy)? Is there excessive optimism on one side and excessive pessimism on the other? At this stage, it is not easy to decide.

The war in the Middle East is driving geopolitical risk to a peak close to that seen at the outbreak of the war in Ukraine

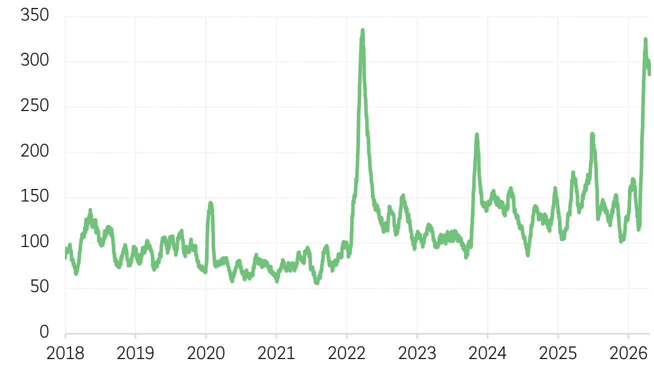

CHART 1 SOURCE: MATTEO IACOVIELLO, BNP PARIBAS

In summary, our new baseline scenario strikes a balance: it acknowledges a definite shock mitigated by several structural supportive forces at play. However, a scenario involving a severe economic crisis cannot be ruled out: the longer the shock lasts, the greater the risk of cascading and non-linear negative effects will become, especially as the likelihood of reaching the limits of fiscal and monetary policies also increases.

Our baseline scenario posits that the conflict and associated supply disruptions will subside by the end of the second quarter. According to our forecasts, the energy shock is expected to reduce growth by 0.4 percentage points in 2026 (averaging our forecast revisions for the economies covered in this publication) and add 1.1 percentage points to inflation. The countries with the most significant revisions are Germany for the growth forecast (revised downward) and Italy and Germany for inflation (revised upward); the countries with the least significant revisions are Spain for growth and the United States for inflation (see Charts 2 and 3). Due to ongoing tailwinds, the shock is anticipated to remain generally manageable, particularly as the economic environment appears, at first glance, less inflationary than in 2022 (see our latest EcoInsight). The spillover of rising energy prices to other components of the consumer price index will, nevertheless, be closely monitored.

1 See Ecoweek editorial, 2026 Economic Outlook in Advanced Countries: Building on the Success of 2025, 12 January 2026.

Growth forecasts (annual average, %, in descending order in 2026): old and new scenarios

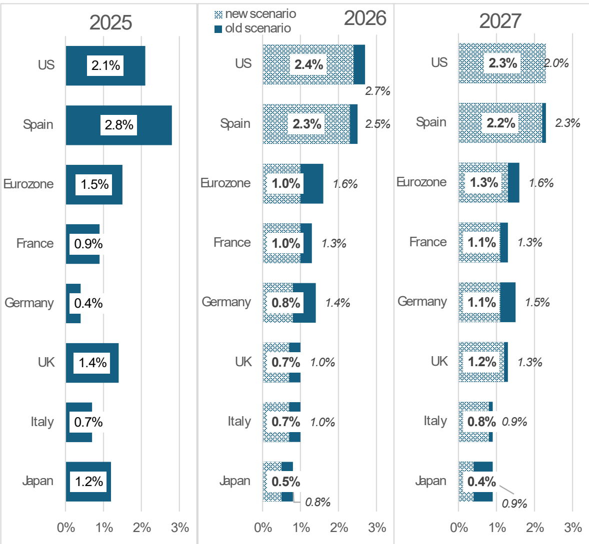

CHART 2 SOURCE: BNP PARIBAS

Inflation forecasts (annual average, %, in descending order in 2026): old and new scenarios

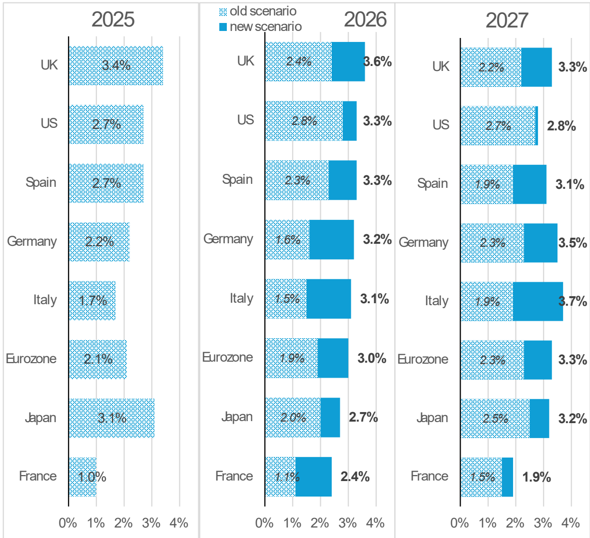

CHART 3 SOURCE: BNP PARIBAS

SUPPORTING FACTORS SHOULD NOT BE OVERLOOKED

Household consumption appears to be the most vulnerable GDP component to this new energy shock, while investment (both private and public) could hold up better. On the one hand, the deterioration in the purchasing power of real wages (with expected inflation once again surpassing the growth in nominal wages, which is slowing) negatively affects household budgets but positively influences corporate margins. On the other hand, investment from both the corporate and public sector is likely to continue benefiting from favourable tailwinds, some of which are common to all countries (AI, defence, decarbonisation, electrification), while others are specific yet have global spillover effects (infrastructure in Germany, aerospace for France, European funds for Italy and Spain). Taken together, these factors would help offset the negative impact of uncertainty, escalating production costs and rising interest rates. The factors bolstering investment would also benefit foreign trade, which is further boosted by the ongoing reconfiguration of global trade and the resurgence of intra-European trade.

Survey data for March showed an initial, immediate but limited impact of the Gulf conflict, more pronounced in household confidence than in business confidence (illustrating households' heightened sensitivity). In terms of the business climate, the impact was more pronounced in the services sector than in manufacturing (illustrating the tailwinds in this sector)[2]. As a well-known adage suggests, the situation is likely to get worse before it gets better. This, in any case, is what is outlined in our baseline scenario.

The resilience of the labour market will also be tested. However, this factor will play a central role in cushioning the impact of the energy shock on household confidence and consumption. Before the outbreak of war in Iran, indicators were mixed, revealing both signs of weakness and resilience. A prime example is the unique, uncomfortable yet sustainable equilibrium that defines the U.S. labour market, characterised by a low hiring and low firing regime. Looking ahead to the coming months, we expect the unemployment rate in the major advanced economies to rise overall, but only to a limited extent.

Fiscal policy should also provide some support, albeit limited, by targeting aid as effectively as possible given the lack of room for manoeuvre. Most governments are constrained by very high public debt ratios and already face challenging trade-offs between resource allocation and spending savings needed to make room for "old new" expenditures (defence, decarbonisation, ageing populations). These constraints are exacerbated by the upward trend in long-term interest rates (see our latest EcoInsight, for more details on the measures taken so far). However, Europe can rely on alternative strategies aimed at jointly and structurally strengthening its growth and internal market (see table).

CENTRAL BANKS: CAUTIOUS, OBSERVANT, BUT ON HIGH ALERT

While the challenges faced by governments are not easy to tackle, those faced by central banks are even more complex. They are caught in a dilemma: should they raise their policy rates to counter inflationary risks (but further weaken growth), or should they lower them to address downside risks to economic activity (but fuel inflation)? For now, caution and patience remain the order of the day while they monitor the actual developments of the situation. Their response will depend on their own reaction function, on the timing and intensity of the risks that materialise, and potentially on the measures taken by governments (the less impactful these measures are, the less central banks will have to counter their demand-supporting effects to contain inflation).

Central banks are also on high alert and appear ready to act, currently leaning more towards tightening rather than easing. According to our forecasts, the ECB, the BoE and the BoJ (for whom this would be part of its ongoing tightening cycle) are expected to raise their policy rates, while the Fed would favour the *status quo*.

Article completed on 23 Avril 2025

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2 See our dashboard comparing the current energy shock with that of 2022 Eco Charts 17 April 2026– Economic Research – BNP Paribas.

'One Europe, One Market' Plan — European Council of 18-19 March 2026

Priority areas	Key measures	Target deadlines	Objective
1. Single Market	28th regime ('EU Inc.')	Agreement by end of 2026	Create a unified European legal status for innovative companies to remove barriers to cross-border growth and foster the emergence of European champions.
	Unified electronic declaration — posted workers	Agreement in June 2026	Simplify administrative procedures for employers operating in multiple Member States and facilitate labour mobility within the internal market.
	Mutual recognition of professional qualifications	EC proposal — autumn	Enable skilled workers to practice more quickly in another Member State, boosting productivity and helping meet recruitment needs across Europe.
	European Business Wallet (digital identity, 'once only')	Agreement by end of 2026	Digitalise interactions between companies and public administrations under the 'once only' principle to reduce administrative burden and speed up cross-border operations.
	Merger Regulation review	EC proposal — 2026	Relax EU merger control to remove regulatory barriers to the formation of large, globally competitive European companies
	Priority given to regulations over directives	—	Ensure uniform application of EU law across all Member States to reduce internal market fragmentation and provide a more predictable framework for businesses.
2. Regulatory simplification	Finalisation of the 'Omnibus' packages	Agreement by end of 2026	Ease the regulatory burden on companies, particularly SMEs, to free up their capacity to invest and innovate.
	Omnibus IA	EC proposal — July 2026	Adapt and simplify the regulatory framework for artificial intelligence to accelerate AI deployment and strengthen the competitiveness of European players.
3. Energy	Short-term measures — electricity prices and volatility	End of 2026	Lower energy costs for European companies and limit price volatility — essential conditions for industrial competitiveness and household purchasing power.
	Revision of the ETS (emission allowances)	EC proposal — July 2026	Revise the emissions trading system to better reconcile the decarbonisation pathway with the competitiveness of European industries exposed to international competition.
	Grid package	Agreement in 2026	Modernise and interconnect electricity grids to secure supply, integrate renewables, and support industrial electrification.
4. Industry and innovation	Mapping of critical strategic dependencies	End of 2026	Identify European vulnerabilities in critical raw materials, components and technologies to guide economic sovereignty and industrial resilience policies.
	European Preference / Industrial Accelerator Act	End of 2026	Favour European products and suppliers in public procurement and strategic sectors to support reindustrialisation and accelerate the deployment of key technologies.
	Diversification of trade and investment links	—	Reduce excessive dependencies by diversifying trade and investment partners, strengthening the resilience of European value chains.
5. Investment	Savings and Investment Union (proposals on securitisation, financial markets integration and supervision package)	Agreement by end of 2026	Channel European savings towards companies and innovation projects by deepening capital markets integration and facilitating equity financing.
	Digital euro	Agreement by end of 2026	Provide Europe with a public digital currency to strengthen strategic autonomy in payments and support innovation in financial services.

TABLE

SOURCE: EUROPEAN COMMISSION

UNITED STATES

GROWTH AND FULL EMPLOYMENT TESTED BY UNCERTAINTY

US growth remains robust, exhibiting strong momentum, but is still reliant on a narrow base – AI on the activity side and healthcare for jobs. The energy shock presents a new challenge, and its impact will depend on both the duration and severity of the Iran war. In any case, this situation is likely to drive inflation further above the target. Our baseline scenario projects 2.4% annual GDP growth in 2026 (down 0.3pp vs. the pre-conflict outlook) and 2.5% in 2027 (+0.3pp). Inflation is expected to reach 3.2% y/y in 2026. Against this backdrop, we expect the Fed to adopt a two-sided stance, with balanced risks around the Fed Funds rate and a hold as the baseline scenario. Tariffs continue to pose significant uncertainty, as does the trajectory of the federal deficit, which is set to widen, notably due to conflict-related outlays.

GROWTH: WILL AI-LED OUTPERFORMANCE WITHSTAND HIGHER ENERGY PRICES?

In 2026, growth should continue to be driven by the same factors as in 2025 – AI-related CapEx, wealth effects stemming from high equity valuations (until February), and healthcare outlays (up 0.4% to 6.0% of GDP in 2025, with stability expected in 2026). AI diffusion, coupled with near-stagnant employment, underpins productivity gains that significantly exceed pre-pandemic trends (2.3% y/y on average since 2023, vs. 1.4% from 2014 to 2019; see Chart 1). The Congressional Budget Office (CBO) expects productivity gains to continue in 2026 (at 2.2%). Nevertheless, growth remains narrowly based, with limited spillover effects and a "K-shaped" investment pattern (see Chart of the Week on this topic).

The Iran conflict introduces downside risks. Moreover, the US status as a net energy exporter does not fully shield its economy from the effect of higher inflation and rising costs on household purchasing power and corporate profit margins (which are already under strain due to tariffs). Consequently, GDP growth may be reduced by a few tenths in 2026, depending on the duration and severity of the conflict. In summary, the primary risk is not a shortfall relative to potential growth (1.8%), but rather a more uneven economic landscape, characterised by increasing fragility outside of AI-driven sectors.

A PUSH FOR BANK LENDING?

On 19 March, US banking regulators proposed a comprehensive review of the regulatory framework. The primary objective is to encourage banks to increase lending to households and businesses by reducing the capital requirements associated with lending activities, and to curb competition from the largely unregulated non-banking sector. While the expected benefits are unlikely to materialise in the short term (pending the finalisation and implementation of the regulations), their impact in the medium to long term may be constrained by other factors (paperwork and leverage requirements will remain unchanged, and some of the released capital could be allocated to other activities). More immediately, the uncertainties and inflationary pressures triggered by the Middle East conflict are likely to dampen credit demand. While 30-year mortgage rates had been trending downward since May 2025 (-90bp), they have rebounded by 25bp since late February, standing at 6.23% in late April. Therefore, the strong momentum observed in H2 2025 for both outstanding household loans and corporate financing flows could run out of steam.

Growth and inflation

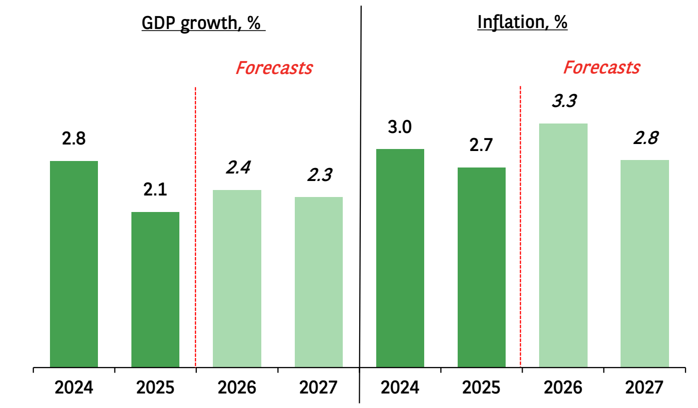

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

LOW PAYROLL GROWTH, YET FULL EMPLOYMENT PERSISTS

The labour market should remain close to full employment, with the unemployment rate hovering at 4.3%-4.4%, compared with an estimated long-term level of around 4.2%[1]. Job creation has significantly decelerated in recent quarters, deviating from the post-pandemic dynamism. In Q4 2025, non-farm payroll growth stood at 0.2% y/y, marking the slowest rate (excluding recessions) since 2003. In addition, job growth is increasingly concentrated in education and health services (682k y/y in 2025, vs. 116k aggregate; see Chart 2). Those jobs are largely non-cyclical, which is positive, yet they are also low-value-added (17% of employment, 9% of GDP). The low rate of layoffs and discharges (1.1% in 2025, unchanged from 2024) reinforces the full employment scenario. The US economy is effectively in a 'low hiring, low firing' regime, as firms are reluctant to both recruit and reduce staff amid heightened uncertainty. Consequently, a slowdown linked to the Iran conflict would likely only marginally increase the unemployment rate – by 0.1pp to 0.3pp – compared with a flat baseline scenario.

INFLATION RETURNS TO CENTRE STAGE

CPI and core CPI are set to keep overshooting the 2% y/y target, at least until 2028. The pass-through from higher oil prices, coupled with partial, but likely, second-round effects from rising production costs, is driving inflation forecasts upward. Firms have already absorbed tariff

1 Summary of Economic Projections, Federal Reserve, March 2026.

costs into their margins over the past year, leaving little scope for further absorption. The uncertainty around this outlook remains high, hinging on the trajectory, duration and severity of the Middle East conflict. Any extension or escalation would further intensify price pressures. That said, the inflationary spike is likely to be far less pronounced than in 2022, when CPI peaked at 9.1% (June). Current conditions are, in fact, less conducive to second-round effects, on both the supply and demand sides (see Chart of the Week on this topic).

FOMC: TWO-SIDED OUTLOOK, STEADY POLICY RATE

Risks appear to be evenly distributed, given expectations of a slight uptick in inflation alongside ongoing labour market concerns. In this context, we project that the Fed Funds target range will hold steady at 3.5% - 3.75% until 2027. Nonetheless, we expect the FOMC to adopt a two-sided outlook, signaling equal readiness to implement rate hikes or cuts if necessary – marking a departure from the previous downward bias. This stance would allow for a wait-and-see approach on core inflation and economic activity, while keeping market inflation expectations anchored and allowing for the possibility of a rapid policy shift.

As a result, policy will lean more on communication than on adjustments in rates. This reflects the macroeconomic conditions that prevailed prior to the shock. Compared to 2022, the policy rate is significantly higher (3.75% upper bound in February 2026, vs. 0.25% in 2022), while CPI inflation is considerably lower (2.9% y/y in Q4 2025, vs. 6.8% in Q4 2021). Furthermore, the Fed tends to react more forcefully when inflation is demand-driven rather than supply-driven (NBER Working Paper, 2026), as monetary policy tools are more effective on the latter (Powell, 2022).

Finally, the upcoming replacement of Jerome Powell (Chair since 2018) does not alter our outlook. The incoming chair, Kevin Warsh, has recently called for rate cuts, which is at odds with the "hawk" reputation he earned during his governorship (2007–2011). However, the FOMC will continue to be governed by majority rule, and we do not foresee a dovish shift unless macroeconomic data dictate otherwise (see our Eco Insight on this topic).

THE FISCAL RISK OF WAR

The US federal deficit is susceptible to a potential decline in the near to mid-term, after narrowing to -5.9% of GDP (+0.4pp) in FY 2025, bolstered by student loan reform and additional tariff revenues. The latter were expected to stabilise at around USD 300 bn annually, allowing the budget deficit to hold at -5.8% of GDP in 2026 and 2027. However, the Supreme Court's ruling that struck down "reciprocal" tariffs could trigger refunds on duties collected in 2025. At the same time, the Iran conflict is likely to exert pressure on public finances, primarily through higher defence spending, while no tangible measures to support demand have been implemented so far. The upward pressure on bond yields is set to extend, particularly on the long-end of the curve (10- and 30-year yields at 4.55% and 5.15% respectively by end-2026), notably reflecting the fiscal risk of the conflict.

Strong productivity growth is driving economic growth

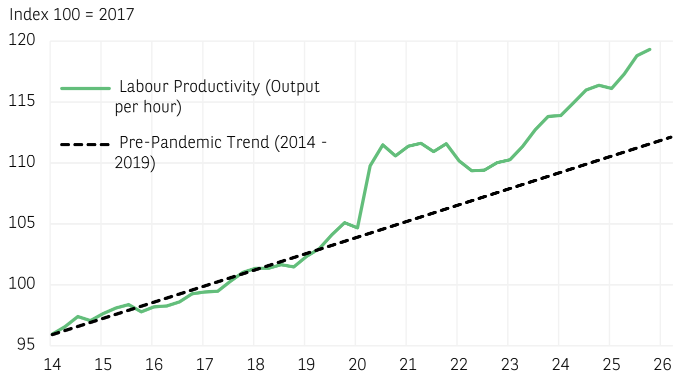

CHART 2 SOURCE: BEA, BNP PARIBAS

In summary, according to our forecasts, the federal deficit could widen to -6.5% of GDP as early as this year. Should plans to ramp up military spending materialise (President Donald Trump has called for a permanent USD 500 bn annual increase, or 1.6% of GDP), against the backdrop of ongoing war (and its associated costs), we anticipate that the deficit could exceed -8.0% of GDP by 2027. Additionally, debt-service costs, estimated at 3.3% of GDP in 2026–2027, could also rise accordingly. In any case, federal debt remains on an upward trajectory and is expected to exceed 100% of GDP as early as 2026.

FOREIGN TRADE: UNCERTAINTY PERSISTS

Following the Supreme Court's ruling that terminated both "reciprocal" and fentanyl-related tariffs, a universal 10% tariff (excluding exemptions and bilateral agreements) has been implemented under Section 122 of the Trade Act of 1974[2], in force until 24 July 2026. By then, President Trump is expected to roll out a new tariff framework: i) sector-specific measures under Section 232 of the Trade Expansion Act of 1962 (pertaining to "national-security"); and ii) country-specific measures, under Section 301 of the Trade Act of 1974 (addressing "unfair trade practices"). According to our estimates, the average effective tariff rate is expected to reach at 8.4% to 10.6% in 2026, down from 10.1% in H2 2025, yet significantly higher than the 2.3% recorded at the end of 2024. While uncertainty is set to persist (particularly regarding the future of the USMCA), the US administration appears inclined to uphold the trade agreements concluded in 2025, notably with the EU and Japan.

Article completed on 23 April 2025

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2 "Section 122 authorises the President to impose temporary import duties or surcharges «[w]henever fundamental international payments problems require special import measures to restrict imports (1) to deal with large and serious United States balance-of-payments deficits" (Congress).

EUROZONE

THE RECOVERY IS FRAGILISED BUT NOT CALLED INTO QUESTION

According to our forecasts, the impact of the conflict in the Middle East is likely to restrict GDP growth to 1.0% in 2026 and 1.3% in 2027 (down from 1.6% for both years prior to the conflict). Private consumption will be hit by falling real wages (with inflation projected at 3.0% in 2026 and 3.3% in 2027, compared to initial estimates of 1.9% and 2.3%). However, the high savings rate will enable households to mitigate the impact over time. Economic activity could suffer from less favourable interest rate dynamics (we anticipate a 50bp increase in ECB rates in 2026). However, the ongoing investment in defence, AI and electrification is expected to continue and boost intra-EU trade. The expected deterioration in public finances in 2026 will be significantly less severe than in 2022.

GROWTH HINDERED BUT STRUCTURAL STRENGTHS PRESERVED

The conflict in the Middle East is undermining the prospects for a recovery in household consumption in the first half of the year, as rising energy prices are weighing on real wages. Real wages are expected to fall (by around 0.5 percentage points) this year, with wage growth falling below inflation from Q2 2026 onwards. Nevertheless, the savings rate remains high (14.4% of disposable income in Q4 2025), enabling households to cushion the effects of the shock over time. Furthermore, the more structural factors supporting economic activity remain intact: investment in AI and digital infrastructure is ongoing, while the recovery in hourly productivity is becoming clearer (+0.9% in 2025 compared with 2024), albeit unevenly across different countries, and is expected to continue. Investment spending in Germany is already strengthening (see the Germany section) and, according to our calculations, spending in the European defence sector is set to rise by nearly EUR 80 billion in 2026 (see our analysis). However, due to the strengthening of domestic demand, it will be difficult to improve the external balance's contribution to GDP (it was negative in 2025, at 0.6 pp). Instead of the smooth growth trajectory expected in 2026 prior to the outbreak of war in Iran, the growth trajectory will be bumpy: Q1 is expected to be resilient (as suggested by our nowcast) before a slowdown in Q2, followed by a rebound in activity in the second half of the year.

THE PERIOD OF STABLE INTEREST RATES IS COMING TO AN END

We anticipate monetary tightening by the ECB in 2026, which will likely be accompanied by a rise in long-term rates. Against this backdrop, a continued rise in rates for new household mortgage loans, which began in January 2026, appears inevitable (+10 bp to reach 3.4% in January). For the time being, only rates on new fixed-rate loans – accounting for around 35% of new mortgage lending in the Eurozone – have risen. For the remainder of 2026, their rise is expected to continue but will be more moderate than that of new variable-rate loans (mainly due to the rise in long-term market rates, which anticipates that of short-term rates). The slowdown in new mortgage lending since December 2025 is therefore expected to continue, exerting pressure on the construction sector and property-related activities in particular.

As regards consumer credit, the rise in market rates and risk premiums imposed by banks, together with their reduced risk tolerance, could push up the cost of borrowing, which is already at a historically high level (7.5% in January 2026 compared with an average of 5.5% between 2018 and 2022). The slowdown in new output is expected to intensify in 2026 and weigh on economic activity, particularly in the retail sector (+1.5% y/y in January 2026 compared with +1.7% y/y in December 2025 on a year-to-date basis).

Growth in new investment loans to businesses is already less vigorous (+11.9% y/y in January 2026 compared with +15.2% y/y in October 2025 on a year-to-date basis). Interest rates have remained relatively stable since November 2024, hovering around 3.6% for fixed-rate loans, and are not, to date, among the main factors limiting investment decisions, despite concerns regarding sluggish demand and weak growth. Rising energy and raw material costs are likely to increase demand for working capital, which is already at an unprecedented level.

Growth and inflation

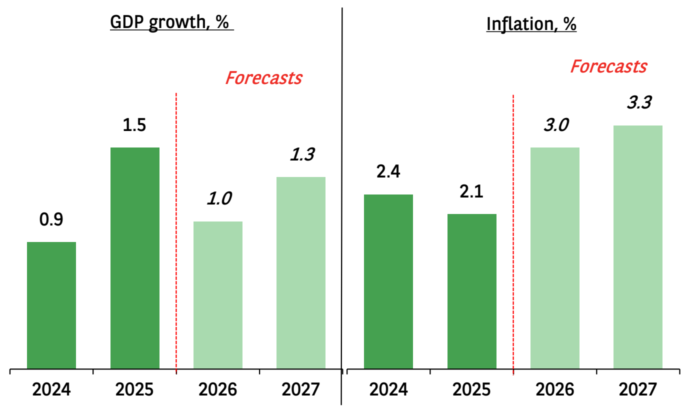


CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

INFLATION: A SIGNIFICANT RISE, BUT LIKELY LESS SEVERE THAN IN 2022

The precise magnitude of the price rise remains dependent on how the conflict in the Middle East unfolds and on the second-round effects of the energy shock. Rising production costs will impact corporate profit margins, which are already under pressure (39.2% of value added in Q3 2025, one percentage point below their historical average). However, the likely fall in real wages should mitigate this shock. Furthermore, firms are expected to limit increases in their selling prices to what is strictly necessary, in light of demand being depressed by the energy shock. Thus, the rise in core inflation is expected to begin only in Q3 and remain contained. Moreover, imported deflation from China remains a significant factor in moderating goods prices in Europe, although this could diminish with the energy shock. Import prices for machinery and equipment from China were still down 2.3% year-on-year in January 2026 (-3.2% for chemicals). Inflation is then expected to ease in 2027, bringing an end to the contraction in real wages in the second half of 2027.

LABOUR MARKET: MORE PRONOUNCED SECTORAL DIFFERENCES

The labour market is expected to continue facing headwinds. AI could have a greater impact on job creation in the digital and tech sectors than in the past. Job creation in this sector has been robust post-Covid (see our analysis), but it slowed significantly in 2025 (41,800 compared with 198,000 in 2024 and an average of 285,000 for 2022–2024). This comes at a time when competitive pressure from China and declining opportunities in the US will continue to affect some industrial employment in 2026, with these difficulties compounded by the renewed rise in energy prices. Nevertheless, the strengthening investment cycle is expected to bolster employment in other sectors (defence, energy, construction), while demographic ageing will continue to underpin employment in healthcare. Against this backdrop, the unemployment rate is expected to remain at a level comparable to that of 2025 (6.2–6.5%), which is close to the structural unemployment rate that does not trigger an acceleration in inflation (6.5% according to the European Commission).

MONETARY POLICY: RATE HIKES COULD OCCUR FROM 2026

The rise in inflation raises the risk of the ECB tightening monetary policy as early as 2026, whereas before the outbreak of the conflict in the Middle East, we had expected this to occur in the second half of 2027. In our previous scenario, these rate hikes were prompted by stronger growth, which in turn fuelled inflation. Now, such tightening would serve to limit second-round effects arising from a supply shock. The question of whether tightening will occur and the timing of any rate hikes remains unresolved, as they are subject to significant uncertainty. The March data does not, for the time being, suggest any significant acceleration in inflation outside of energy prices (three-month selling prices, excluding the oil sector, show a moderate rise; see our analysis). Furthermore, the ECB is likely to take time to observe this transmission mechanism before making any adjustments to its strategy. It aims for price stability in the medium term, which could allow for a temporary increase in inflation above the target, consistent with its operational framework set in June 2025).

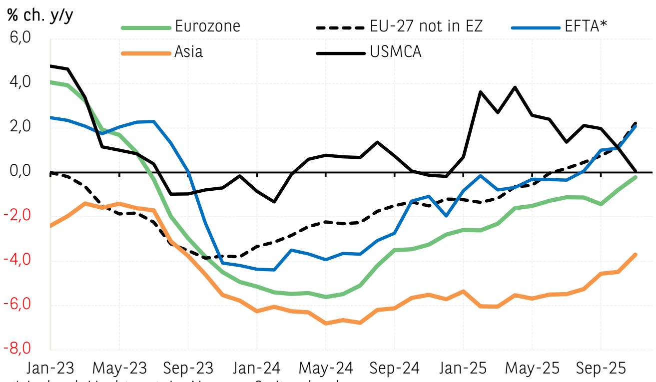
Should tensions arise, the ECB might be tempted to take pre-emptive measures to limit second-round effects and reduce the scale of any necessary rate hikes. Real interest rates are now significantly higher than in 2022 and aggregate demand is weaker (see our analysis), which allows for a measured response. Furthermore, the likelihood that fiscal support will be lower than in 2022 should reduce the ECB's risk of needing to counterbalance the impact of this support on inflation dynamics with a more restrictive policy.

PUBLIC FINANCES: MODERATE DETERIORATION EXPECTED, IN CONTRAST TO 2022

In our scenario, national measures designed to cushion the energy shock would remain much more targeted and limited than in 2022, resulting in a limited impact on public finances in 2026. Compared with a pre-conflict scenario, in which the overall public deficit in the Eurozone was expected to stabilise at around -3% of GDP in 2026, as in 2025, there is now a risk of a slight increase. Indeed, a rise in the deficit remains likely in Germany (linked to investment plans rather than the conflict in Iran), while the previously expected improvements in France, Italy and Spain are likely to yield only slight stabilisation.

Intra-UE trade should continue to gain traction

Eurozone exports, in volume (% y/y)



* Iceland, Liechtenstein, Norway, Switzerland

CHART 2 SOURCE: EUROSTAT, BNP PARIBAS

Interest payments are expected to continue rising, reaching 2.0% of GDP in 2026, with an upside risk in countries where inflation-indexed debt is more widely used. The recent rise in bond yields does not alter our longer-term forecasts (see our analysis). Indeed, they have now reached the levels we anticipated (which were below our scenario prior to the conflict in Iran). Furthermore, the average maturity of public debt (8.3 years in February 2026) will help to mitigate the impact of rising rates on interest expenditure over time.

THE REORGANISATION OF EXPORT FLOWS WILL CONTINUE

Exports from the Eurozone to China fell further in 2025 (-9.9% by volume). However, total exports are holding up, thanks to a greater focus on regional markets, particularly neighbouring countries with a growing industrial base (Türkiye, Morocco, the Balkans; see our analysis). The growth of intra-European exports, which was modest in 2025 (+0.4% in volume in 2025, +2% with the rest of the EU and EFTA offsetting the intra-Eurozone decline of -0.2%), is expected to strengthen. This growth would benefit from the ramp-up of the rearmament plan, as well as from European preference policies and the consolidation of the single market, as outlined in the 'One Europe, One Market' plan[1], the effects of which will be more visible in 2027 than in 2026. Furthermore, the extension of the framework agreement with the United States should help stabilise exports to the region in 2026, although there is uncertainty regarding potential new tariffs. The entry into force of the agreement with Mercosur (on 1 May 2026), and the conclusion of new agreements (with Australia, India and Indonesia) are expected to have a positive impact in the medium term.

Article completed on 13 April 2025

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1 Boosting EU competitiveness: the way forward - Consilium.

A WEAKER RECOVERY, BUT ONE THAT IS STILL EXPECTED TO TAKE HOLD

After two years of recession, German growth began to recover in 2025. We expect it to strengthen in 2026, driven by the ramp-up of investment plans. We are, however, revising our forecasts downwards, as the German economy remains vulnerable to the current shock to energy prices (+0.8% in 2026 [-0.6pp] and +1.1% in 2027 [-0.4pp]). This will weigh on private consumption due to the impact of rising inflation (3.2% in 2026 [+1.6pp] et +3.5% in 2027 [+1.2pp]) on the purchasing power of wages. The fiscal trajectory, meanwhile, is expected to remain broadly unchanged. Public debt is set to continue rising towards 70% of GDP by 2030, which, in the current context, would maintain upward pressure on long-term interest rates.

GROWTH SET TO HOLD UP BETTER THAN IN 2022

After two years of contraction (-0.7% in 2023 and -0.5% in 2024), German growth returned to positive territory in 2025 (+0.4%), despite the US tariff shock. It was mainly driven by private consumption and public spending. Foreign trade weighed on economic activity, but for relatively favourable reasons: nearly two-thirds of the rise in imports came from capital goods, foreshadowing the ramp-up in public investment expected in 2026.

At the same time, investment made no contribution to growth in 2025, as the decline in the private sector was offset by the increase in the public sector. However, it has been rebounding since Q3 and is expected to accelerate further in 2026. It will be supported by public investment plans and tax incentives. The increase in new industrial orders observed at the end of 2025 serves as an additional indicator of an impending acceleration in investment (see our analysis). In our view, the conflict in the Middle East will not undermine this favourable momentum. The prolonged nature of public investment plans and their rapid implementation at the start of the year suggest ongoing support for growth: between January and February, investment spending (excluding SVIK[1]) more than doubled compared with the same period last year (see Chart 2), defence spending rose by 38%, and SVIK disbursements have already reached 1/4 of the 2026 target.

Conversely, the situation for Germany's industrial sector, which is particularly energy-intensive, is more challenging, as this shock compounds the issues faced in 2022, the rise in US tariffs and growing Chinese competition. At this stage, business surveys suggest these risks should be put into perspective: although companies are reporting sharp rises in input costs, the deterioration observed remains less severe than in 2022.

Household consumption, on the other hand, will be significantly affected by the ongoing rise in energy prices. The expected resurgence in inflation will weigh on their spending intentions, even as wages have caught up with inflation in 2022-2023 to a lesser extent than elsewhere in Europe (see Chart 3). The risk is that this will lead, as it did previously, in a sharper rise in the savings rate than in France, Italy or Spain.

THE PROSPECT OF WAGE PRESSURES IS RECEDING

The German labour market remains historically strong. The unemployment rate increased from a low of 3% to 4% and stabilised at that level between December 2025 and March 2026, while remaining low compared with the eurozone average (6.2% in February across the eurozone). This rise in unemployment is due to job losses in the manufacturing sector, despite ongoing job creation in the services sector. Job losses are expected to continue in sectors that are already in difficulty, which are also the most exposed to the energy shock.

Growth and inflation

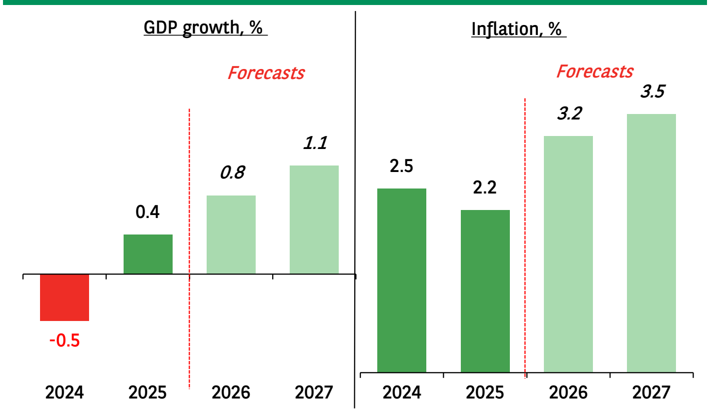

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

Investment spending (without SVIK) have more than doubled compared to the same period last year

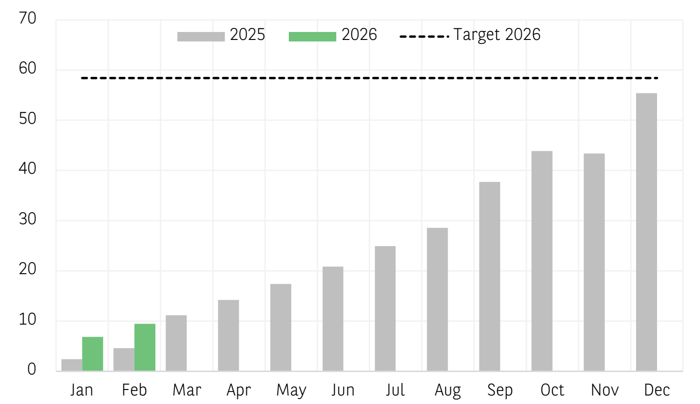

CHART 2 SOURCE: BUNDESFINANZMINISTERIUM, BNP PARIBAS

At the same time, the demand for labour has stabilised at a low level, and the tightness in the labour market continues to ease in both industry and services. Only construction remains an exception, although recruitment difficulties are easing there.

Against this backdrop, the gradual rise in employment linked to investment plans in defence and infrastructure is not expected to generate significant wage pressures. The redeployment of production capacity

1 Investment spending takes into account only spending from the main budget (excluding SVIK, the EUR 500 billion infrastructure fund).

freed up by sectors in difficulty, and in particular their workforce, will in fact help to meet some of the needs of businesses. Furthermore, the prospect of wage growth once again falling short of inflation should mitigate the impact on profit margins of a likely rise in input costs.

INFLATION CONSISTENTLY ABOVE 2% COMPARED WITH THE REST OF THE EUROZONE

Inflation picked up again in March (+0.8 pp to 2.8% y/y), while the core component remained stable (2.5%). This rise is attributable to energy prices (+7.2% y/y). In the coming months, German inflation is expected to remain higher than that of the eurozone (2.5% y/y in March).

The high sensitivity of German electricity prices to fluctuations in gas prices suggests a sharper rise in inflation, which is likely to feed through to core inflation. Having accumulated nearly 5 percentage points of additional inflation compared with France and Italy since the onset of the inflationary crisis in 2022, this gap could widen further. This would pose a challenge to German competitiveness, which has already been in decline for nearly 10 years (see our analysis). Consequently, inflation is expected to remain above 2% at least until the end of 2027, a level below which it has not fallen since 2021.

In Germany, more than in other countries, this inflationary trend has significantly impacted real wages, which remain around 11 percentage points below their levels prior to the post-Covid inflation crisis. The minimum wage increases planned for 2026 and 2027 (+8% and then +5%, to EUR14.60/hour) will have a direct impact on low-wage earners. However, their influence across the entire wage spectrum is likely to be limited. This situation is adversely affecting household confidence and consumption.

A FISCAL TRAJECTORY LARGELY UNCHANGED AT THIS STAGE

The current context does not call into question our assessment of a controlled increase in public spending. This is based on the budgetary reform initiated by the government in 2025, which includes a multi-year plan that derogates from the debt brake to finance investments in infrastructure and defence, while maintaining a constrained federal budget outside these sectors. Consequently, an initial rise in the public debt ratio was observed in 2025, to 63.5% of GDP (up from 62.2% in 2024).

At this stage, the budgetary cost of the measures adopted by the government in response to rising energy prices remains moderate (EUR 1.6 billion). These measures are centred on capping fuel prices and reducing the tax on petrol by EUR 0,17 / litre for a period of two months. In addition, a one-off, tax-free support payment of EUR 1,000 may be paid to employees. Further measures could be introduced if the conflict drags on and energy prices remain high. However, the scale of these measures is expected to be smaller than that seen in 2022, as there is less fiscal room for manoeuvre. Any additional measures or any deterioration in the deficit linked to a slowdown in growth will need to be offset in order to comply with the debt brake rule. Consequently, our public debt scenario remains broadly unchanged from our autumn forecast (see our analysis).

At the same time, financing requirements linked to extra-budgetary funds are likely to continue to exert upward pressure on sovereign yields. The yield on the 10-year Bund crossed the 3% threshold at the end of March, amid inflationary pressures and expectations of increased fiscal support. However, the effective interest rate on debt remains low (due to the prolonged period of negative long-term rates) and the debt burden (1.1% of GDP in 2025) is expected to increase only gradually, reaching 1.7% in 2030.

German wages have recovered less than in other countries to their pre-Covid inflationnary crisis levels

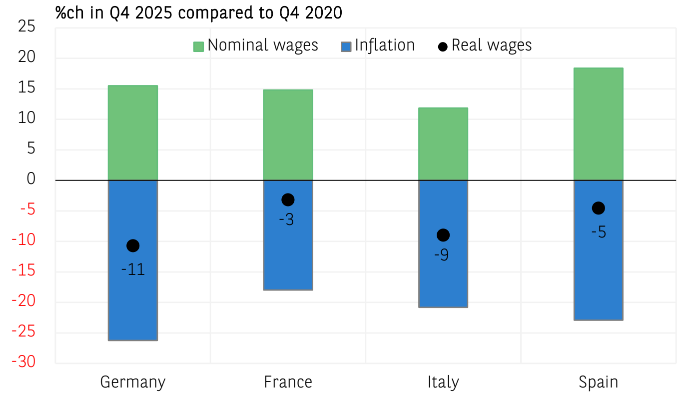

CHART 3 SOURCE: EUROSTAT, NATIONAL STATISTICS, BNP PARIBAS

Furthermore, structural reforms are ongoing, particularly those aimed at bolstering business investment, reforming tax and social protection systems, and expanding the labour supply. Fiscal measures are already in place (accelerated depreciation of business investment until 2027, to be followed by a reduction in corporation tax from 2028), supplemented by administrative simplifications for businesses, which will lead to an overhaul of the tax system effective from 1 January 2027. Finally, proposals for social security reform (pensions) have been put forward and will be finalised by the end of 2026.

A REBALANCING OF FOREIGN TRADE IS UNDERWAY

Exports continue to account for a significant share of the German economy (41% of GDP in 2025), significantly higher than the levels seen in the rest of the eurozone (nearly 30% in France, Italy and Spain). Although exports have not contributed to growth since 2023, they stabilised in 2025. This stabilisation is due to a geographical shift in trade patterns, with exports to the eurozone increasing (+4.1% y/y in 2025), compensating for the decline in markets outside Europe (notably China and the United States).

Beyond this geographical reallocation, a rebalancing of intra-European trade is underway. This shift is prompted by a reversal in competitiveness trends, characterised by a faster rise in labour costs in Germany than in other European countries over the past decade, in contrast to the previous period. As a result, Germany's trade surpluses with other European countries are gradually diminishing, as these countries increasingly benefit from German demand. This trend is reinforced by German investment plans and the intention to establish a European supply base as part of rearmament policies. It is evident in the rise of German imports and a reduction in bilateral surpluses, particularly with France. Therefore, German demand is fostering growth in other European countries, a recent development that is set to continue.

Article completed on 21 April 2026

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GROWTH, PUBLIC FINANCES: STAYING ON TRACK

Since rebounding in Q2 2025, French growth has been relatively robust. Things are not expected to have changed in Q1 2026, with growth supported in particular by precautionary spending. In Q2, higher inflation (and thus lower purchasing power) should weigh on household consumption, whilst support from public finances is expected to be more moderate than in 2022. However, French growth is expected to remain resilient, driven in particular by public investment (both French and European) in defence and private investment in AI. Overall, we are revising our growth forecasts to 1% in 2026 (-0.3 pp) and 1.1% in 2027 (-0.2 pp); and our inflation forecasts to 2.4% in 2026 (+1.3 pp) and 1.9% in 2027 (+0.4 pp). However, we are maintaining our forecasts for the public deficit at 5% of GDP in 2026 and 4.5% in 2027.

GROWTH: COPING WITH HIGHER INFLATION, BUT BENEFITTING FROM THE RESILIENCE OF INVESTMENT AND EXPORTS

The stars had aligned for 2026 to be a good year for growth. Rebounding aeronautics production and the implementation of European rearmament plans were set to support exports. The clearer pass-through of the ECB's monetary easing to lending rates for the non-financial private sector had boosted investment. After several months of wage growth outpacing inflation, growth in household consumption was accelerating. Finally, the budget adopted in February pointed to robust public consumption and investment.

With the war in Iran, private domestic demand is facing the most pronounced downside risks. Rising oil prices are weighing on household purchasing power, which is likely to affect their spending intentions. As a result, household consumption will likely decline in the second quarter.

Rising uncertainty and inflation have already weighed on interest rates (a 15-basis-point rise in lending rates to non-financial corporations between August 2025 and February 2026). It is still uncertain as to whether the ECB will raise its key interest rate. This would weigh on private-sector investment prospects, but would not call them into question. Business investment is expected to rise in both the services and construction (AI and data centres) sectors. Household investment is expected to mainly benefit maintenance/renovation (strong performance in second-hand transactions) and, to a lesser extent, new-builds (a slight rebound in housing starts). Public investment (+2.1% in 2025) is expected to continue to grow, supported by decarbonisation, rearmament and service investment efforts.

Overall, the business climate remained stable for the time being. It is underpinned by the situation in industry, which is benefitting in particular from public spending (rearmament plan) and robust exports, which are expected to continue.

FOREIGN TRADE: BULLETPROOF?

Since mid-2025, France has benefitted from a rebound in its exports of goods, particularly in aeronautics, defence, pharmaceuticals and industrial inputs (electronics). This momentum continued in January and February 2026, helping to restore the current account balance (following a deficit of EUR 12.5 billion in 2025, or -0.3% of GDP). Export gains are mainly intra-EU, primarily to Germany, and are expected to provide significant support for GDP growth. This momentum is expected to continue despite the war in Iran, as it is driven by industrial sectors with little exposure to the region. Furthermore, it depends on growing public demand driven by European rearmament plans (which are far from limited to the German plan; see our analysis) or investments that are not sensitive to the economic cycle (AI).

Growth and inflation

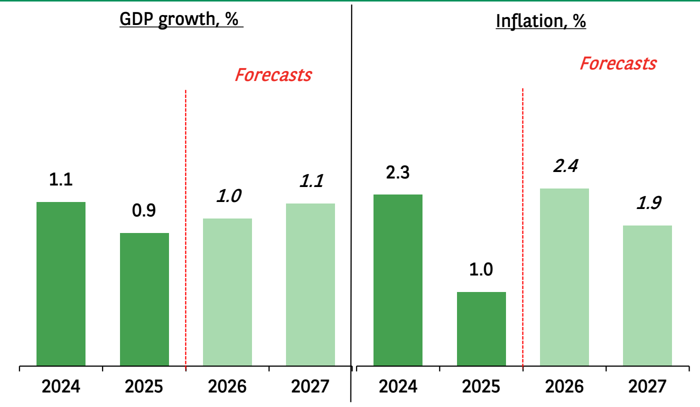

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

LOANS: GOOD MOMENTUM WITH SLIGHT DETERIORATION RISKS

The rate on new housing loans to households rose by 10 bp in Q1 2026. This modest rise contrasts with the stable rate, at around 3% in 2025. Despite a highly competitive environment, our rate scenario (money market and swap rates) suggests a slight increase in average mortgage rates in Q2, and probably a sharper rise thereafter. At the same time, monthly new lending has stabilised since Q2 2025, hovering around the moderate level of EUR 12.5 billion, before falling slightly in Q1 2026 (EUR 12 billion). A rise in rates would automatically weigh on the figures. Therefore, growth in outstanding loans is modest (+0.2% y/y in February) due to high repayment flows linked to the abundant new lending during the period of low interest rates. As a result of households' decreased ability to purchase property, transaction volumes are expected to decline and prices are expected to stabilise over the coming quarters.

Corporate investment loans remained buoyant in Q1 2026, driven mainly by the acceleration in the lending for construction purposes (up 4.6% y/y and 5.5% y/y in January and February, respectively). Market financing is keeping pace, rising by 6.1% y/y, against a backdrop of a slight fall in the cost of debt issued (-9 bp m/m). The forthcoming rise in market rates is likely to make bank financing more attractive. However, the profitability of investment projects could be eroded, but not enough to jeopardise them.

INFLATION IS PAINFUL FOR THE CONSUMER

Harmonised inflation hit a low in January 2026 (0.4% year-on-year), which pointed to improved household purchasing power and suggested a rebound in household spending. At the time, it was not known that the period of wages rising faster than inflation (by a cumulative 2 percentage points over 2024–25) was about to end. Harmonised inflation accelerated in March to 1.9% y/y, driven by rising fuel prices. As a result, from Q2 onwards, it is expected to outpace wage growth. Although, according to our forecasts, inflation is expected to rise less sharply than in 2022–2023 (peaking at nearly 3% in early 2027, compared with 7.3% in February 2023) and spread less widely to goods and services, household purchasing power is also likely to be less protected than in 2022–2023. According to our calculations, public support measures adopted at the time prevented (at their peak) nearly 2.5 percentage points of inflation, whereas the support is likely to be more limited this time – with the government favouring targeted measures to prevent the public deficit from widening. According to our forecasts, the purchasing power of gross disposable income is set to contract by 0.3% in 2026 (compared with a gain of +0.4% in 2022, despite an inflation of nearly 6% according to the harmonised measure). Consequently (and despite a fall in the savings rate from 18.1% in 2025 to 17.5% in 2026), private consumption is expected to grow by just 0.5% in 2026 (as in 2025), compared with a 1% rebound anticipated before the war in Iran. This would reduce GDP growth by nearly a quarter of a percentage point.

LABOUR MARKET: MODERATE DETERIORATION

The slight decline in salaried employment in 2025 (-0.2% y/y in Q4, compared with +0.2% y/y in Q4 2024) followed the low point recorded in terms of growth (0.7% y/y in Q1 2025) and led to a slight rise in the unemployment rate (7.9% in Q4, compared with 7.3% a year earlier). In 2026, the unemployment rate is expected to rise to 8.2%, driven by a rise in youth unemployment. This moderate deterioration should limit the decline in household confidence. This situation is also consistent with the continued moderation of wage pressures, meaning that, like in 2022, corporate margins would be supported by a decline in real wages (albeit to a lesser extent), partly offsetting the impact of rising oil prices. This trend is expected to persist until mid-2027. Indeed, although an increase in the minimum wage is expected from May (with the price index having risen by 2% compared with the end of 2025), the imperfect indexation of wages above the minimum wage suggests that real wages are likely to decrease.

PUBLIC FINANCES: CONSOLIDATION REMAINS THE TARGET

The public deficit reached 5.1% of GDP in 2025, a more pronounced improvement on its 2024 level (5.8%) than the government's target (5.4%), linked to a 0.8-pp rebound in compulsory levies (43.6% in 2025, see our analysis). In 2026, the public deficit is expected to be in line with the government's 5% target. The consequences of the energy shock are likely to wipe out the fiscal leeway that had emerged following the strong performance of 2025, particularly due to an additional 0.1 percentage point in debt servicing costs (mainly due to the impact of inflation on index-linked bonds). A rise in bond yields would have only a very marginal upward effect on the latter, due to the debt's high average maturity (8.5 years).

French exports have rebounded sharply since mid-2025

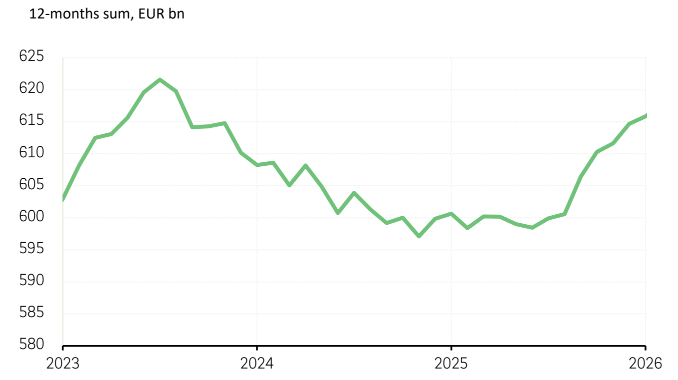

CHART 2 SOURCE: CUSTOMS, BNP PARIBAS

Support measures in response to the inflationary shock, currently amounting to EUR 400 million (less than 0.1% of GDP), have been announced. With no room for manoeuvre, the government has announced that any additional measures will be offset by equivalent savings. The increase in the defence budget and the debt service (together accounting for +0.6 percentage points of GDP) is expected to prevent a decline in the public expenditure ratio (which is projected to stabilise at around 57% of GDP in 2026 and 2027). As a result, the reduction in the public deficit would, once again, rely on a rebound in compulsory levies, which would return to their pre-COVID level (44.4% of GDP) by the end of 2027. Reducing the public deficit at an average rate of 0.5 percentage points of GDP per year would help to slow the rise in public debt (115.6% of GDP in 2025, +3 pp y/y) before stabilising it at around 120% of GDP in 2030, when the budget deficit is expected to return to the 3% of GDP target.

Article completed on 21 April 2026

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ECOINSIGHT

Issue 17
24 April 2026

MIDDLE EAST CONFLICT: MODERATE IMPACT ON ADVANCED ECONOMIES SO FAR, BUT HIGH UNCERTAINTY REMAINS

The war in the Middle East has caused prices of several commodities to rise, in particular oil which has neared historic highs. Although conflict's trajectory remains highly uncertain, weaker supply and demand constraints compared to 2022 should limit the upward pressure on inflation.

Household consumption and sectors least able to pass on rising production costs to sales prices (primarily consumer goods) are likely to be hit hardest. The ultimate effect on GDP growth will depend on the duration and severity of the damage.

According to our baseline scenario, a recession should be avoided. However, if the conflict were to escalate to the point of causing shortages (of fuel or inputs), its impact on growth and inflation could lead to such a recessionary outcome.

High public debt levels and long-term interest rates limit governments' room for manoeuvre, meaning any support measures are expected to be more limited than in 2022. If the conflict and its inflationary effects were to worsen, this reduced room for manoeuvre means that any additional response would have to be financed by equivalent savings.

With weaker demand dynamics than in 2022, and less fiscal stimulus, central banks may face less pressure to tighten monetary policy to curb inflation. While the next move in interest rates is likely to be a hike in most cases, such action remains premature at this stage.

Oil prices: A significant increase to be put into perspective

The rise in oil prices is the primary channel through which the damages of the conflict in Iran are transmitted to the advanced economies. The ultimate impact will depend not only on how the conflict evolves but also on the damage already inflicted.

While the spot price has not yet reached the record highs of 2008 (Chart 1), the picture changes when factoring in the crack spread – the price difference between crude oil and its refined products (specifically petrol and diesel), which includes refining margins and operational costs. Compared to past shocks, the crack spreads which occurred in 2022 and 2026 are significantly higher, pushing the total effective price closer to 2008 levels. However, this line of reasoning must be put into perspective, given that wages and price indices have risen between those two dates. The consumer price index has risen by 42% in the Eurozone. Thus, in real terms, the peak in 2026 is lower than that of 2008.

A closer look at the 2026 shock (Chart 2) reveals that most of the oil price increase affecting consumers stems from the crack spread. However, the common factor between 2022 and 2026 is supply constraints – in 2022, due to Europe's shift away from Russian oil, and, in 2026, because of reduced exports from Gulf countries. As a result, the physical oil price, which reflects immediate supply pressure, diverges from the market price, which relates to deferred delivery.

The impact of such a shock also depends on the length of time during which supply from Gulf producers is reduced, and on the ability of other producers and demand to adjust accordingly. Even if such adaptive capabilities exist, they take time to materialise. In the short term, the oil price will therefore be determined mainly by the evolution of the conflict and the associated geopolitical risk premium.

For our scenario analysis, we have adopted a baseline assumption, which corresponds to the following oil price trajectory (Chart 3). This trend in oil prices aligns with Scenario 3 below. However, several potential outcomes remain possible, as outlined in the following four alternative scenarios (also detailed in our EcoInsight of 20 March, detailed analysis here):

Scenario 1: de-escalation and immediate resolution of the conflict.

Scenario 2: swift resumption of hydrocarbon flows amid lingering instability.

Scenario 3: partial resumption of hydrocarbon flows as tensions gradually ease by the end of Q2 2026. In this scenario, oil prices are expected to decline at a slower rate in 2026 compared to the more favourable scenarios (1 and 2) and are projected to remain elevated in 2027 (between USD 10 and USD 15 higher).

Scenario 4: the continuation of severe restrictions on traffic through the Strait of Hormuz, keeping hydrocarbon prices at very high levels until Q3 2026. Following this period, a gradual decline in prices is anticipated until spring 2027, at which point they would stabilise at levels comparable to those in our intermediate Scenario No. 3.

Including the crack spread to the spot oil price, the total nears 2008 and 2022 peaks

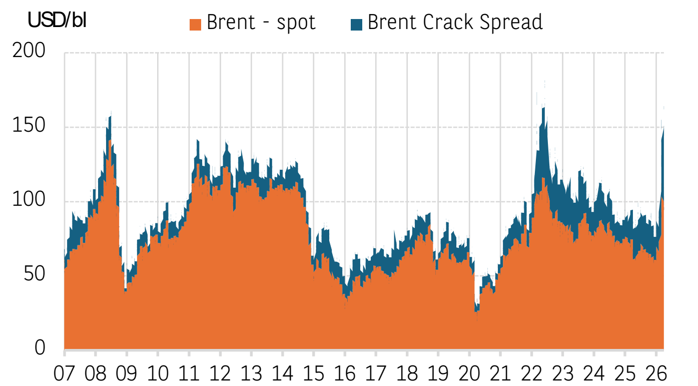


CHART 1 SOURCE: ICE, MACROBOND, BNP PARIBAS

For consumers, in 2026, the increase in oil prices is more driven by the crack spread than by the spot price

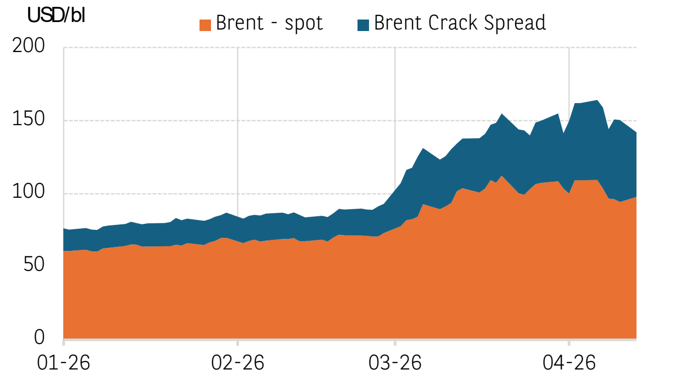


CHART 2 SOURCE: ICE, MACROBOND, BNP PARIBAS

Our central scenario for Brent prices does not foresee any easing of tensions before the end of the second quarter

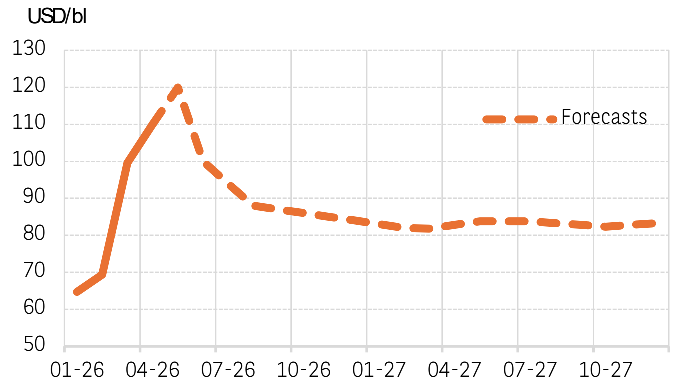
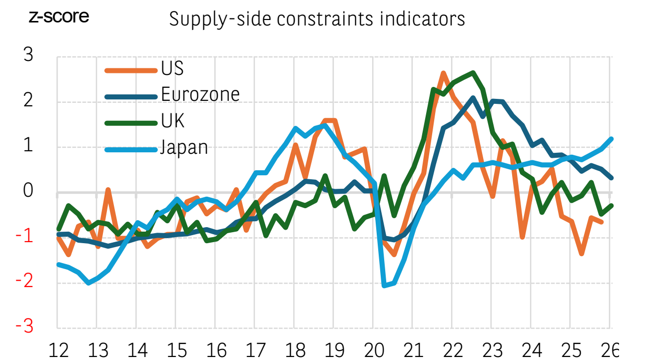


CHART 3 SOURCE: ICE, BNP PARIBAS

Supply constraints are less severe than in 2022



Note: Z-scores are calculated based on the proportion of businesses surveyed in national surveys that report supply constraints limiting their output.

CHART 4 SOURCE: NATIONAL STATISTICS, BNP PARIBAS

Traffic through the Strait of Hormuz remains severely disrupted. Furthermore, the damage inflicted on oil and gas facilities in the region increases the likelihood that hydrocarbon exports will remain disrupted for several months, even if maritime traffic resumes. Scenarios 3 and 4 both assume sustained higher oil prices even after the conflict ends. However, they differ in terms of the duration of the shock and the peak in oil prices, which are more pronounced in Scenario 4. Furthermore, as shown in Chart 1, the crack spread did not return to its pre-conflict level in 2022; a similar pattern is likely in 2026.

The impact of the shock will differ from 2022

Less supply tensions

In 2022, the rise in hydrocarbon prices was preceded by major supply tensions, with numerous shortages (of components and labour) affecting all sectors and spilling over into industrial and food prices.

The current shock caused by the war in Iran, however, arises in a less strained pre-conflict environment. According to survey data, before the outbreak of the conflict in Iran, these supply-side pressures were less severe than the peaks observed before the conflict in Ukraine, with the exception of Japan (Chart 4). In the Eurozone, however, they remained above their pre-Covid levels, a sign of the structural nature of some of these constraints (notably labour shortages).

These supply constraints could, however, intensify in the coming months, as evidenced by the rise in input price indices and delivery times in most countries. Under a more negative scenario (Scenario 4), these tensions could return to their 2022 levels, raising the risk of both a recession and a significantly more pronounced rise in inflation.

Demand is driving inflation to a much lesser extent

In 2022, demand was strong due to the post-Covid economic recovery. As shown in one of our recent analyses (see details), the current situation is quite different. In the Eurozone (and the United Kingdom), a lack of demand is the dominant factor. In the United States, while demand remains relatively robust and is fuelling inflation (accounting for nearly 1 percentage point according to the San Francisco Fed's calculations), its impact is significantly more subdued than in 2022.

This difference is crucial. When demand is weaker, businesses are less inclined to pass on cost increases to final prices, instead opting to absorb some of the pressure by adjusting their profit margins where feasible. Consequently, selling price pressures have, for the time being, remained more constrained, as shown in our recent analysis (Energy shock: 2026 vs. 2022 dashboard).

The decline in fuel consumption remained modest and took time to materialise following the 2022 energy crisis

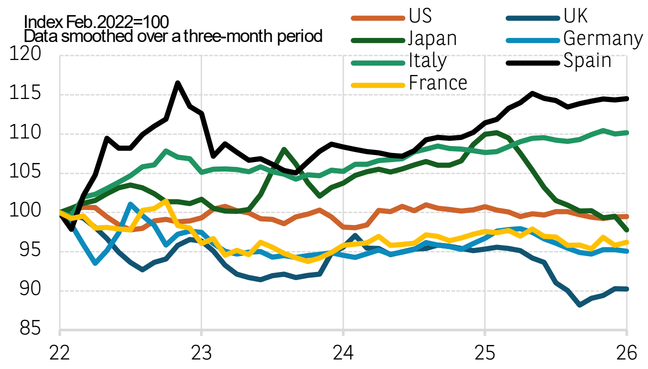


CHART 5 SOURCE: NATIONAL STATISTICS, MACROBOND, BNP PARIBAS

The threat of rising energy prices... and potential shortages?

Every crisis brings with it fears of shortages. The 2022 crisis was confined to Europe and centred on electricity, due to dependence on Russian gas and a decline in French nuclear output linked to maintenance work. This situation contributed to the sharp surge in gas prices, which peaked at nearly EUR 350 per MWh (TTF benchmark), thereby having a tangible impact even though the shortage was ultimately averted.

In 2026, the concern centres around a significant reduction in oil and gas exports from the Gulf states. Despite a partial increase in production in other regions, there was a global shortfall of nearly 13 million barrels of oil per day in March (accounting for almost 12.5% of global oil consumption). In the short term, pre-conflict shipments and strategic stock releases have helped mitigate immediate shortage risk. However, Europe remains particularly vulnerable: its refining capacity has declined in recent years, increasing its reliance on Asian countries for its refined oil (see our analysis).

Against this backdrop, the prospect of limited oil supply for several months coupled with persistently high prices is likely to result in a decrease in hydrocarbon consumption. In 2022, a decline was observed following a sharp rise in prices. However, this decline took time to materialise. For example, in France and Germany, households reduced their fuel consumption by nearly 5%, but only after almost 18 months (Chart 5). The time necessary for this decline in consumption to materialise and its relatively limited scale indicate that advanced economies are vulnerable to the risk of a shortage. Such a shortage would have a nonlinear impact on growth and inflation: it would trigger a recession, coupled with significantly higher inflation.

An impact on inflation, and therefore on consumption and growth

The shock to hydrocarbon prices has an immediate impact on inflation due to a disproportionately high pass-through of higher Brent prices to retail fuel prices (driven by the crack spread, see above). As a result, the year-on-year inflation rate accelerated by 0.6 to 1 percentage point in March (with the exception of Italy, which benefited from the positive spillover effect of the Winter Olympics). In most cases, inflation now exceeds the targets set by central banks.

For now, the 2026 shock remains confined to fuel prices. It is less widespread than in 2022, when core inflation was already rising for reasons predating the energy shock triggered by the outbreak of the war in Ukraine (Chart 6). At this stage, no uptick in core inflation is observed, and it is unlikely to materialise in the next three months at the very least (business surveys on selling prices show no signs of heightened pressure over this time period). Furthermore, wages, another key driver of inflationary spirals, have shown a decelerating trend in recent months, providing a significant mitigating factor.

However, while the inflationary mechanism does not appear to have been triggered, anticipation of it (whether justified or not) could have several effects. The first is, paradoxically, positive: households and businesses may wish to purchase goods before their prices go up, and bolster their inventories of inputs to guard against future shortages. This behaviour, which is particularly noticeable in the case of fuel, as observed in France, has, in our view, helped to underpin growth in the first quarter (see our EcoCharts of 20 April 2026).

Yet this phenomenon carries the risk of a subsequent pullback in the following quarter, which could be exacerbated if spending intentions weaken. Although this is not yet clearly evident in the March household surveys, it could materialise in the coming months.

An impact on growth, primarily through the household consumption channel

Inflationary shocks affect households, prompting them to reduce their consumption when their price expectations rise. Consequently, their perception of their financial wealth deteriorates due to the anticipation of a decline in their purchasing power. This behaviour largely explains the significant impact of an inflationary shock on growth.

Once again, 2022 offers an interesting point of comparison. Our analysis of consumption in the Eurozone and the United States shows that consumption growth slowed significantly post-Covid in the Eurozone, while it largely held up in the United States (due to the wealth effect enjoyed by American households).

Saving behaviour was disrupted by the pandemic (Chart 7). However, the household savings rate in the United States fell below its pre-Covid level. The wealthiest households were able to leverage their financial wealth to take on debt and continue spending. In the Eurozone, by contrast, households have maintained a higher savings rate. This higher level of precautionary savings accounts for the weaker performance of consumption in Europe.

The 2026 inflationary shock could again weigh on household consumption. Before the outbreak of war in Iran, spending intentions in the Eurozone had rebounded (see our analysis), raising the prospect of accelerated consumption growth. However, the current shock now threatens this outlook: our estimates suggest that a more subdued consumption growth could shave roughly a quarter of percentage point off GDP growth in 2026. In the United States, households are also vulnerable to a deterioration in their purchasing power, but two additional factors are likely to be significant: labour market conditions and wealth effect from equity markets. Regarding employment, while the unemployment rate has stabilised, the job market is no longer tight enough to drive strong wage growth, as the number of jobseekers now exceeds vacancies. The wealth effect (albeit unevenly distributed, with the less well-off not benefiting) could once again act as a buffer, provided that the robust performance of the equity markets is sustained. Overall, while U.S. household consumption growth (averaging 2.7% year-on-year between 2023 and 2025) could be affected, it is likely to prove more resilient than in other advanced economies.

Energy inflation has rebounded, but the spillover to other components is not yet visible

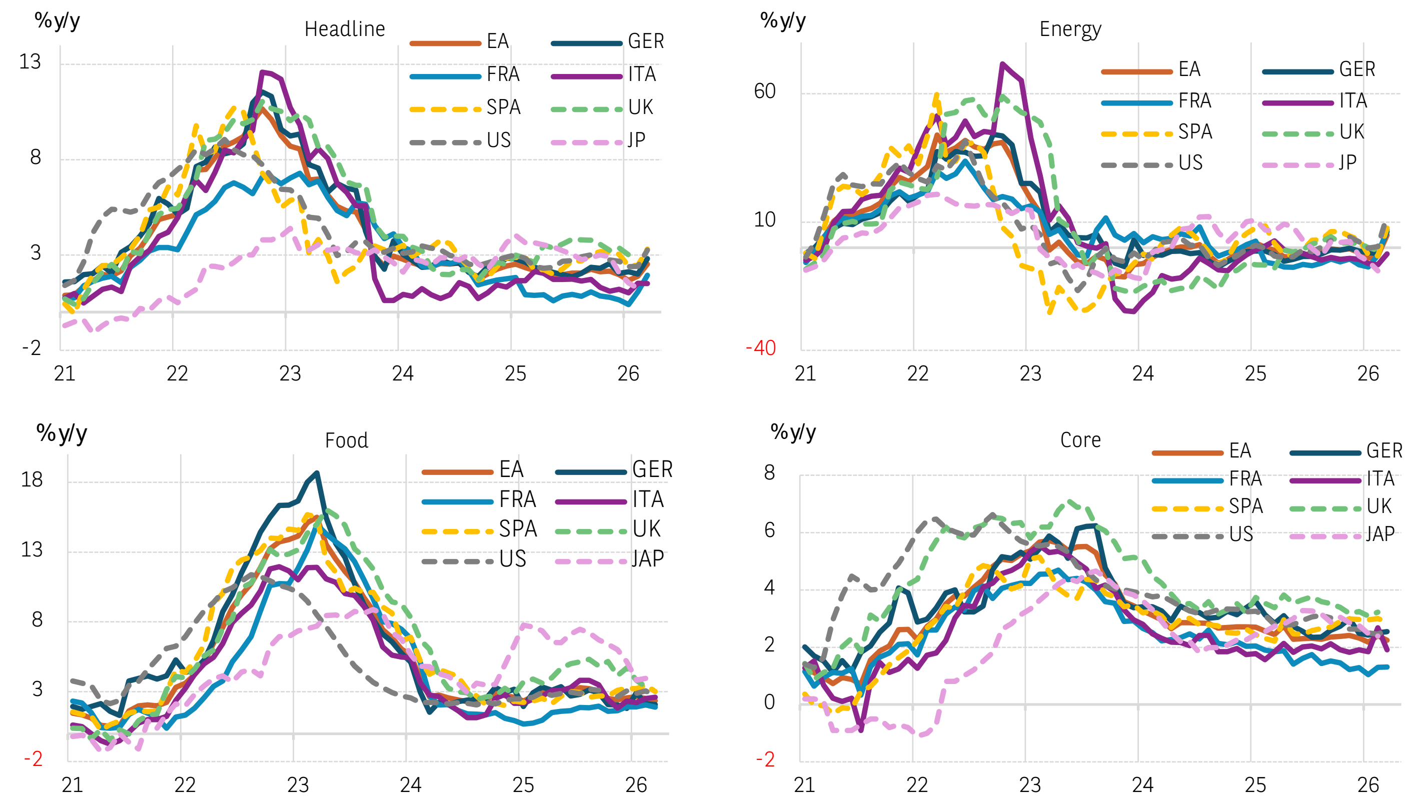


CHART 6

SOURCE: NATIONAL STATISTICS, BNP PARIBAS

The household savings rate is higher than pre-Covid levels in the Eurozone and significantly lower than that level in the United States

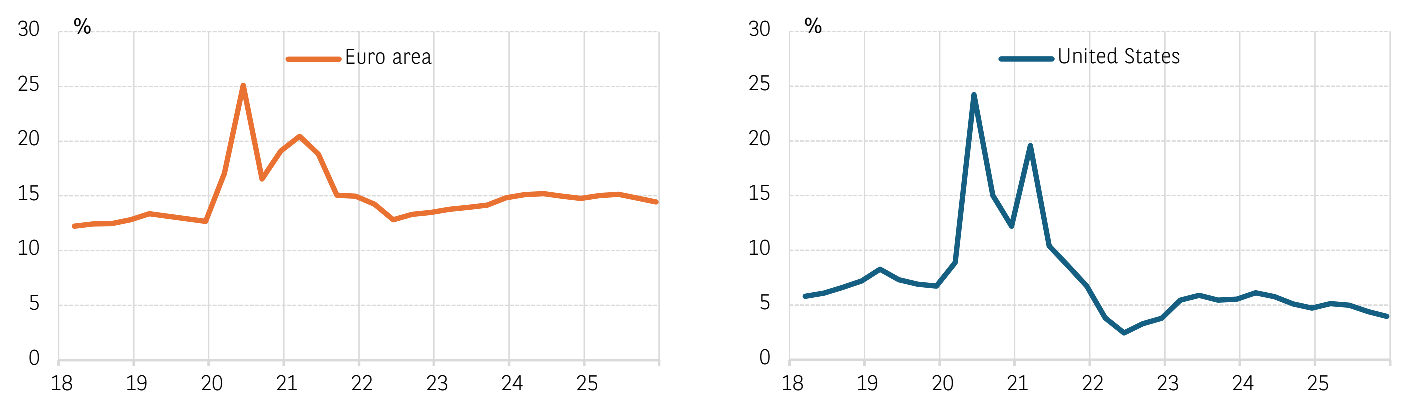


CHART 7

SOURCE: BEA, EUROSTAT, BNP PARIBAS

In Japan, the energy shock is likely to impact household consumption due to the associated loss of purchasing power, further aggravated by the weak yen. However, fiscal policy support and wage growth would help cushion this shock. Consumer confidence had reached a post-Covid high in February 2026, suggesting an acceleration in consumption growth. However, its marked decline in March has significantly diminished these expectations.

A mixed impact on economic sectors and a boost for electrification

Rising production costs are likely to weigh on businesses, particularly in sectors that are heavily dependent on energy, whether in production (primarily industry) and transport (freight, passengers, trade). Therefore, we estimate the following elasticity: a $10/barrel rise in oil prices could reduce the margins of non-financial companies by nearly 0.3 percentage points on average in the Eurozone (the effect would be comparable in France). The impact would be particularly pronounced in the retail sector (a downstream sector that is not always able to pass on cost increases to consumers), as well as in the agrifood sector (-0.7 percentage points) and the rest of industry (-0.4 percentage points). The impact would be more limited in services (excluding transport).

These elasticities should be viewed in context. Indeed, companies have the capacity to adapt and partially absorb the shock. Our country-by-country analyses suggest that wages are likely to increase at a rate lower than inflation, which would support corporate margins. Furthermore, some firms still have the capacity to pass on cost increases to their selling prices, particularly when demand is strong. However, the number of sectors in this position in 2026 is lower than in 2022, given that overall demand is less dynamic this time around: this applies to certain industrial segments, including electrical and electronic equipment, transport equipment and defense equipment. Conversely, sectors linked to consumer goods seem less capable of increasing their selling prices, as demand is more subdued than in 2022.

For industry, the issue of energy costs is not limited to transport but includes also the energy used in production (primarily electricity and gas). It is of particular concern to energy-intensive sectors (notably chemicals, metallurgy, plastics and construction). In 2022, European industry faced a significant competitive disadvantage as the prices of these two resources increased. Energy producer prices, which reflect these impacts, rose sharply at that time (Chart 8) before falling back. Regarding gas prices, the recent increase has been less pronounced compared to oil and the spike seen in 2022. Furthermore, today's lower reliance on gas for electricity generation is expected to mitigate the upside risk to energy producer prices (except in Italy, where the price of electricity remains determined by the price of gas 90% of the time). However, these risks cannot be entirely ruled out in the event of a more adverse scenario (our Scenario 4), where gas prices could rebound more sharply.

A European 'moment' in favour of electrification

Any sharp rise in fuel prices creates a positive price signal towards the electrification of transport. This opportunity was largely missed in Europe in 2022. Initially, there was a somewhat positive impact on electric vehicle sales, but the momentum stalled. A key factor was the simultaneous rise in electricity costs, which were driven by gas prices due to the pricing system based on the cost of the last unit of energy used (the most expensive), which prevails on the European electricity market. The high price of electric vehicles, uncertainties regarding technological options, battery range, and the lack of charging infrastructure also played a part. The final blow came from the reduction of government funding for the green transition, particularly in Germany and France which was scaled back to facilitate fiscal consolidation.

As a result, the European Union faces the paradox of having some of the most decarbonised electricity in the world (renewables and nuclear power accounted for 71% of generation in 2025), while also having the lowest share of electricity in the energy mix among major economic regions, at nearly 21% in 2024 (see our analysis). This figure is obviously lower than in China, which is ahead in the electrification of its vehicle fleet and in green energy, but also lower than in the United States, despite the current administration not prioritising this issue.

Circumstances may be different today as the stars are aligning. In particular, the European Commission has introduced a strategy aimed at developing mini-nuclear reactors. Furthermore, Member States have made progress in the deployment of renewable energy – particularly in Spain, but also in Germany, which is now less dependent

Energy producer prices stabilised, following the peak in 2022

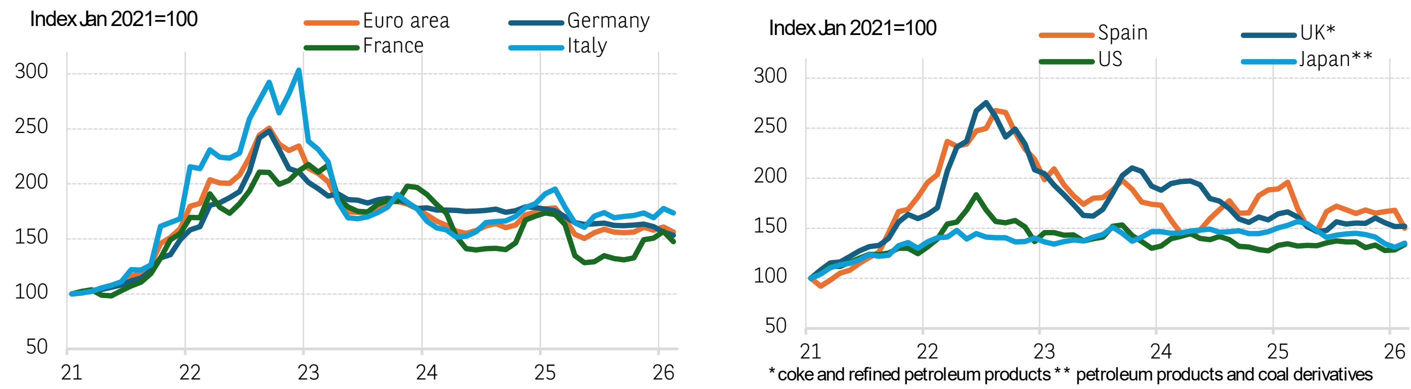


CHART 8

SOURCE:NATIONAL STATISTICS, BNP PARIBAS

The share of electric vehicles in European car registrations is expected to grow

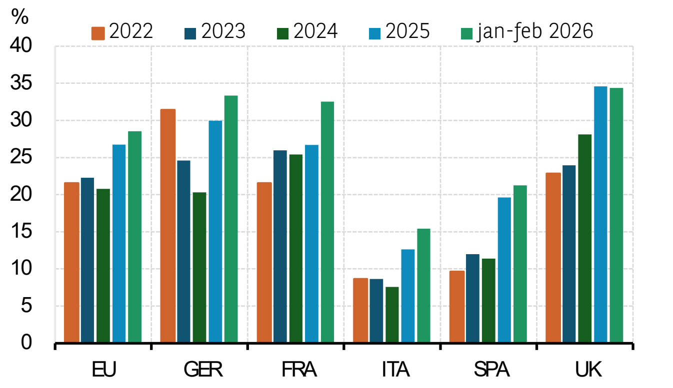


CHART 9 SOURCE: ACEA, BNP PARIBAS

on carbon-based energy for its electricity generation than in 2022. Meanwhile, France has unveiled an electrification strategy, particularly focused on supporting energy renovation of housing (including increased funding for heat pumps) and accelerated electrification of the automotive sector (which households and businesses seem increasingly ready to embrace, see Chart 9).

In this context, rising energy prices could hasten the electrification of end-use sectors and benefit several industries: electrical equipment, green energy (including wind power, of which Europe generates more domestically than solar power, in particular), the automotive sector and building renovation.

A less accommodative fiscal policy than in 2022, owing to the current high level of public debt and the rise in interest rates

The fiscal measures implemented by advanced economies' governments to address the energy shock caused by the Iran war remain, at this stage, broadly limited. Indeed, they are constrained by high levels of debt and long-term interest rates that are significantly higher than in 2022, in the context of initially more moderate inflation. However, the rise in energy prices is creating growing pressure for the introduction of public support, without triggering, at this stage, a response comparable to that seen during the 2022 shock. The latter prompted support measures of exceptional magnitude in Europe (2.2% of European GDP, according to the Commission), though these were not limited to Europe.

In Europe, a coordinated but relatively limited response

The European institutions (the Council and the Commission) are calling for coordinated, temporary and targeted measures. These measures should help contain the short-term effects of rising energy prices, while maintaining incentives for investment in the energy transition. This approach is also supported by the ECB, which is keen to limit the second-round effects of rising energy prices.

In practice, the initiatives remain essentially national and of moderate scale. Several countries are prioritising targeted fiscal or regulatory adjustments to fuel and electricity prices:

- Italy has temporarily reactivated (until 1 May) mechanisms to modify fuel excise duties and has extended certain support schemes for the most vulnerable sectors (a 20% tax credit for particularly energy-intensive agricultural businesses). The estimated cost of these measures is EUR 917 million (with the first phase having already mobilised EUR 417 million over three weeks and the second phase set to mobilise EUR 500 million) and is financed by additional VAT revenue and the sale of carbon allowances.

- The Spanish government has approved a more substantial aid package of EUR 5 billion (0.3% of GDP), combining a reduction in energy taxes (including a VAT cut on electricity from 21% to 10%) with sector-specific support measures until the end of June. Similarly to Italy, Spain plans to increase its LNG imports from Algeria.

- Portugal is maintaining the status quo by extending its fuel tax reduction measures.

- France and Germany are adopting a more cautious approach. In France, the newly introduced measures amount to around EUR 400 million (at the time of writing). These measures target the most exposed sectors (freight transport, agriculture, fishing) as well as 3 million households through fuel subsidies and loans, all within a budget-neutral strategy that avoids any blanket measures. At the same time, forthcoming measures on electrification, the details of which are yet to be finalised, form part of a broader trend combining public action with a rise in private investment in equipment that is less reliant on fossil fuels (increased purchases of electric vehicles).

- In Germany, the government has approved a EUR 1.6 billion fuel cost relief plan. This includes a two-month reduction in gasoline tax (17 cents per litre) and a tax-free employer's allowance of EUR 1,000 to be paid this year. Additional measures such as a temporary windfall tax on energy companies' profits or stricter antitrust rules to help control price rises are still under consideration. The government has also announced a strengthening of its climate strategy with a programme worth around EUR 8 billion by 2030, to accelerate decarbonisation (notably through the development of renewable energy, support for the electrification of industry, and subsidies for the purchase of electric vehicles).

Against this backdrop, several Member States (Germany, Italy, Spain, Portugal and Austria) are calling for windfall profits made by energy companies to be taxed. This initiative builds on the measures introduced in 2022 and aims to fund fiscal support measures without further deteriorating public finances.

In the UK, targeted support with minimal budget impact

Direct support is limited to a GBP 53 million fund (approximately 0.002% of GDP), for the most vulnerable households dependent on heating oil. This approach contrasts with the one implemented in 2022 in terms of scale, and is accompanied by the maintenance of the regulated energy price cap and the extension of fuel tax cuts until September 2026. At the same time, the government continues to implement structural measures to reduce households' energy dependence, notably through greater energy efficiency and electrification.

In the United States, a response focused on energy supply

The U.S. authorities have eased certain logistical constraints, notably by facilitating the domestic transport of hydrocarbons. They have also adopted a more flexible approach to sanctions against oil-producing countries, while mobilising strategic reserves. Meanwhile, targeted-price measures remain an option, such as a temporary suspension of federal gasoline taxes, which is estimated to cost around USD 21 billion over a six-month period. Taken together, this approach reflects a preference for cost-effective instruments amid persistent inflationary pressures and limited fiscal leeway.

In Japan: a more interventionist strategy

Japan stands out with a more proactive response combining the release of oil reserves (to a greater extent than in other advanced economies), subsidies aimed at stabilising prices, and potential interventions in the foreign exchange market (in the case of strong Yen volatility).

Everywhere, limited support due to much tighter fiscal space

The trajectory of public finances is likely to be affected by the macroeconomic and financial repercussions of the shock (including slowing growth, increasing inflation and rising bond yields). The scale of these effects remains highly uncertain, subject to significant risks tied to the unpredictable evolution of the conflict in Iran. Should the conflict escalate and its consequences on inflation worsen, any additional government response would need to be accompanied by consolidation measures to avoid worsening the deficit. The room for manoeuvre is thus limited.

At this stage, our estimates suggest indeed a less favourable equation than in 2022 (when the rapid rise in inflation helped lower the public debt-to-GDP ratio in all countries):

- As inflation is concentrated in the energy sector (which is imported for most countries, with the exception of the United States), nominal GDP is not expected to grow as much as it did in 2022. Back then, the rise in prices was widespread and therefore had a greater positive impact on GDP and tax revenues. In 2026, the price shock stems from imported energy, which acts as a drain on GDP (as imports are deducted from output when calculating GDP). This drain (and its impact on growth) is expected to deteriorate budget balances by approximately 0.3 to 0.5 percentage points of GDP, depending on the country. In some cases (such as France and the United Kingdom), the existence of fiscal leeway (thanks to better than expected 2025 deficits outcomes) could help absorb this impact and keep 2026 deficit targets on track. Conversely, in other cases (Italy and the United States), governments seem willing to tolerate higher deficits.

- For the past four years, all countries have been operating in an environment of elevated interest rates. While rates began to rise in 2022, their immediate impact on debt servicing was muted due to the long average maturity of public debt. Four years later, however, the effective interest rate on public debt has begun to rise, along with debt servicing, which is exerting pressure on the level of public deficits. As a result, the ability of governments to limit these deficits, and thereby stabilise their public debt ratios in the long term, is now more constrained.

Differing exposures across countries

Economies burdened with high debt and already significant deficits see their fiscal manoeuvring room particularly limited, and the impact of the shock is amplified (resulting in a more pronounced effect of rising rates and a risk premium associated with elevated debt levels). This effect is further compounded when a proportion of the debt is inflation-linked and when the average debt maturity is short.

The United States, France and Italy are starting from an already weakened position, characterised by high public debt (97.4%, 115.6% and 137.1% of GDP respectively by the end of 2025) and sizeable deficits (5.8%, 5.1% and 3.1%). This makes them more vulnerable to a rise in interest payments and a slowdown in growth.

Increased exposure of the United States, the United Kingdom, France and Italy to the shock

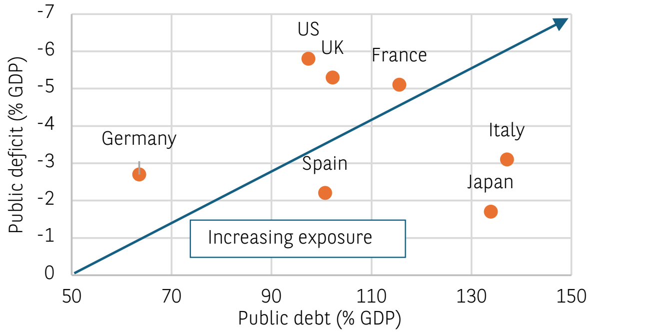


CHART 10 SOURCE: NATIONAL STATISTICS, MACROBOND, BNP PARIBAS

By contrast, Germany enjoys a more comfortable stance, with lower debt (63.5% of GDP by the end of 2025) and a contained deficit (2.7%). In terms of debt structure, the United Kingdom and Japan stand with longer average maturities (14 years and 9.5 years respectively), whereas the United States, France, Germany and Italy have shorter maturities (ranging from roughly 5 to 8 years). The United Kingdom is the most inflation-sensitive, with around 24% of its debt inflation-linked, compared to 8-13% in France, Italy and the United States, and less than 3% in Germany and Japan.

At this stage, public debt forecasts remain largely unchanged. The recent rise in interest rates on the financial markets has simply aligned them more closely with our forecasts. By contrast, the acceleration in inflation is expected to result in higher debt servicing costs (due to inflation-linked bonds) in 2026, and to a lesser extent in 2027, with an additional impact on the debt-to-GDP ratio limited to a range of 0.1 to 0.3 percentage points.

In this context, what role can monetary policy play?

Most central banks are tasked with ensuring medium-term price stability, meaning they are under no obligation to respond to inflation driven by temporary energy price spikes – especially if, as in 2018 such pressures fail to spill over into broader price growth.

Furthermore, monetary policy tends to be less effective at curbing inflation when faced with supply-side pressures compared to situations of excess demand.

- In European economies (the Eurozone and the United Kingdom), demand is considerably weaker than it was in 2022, and governments do not appear as keen to bolster it. If second-round effects were to push inflation above the targets set by the ECB or BoE (which is already the case for the latter), then central banks would still be required to respond, especially if the core component is affected. This is the likely outcome in our two most probable scenarios (Scenarios 3 and 4). Therefore, the central banks' next decision is likely to be a rate hike. However, the timing of this decision remains uncertain. In the Eurozone, inflation has so far been limited to energy prices and is not expected to extend into Q2. The BoE could be the first to act, as it had not yet managed to bring inflation back to its target when the conflict in Iran broke out.

- For the BoJ, the logic is different: the current environment only reinforces its upward bias, amidst a still gradual normalisation of its monetary policy. This normalisation could accelerate if the government were to implement its expansionary fiscal plans, which would further support demand and inflation.

- Ultimately, the greatest uncertainty lies with the Fed. The United States remains the economy where demand-driven inflation is most pronounced. However, the Fed's dual mandate – balancing price stability and maximum employment – inherently introduces two-sided risks. Our scenario assumes unchanged rates, but a sharp inflation surprise or labour market deterioration – could quickly force the Fed to abandon neutrality, as it did between September and December 2025 when employment risks intensified. Currently, the Fed is equally concerned about the risks affecting inflation as it is about those impacting employment. This ambiguity and uncertainty are far from neutral in a context where, despite a relative weakening of the dollar, the interest rates set by the world's leading central bank retain the power to drive long-term interest rates in other countries.

By the Advanced Economies Team
with the contribution of Maëlys Biot (intern)

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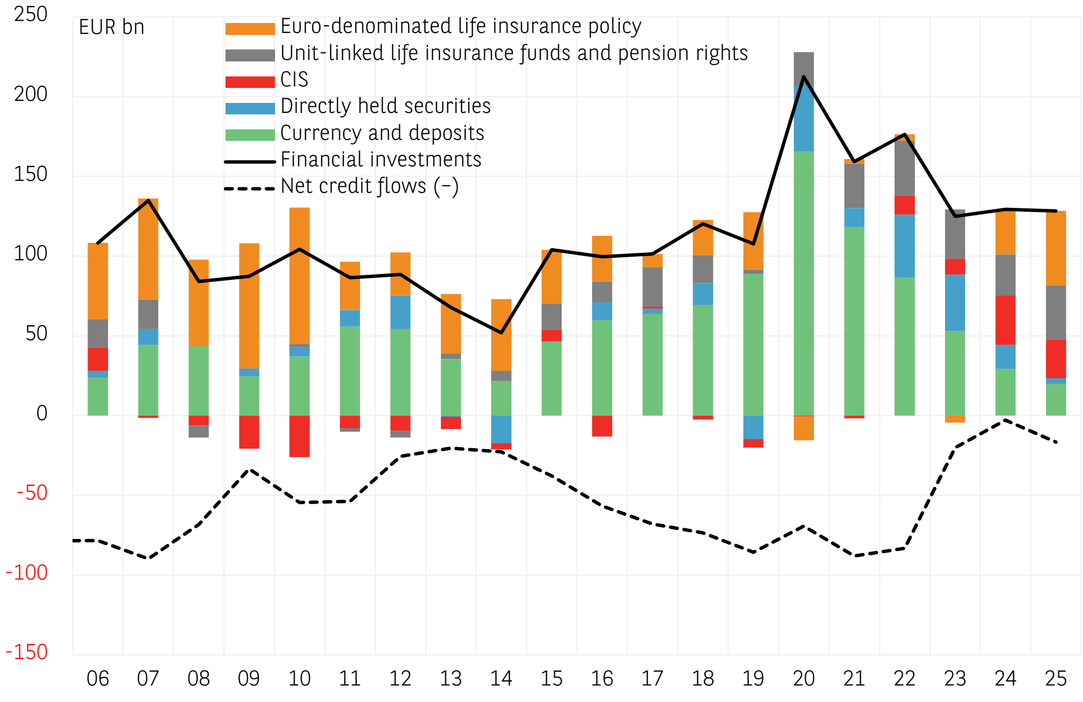
FRANCE: HOW HAS THE RISE IN INTEREST RATES SINCE 2022 AFFECTED HOUSEHOLD FINANCIAL INVESTMENT FLOWS?

Laurent Quignon

Following a prolonged period of low interest rates (2015-2020), the inflationary shock of 2021-2023 caused interest rates to rise sharply across the Eurozone, including France. This rate shock, the scale and speed of which had not been seen since the early 1990s[1], made borrowing more expensive, curbed investment in housing, and altered the relative returns among deposits, regulated savings accounts, life insurance and market investments.

Household financial investments in France: stable flows and predominantly captured by life insurance in 2025



SOURCE: BANQUE DE FRANCE, BNP PARIBAS

Fewer credit flows, fewer investment flows. The severe disruptions linked to the health crisis in 2020 and the invasion of Ukraine in 2022 led to a slowdown in financial investment flows in 2023 (black curve on the chart). This slowdown can primarily be attributed to the rise in long-term rates in 2022, which occurred in anticipation of and then in tandem with the monetary policy tightening that began in July 2022. Consequently, fixed-rate mortgage rates surged from an average of 1.07% in January 2022 to 4.17% in January 2024 (before falling back and stabilising at around 3.1% since June 2025). This interest rate shock led to a contraction in credit flows (black dotted line on the chart) and an increase in households' financing capacity[2], albeit to varying degrees: the decline in credit flows was significantly sharper than the increase in financing capacity, indicating a reduction in the gross financial resources available for investment.

A shift in financial savings towards long-term instruments. In 2024 and 2025, investment flows and credit flows have more or less stabilised, as has the gap between the two, which determines the financial savings rate. Households are continuing to invest at a high rate. However, they are

1 450 basis points for the ECB's deposit rate between July 2022 and September 2023, and +340 basis points for French long-term rates between the end of 2021 and October 2023. Since then, long-term rates have maintained a moderately upward trajectory, against a backdrop of disinflation (until February 2026) and pressures on public finances.
2 Through a decline in housing investment and, to a much lesser extent, an increase in investment income.

also borrowing less, the result being that they are also investing less in housing. The outcome is a high and relatively stable level of investment flows (EUR 128.4 billion[3] in 2025, following EUR 129.3 billion in 2024), but this stability masks a profound shift in composition. This represents the second major impact of the interest rate rise.

- Firstly, flows into cash and deposits are dwindling (green bar in the chart).

- Flows into directly held securities (blue bar chart) are also falling in 2024 and 2025, but this trend must be interpreted with caution: the decline relates almost exclusively to the fall in unlisted shares and other equity holdings, which is a diverse aggregate encompassing both private equity investments and capital contributions from partners to family-owned companies that do not fall within an investment framework.

- Conversely, collective investment schemes (CIS, red bar chart) and, above all, euro-denominated life insurance (orange bar) are gaining ground, whilst unit-linked products (grey bar chart) continue to attract inflows.

Investment flows are therefore shifting away from bank deposits towards less liquid but higher-yielding instruments. This trend is consistent with the current interest rate environment. The rise in bond yields has enabled insurers to gradually improve the returns offered on euro-denominated funds, while the Livret A savings account, which peaked at 3% in February 2023 (1.5% since February 2026), is seeing its relative appeal diminish.

An interest rate environment that is expected to remain favourable for long-term savings in 2026, despite uncertainties. For the remainder of 2026, two main trends are emerging. On the one hand, the expected reduction in the volatility of long-term rates is likely to sustain mortgage lending flows around their current levels. On the other hand, despite the likely rise in key interest rates and money market rates due to the resurgence of inflationary pressures linked to the war in Iran, the yield hierarchy is expected to remain favourable for life insurance (euro funds and unit-linked policies), as well as for collective investment schemes. These two products will also benefit from a significant buffer of bank deposits (as measured by the ratio of outstanding amounts to income). Life insurance will also continue to be bolstered by demand related to retirement planning and wealth transfer. However, this outlook is still dependent on developments in the Middle East, which could potentially impact inflation, the yield curve, and the remuneration of regulated savings, thereby altering the overall scenario.

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3 Main financial investments, excluding net miscellaneous investments, which comprise certain financial transactions.

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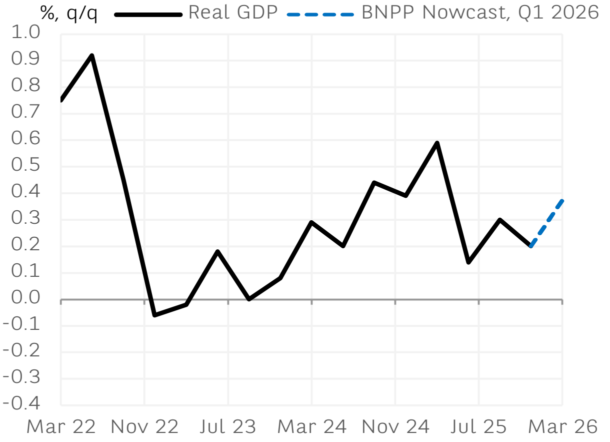
GDP Growth: Nowcasts and estimates

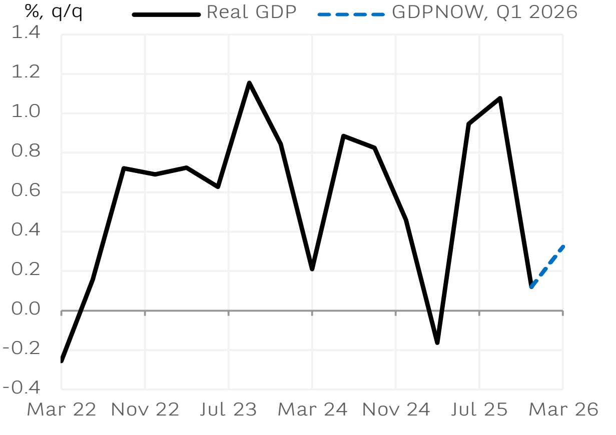
Eurozone



Sources : Refinitiv, BNP Paribas.

Our nowcast for Eurozone GDP growth indicates an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in Q1 2026.

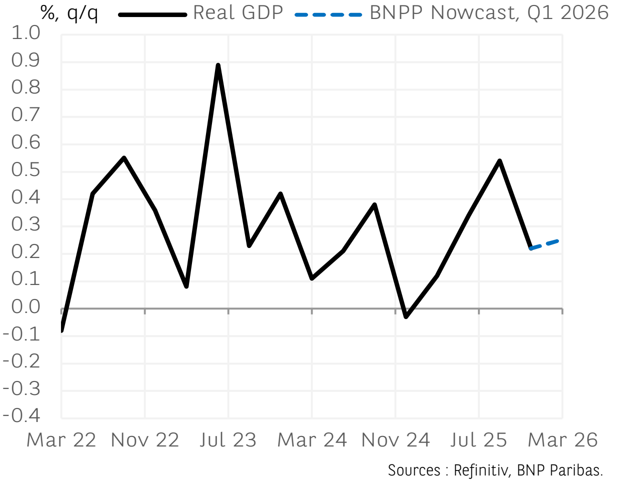
United States



Sources : Refinitiv, Atlanta Fed, BNP Paribas.

The Atlanta Fed's GDP Now indicates a modest rebound in activity in Q1 2026 (+0.3% q/q) compared with Q4 2025 (+0.1% q/q). However, the figure likely underestimates the contribution of the "Government" component, as it does not factor in the full effects of the post-shutdown rebound in October–November 2025.

France



Sources : Refinitiv, BNP Paribas.

Our nowcast for French growth suggests that the momentum seen in 2025 will continue into Q1 2026, standing at +0.3% q/q (the average level recorded since Q2 2025). This growth is driven by industry. The deterioration in household confidence in March is not expected to have an impact on Q1, but it should do so for Q2.

Anis Bensaidani, Stéphane Colliac and Guillaume Derrien (completed on 16 April 2026)

Overview: Resilient growth in the first quarter of 2026

Solid growth in Q1 2026. According to our nowcast, growth is expected to strengthen in the Eurozone (+0.4% q/q, after +0.2% in Q4) and in France (+0.3% q/q, after +0.2% in Q4), driven by a positive momentum despite the energy shock that began in March. In the United States, the rebound suggested by the GDP Now (+0.3% q/q, after +0.1% in Q4) is underestimated. This is because this indicator does not take into account the favourable post-shutdown effect (which our forecast of 0.9% q/q, non-annualised, does). In the other major Eurozone economies, growth is expected to have remained broadly stable: in Germany and Italy, the pace is expected to remain close to Q4 2025 levels (+0.3% q/q), thanks to public demand (investment and consumption). The United Kingdom is expected to see an acceleration (+0.3%, after +0.1% in Q4) due to strong production performance at the end of Q1 2026. In Japan, growth is expected to increase slightly (+0.4% q/q, compared with +0.3% in Q4). In China, it accelerated in Q1 (+1.3% q/q, compared with +1.2% in Q4). In all countries, a tendency to stockpile (before inflation accelerated) may have boosted growth for the quarter.

A risk of significantly adverse consequences from Q2 2026, though still barely noticeable. Beyond the adverse consequences linked to stockpiling in Q1, rising inflation will weigh negatively on household consumption across all economies. This factor is expected to be partially offset by robust investment (particularly in defence and AI) and public spending (despite moderate support for household purchasing power), which would avert any risk of contraction. The forecasts in this publication will be revised by the end of April in order to take into account a possible risk of more pronounced adverse consequences.

A resilient business climate but more anxious households. Business climate indicators remain broadly positive. They have not faltered despite the rise in input costs (which is still lower than the rise recorded in 2022). By contrast, household confidence is deteriorating significantly as inflation expectations rise (albeit to a lesser extent than in 2022).

Mixed financing trends but relatively unchanged support for growth. In the Eurozone, interest rates on new loans to households and businesses remained stable in February, whilst lending growth (mortgages, and consumer and business loans) was sluggish. Meanwhile, net debt-security issues were on the rise. In the United Kingdom, lending (consumer and corporate) remained buoyant whilst mortgage lending stabilised. In the United States, the rise in interest rates is expected to slow mortgage-lending growth in 2026. Consumer and corporate lending continue to rise. In Japan, lending (mortgage and corporate) continues to rise despite ongoing monetary tightening.

Lucie Barette (completed on 16 April 2026)

CONTENT

		Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26
Global	**Composite index**	-0.6	-0.5	-0.6	-0.5	-0.5	-0.5	-0.3	-0.3	-0.4	-0.1	-0.2	-0.4
	Credit*												
	Interest rate on new NFC loans, %	3.8	3.7	3.6	3.5	3.5	3.5	3.5	3.5	3.6	3.6	3.5	
	Net flows of NFC loans (12-month cumulative, EUR bn)	93	88	82	93	104	106	115	119	105	118	134	
	Net NFC debt securities issuance (12-month cumulative, EUR bn)	31	52	51	64	55	56	50	66	65	79	81	
Industry	**Business Climate**												
	Composite	-1.0	-0.9	-1.1	-0.9	-0.9	-0.9	-0.6	-0.8	-0.7	-0.5	-0.5	-0.5
	Expected production	-0.8	-0.7	-0.7	-0.3	-0.4	-0.2	0.0	-0.2	-0.1	0.0	0.0	-0.1
	Order books	-1.0	-1.0	-1.2	-1.2	-1.0	-1.1	-0.9	-1.0	-0.9	-0.7	-0.7	-0.6
	Export order books	-1.3	-1.0	-1.3	-1.2	-1.4	-1.2	-0.8	-1.2	-0.9	-0.9	-0.8	-0.7
	Price expectations	0.1	-0.1	-0.3	0.0	-0.2	-0.2	-0.1	0.1	0.1	0.1	0.2	0.7
	Employment expectations	-0.6	-0.5	-0.7	-0.7	-0.6	-0.5	-0.6	-0.6	-0.5	-0.5	-0.5	-0.4
Services	**Business Climate**												
	Composite	-0.3	-0.3	-0.3	-0.2	-0.2	-0.1	-0.1	0.0	0.0	0.1	-0.1	-0.1
	Expected activity	-0.3	-0.3	-0.4	-0.2	-0.1	0.1	-0.1	0.1	0.1	0.1	0.0	-0.1
	Price expectations	0.7	0.6	0.5	0.6	0.7	0.4	0.4	0.6	0.7	0.7	0.6	0.7
	Employment expectations	-0.7	-0.7	-0.6	-0.5	-0.5	-0.7	-0.6	-0.7	-0.8	-0.6	-0.7	-0.8
Retail	**Business Climate**												
	Retail trade	-0.6	-0.3	-0.4	-0.3	-0.2	-0.4	-0.3	-0.1	-0.3	-0.2	-0.1	-0.4
	Price expectations (Food)	0.3	0.2	0.3	0.3	0.3	0.3	0.3	0.4	0.4	0.3	0.3	0.5
Construction	**Business Climate**												
	Composite	0.4	0.5	0.5	0.5	0.4	0.5	0.5	0.6	0.6	0.6	0.5	0.5
	Expected activity	0.3	0.4	0.3	0.3	0.2	0.3	0.3	0.3	0.4	0.4	0.4	0.4
	Price expectations	0.2	0.1	0.0	0.1	-0.1	0.2	0.3	0.4	0.4	0.4	0.3	0.5
	Employment expectations	0.5	0.6	0.8	0.7	0.8	0.7	0.8	1.0	0.9	0.8	0.7	0.7
	Household Confidence & Credit*												
	Housing purchases	1.3	1.3	1.3	1.2	1.2	1.2	1.4	1.4	1.4	2.8	2.8	2.8
	Interest rate on new housing loans, %	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.4	3.4	
	New housing loans (12-month cumulative, EUR bn)	815	833	851	868	879	894	907	916	930	918	920	
Consumption	**Household Confidence & Credit***												
	Composite	-0.7	-0.4	-0.5	-0.4	-0.5	-0.4	-0.3	-0.3	-0.4	-0.2	-0.2	-0.9
	Expected financial situation	-0.5	-0.2	-0.3	-0.2	-0.4	-0.1	-0.1	-0.1	-0.3	-0.1	0.0	-0.7
	Major purchases opportunity	0.3	0.5	0.2	0.6	0.6	0.9	0.8	0.6	0.5	0.8	0.7	0.4
	Price expectations	0.8	0.3	0.1	0.4	0.5	0.4	0.2	0.3	0.6	0.3	0.5	2.2
	Fears of Unemployment	-0.3	-0.4	-0.3	-0.3	-0.2	-0.3	-0.1	-0.1	-0.1	-0.1	-0.1	-0.3
	Interest rate on new consumer loans, %	7.5	7.5	7.4	7.5	7.5	7.4	7.3	7.3	7.2	7.6	7.5	
	New consumer loans (12-month cumulative, EUR bn)	299	299	298	299	298	300	301	301	303	303	304	

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Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Positive (negative) values indicate that the indicator is above (below) its long-term average by a given number of standard deviations. Red shading corresponds to strong economic activity, elevated inflation expectations, and low unemployment fears, while blue indicates a slowdown in activity, moderate inflation expectations, and heightened unemployment fears.
**Credit indicators are neither standardised as z-scores nor associated with any colour coding: they are shown in levels (or as 12-month cumulative flows) and should be interpreted separately from the other indicators.*

Activity indices are holding up, but household confidence is eroding. Business sentiment indicators did not falter in March, and prospects of price rises are confined to a few sectors (oil and chemicals). The downturn is, at this stage, less pronounced in services and construction. Household confidence is deteriorating more noticeably against a backdrop of significantly rising inflation expectations and gloomier prospects for economic activity and unemployment.

Interest rates also remain stable, but lending is moderating. Interest rates on new loans to households and businesses remained stable in February. This stability came alongside a continued year-on-year slowdown in new loans to households for house purchase. New consumer loans continue to grow at a slower pace than its long-term average. On a year-to-date basis, the weaker momentum in net bank lending to businesses is being partially offset by the increase in net debt-security issues.

GDP: growth, carry-over and forecasts

OBSERVED GROWTH (q/q)			CARRY-OVER	NOWCAST	FORECAST (q/q)			ANNUAL FORECAST		
Q2 2025	Q3 2025	Q4 2025	Q4 2025	Q1 2026	Q1 2026	Q2 2026	Q3 2026	2025 (observed)	2026	2027
0.1	0.3	0.2	0.3	0.4	0.5	0.5	0.5	1.5	1.6	1.6

See the Nowcast methodology. Contact: Tarik Rharrab Source: Refinitiv, BNP Paribas

Growth is expected to strengthen to 0.4% q/q in Q1 2026, according to our nowcast. The strong momentum in industry seen in Q1 should enable economic activity to hold up well. Thereafter, a downside risk surrounds our forecast for Q2 (due to the impact of the energy shock, particularly on the outlook for consumption in this quarter). However, these risks to growth in 2026 will be offset by the dynamism of investment in defence and AI.

Guillaume Derrien and Thomas Humblot (completed on 13 April 2026)

Germany: Momentum continues in Q1, with risk of a pull-back in Q2

		Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26
Global	Composite index	-1.4	-1.4	-1.2	-1.2	-1.1	-1.3	-1.2	-1.3	-1.3	-1.3	-1.2	-1.5
	Credit*												
	Interest rate on new NFC loans, %	3.9	3.8	3.8	3.6	3.5	3.6	3.6	3.6	3.7	3.7	3.6	
	Net flows of NFC loans (12-month cumulative, EUR bn)	10	7	6	8	15	10	15	15	10	-3	-2	
	Net NFC debt securities issuance (12-month cumulative, EUR bn)	8	4	1	3	-2	-2	-2	2	2	4	6	
Industry	Business Climate												
	Composite	-1.6	-1.3	-1.3	-1.2	-1.2	-1.3	-1.1	-1.3	-1.3	-1.2	-1.1	-1.3
	Expected production	-0.7	-0.5	-0.9	-0.3	-1.0	-0.6	-0.4	-0.8	-0.9	-0.8	-0.5	-0.3
	Order books	-1.6	-1.5	-1.8	-1.6	-1.5	-1.8	-1.6	-1.5	-1.7	-1.5	-1.3	-1.2
	Export order books	-1.7	-1.5	-1.8	-1.6	-1.5	-1.7	-1.5	-1.4	-1.7	-1.4	-1.4	-1.3
	Price expectations	0.1	-0.3	-0.4	-0.3	-0.3	-0.5	-0.4	-0.2	-0.2	-0.2	0.0	0.5
	Employment expectations	-1.4	-1.2	-1.7	-1.5	-1.4	-1.4	-1.6	-1.7	-1.8	-1.7	-1.6	-1.5
Services	Business Climate												
	Composite	-1.2	-1.2	-0.9	-1.0	-1.0	-1.4	-1.2	-1.1	-1.3	-1.4	-1.2	-1.6
	Expected activity	-1.1	-1.0	-0.5	-0.5	-0.7	-1.1	-0.8	-0.8	-1.1	-1.1	-0.8	-1.6
	Price expectations	0.6	0.3	0.2	0.2	0.6	-0.2	0.1	0.3	0.6	0.2	0.2	0.5
	Employment expectations	-1.4	-0.9	-1.5	-1.3	-1.6	-2.2	-1.5	-2.0	-2.2	-1.4	-1.7	-1.5
Retail	Business Climate												
	Retail trade	-1.5	-0.9	-1.3	-1.6	-1.4	-1.4	-1.3	-1.6	-1.7	-1.4	-1.7	-2.0
	Price expectations (Food)	0.6	0.3	0.4	0.2	0.3	0.5	0.2	0.1	-0.1	-0.2	0.0	0.1
	Wholesale trade	-1.7	-1.3	-1.1	-1.2	-1.1	-1.3	-1.1	-1.1	-1.3	-1.2	-1.1	-1.5
Construction	Business Climate												
	Composite	-1.2	-1.0	-0.8	-0.8	-0.9	-0.8	-0.8	-0.8	-0.8	-0.8	-0.6	-0.9
	Expected activity	-1.2	-1.0	-0.9	-0.4	-0.5	-0.4	-0.4	-0.3	-0.4	-0.4	-0.2	-0.3
	Price expectations	-0.1	-0.4	-0.3	-0.1	0.0	0.0	0.0	0.1	0.1	0.1	0.4	1.0
	Employment expectations	-1.0	-0.9	-0.2	-0.2	-0.4	-0.3	-0.5	0.4	-0.2	-0.3	0.0	-0.3
	Household Confidence & Credit*												
	Housing purchases	2.5	2.5	2.5	0.7	0.7	0.7	1.2	1.2	1.2	2.5	2.5	2.5
	Interest rate on new housing loans, %	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.8	3.8	
	New housing loans (12-month cumulative, EUR bn)	220	224	227	230	232	234	236	238	241	240	240	
Consumption	Household Confidence & Credit*												
	Composite	-0.7	-0.5	-0.6	-0.5	-0.7	-0.5	-0.7	-0.9	-0.9	-0.6	-0.8	-1.2
	Expected financial situation	-0.6	-0.4	-0.4	-0.2	-0.6	-0.3	-0.7	-0.7	-1.0	-0.5	-0.5	-1.0
	Major purchases opportunity	-1.1	-1.0	-1.0	-1.1	-1.2	-1.1	-1.2	-1.0	-1.1	-1.1	-1.2	-1.4
	Price expectations	0.3	-0.1	-0.6	-0.2	0.0	0.1	0.1	0.1	0.3	-0.3	-0.1	1.7
	Fears of Unemployment	-0.9	-0.9	-0.9	-0.9	-1.0	-1.0	-1.0	-0.9	-0.9	-1.0	-1.1	-1.2
	Interest rate on new consumer loans, %	8.0	7.9	7.9	8.1	8.0	7.9	7.9	8.0	7.7	8.1	8.1	
	New consumer loans (12-month cumulative, EUR bn)	95	94	93	92	91	91	91	90	90	90	90	

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Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Positive (negative) values indicate that the indicator is above (below) its long-term average by a given number of standard deviations. Red shading corresponds to strong economic activity, elevated inflation expectations, and low unemployment fears, while blue indicates a slowdown in activity, moderate inflation expectations, and heightened unemployment fears.

**Credit indicators are neither standardised as z-scores nor associated with any colour coding: they are shown in levels (or as 12-month cumulative flows) and should be interpreted separately from the other indicators.*

The energy shock has mainly resulted in precautionary behaviour on the part of firms, which increased their inventories in March. This reflects the sharp rise in input costs (which are still below their 2022 levels, however). In the short term, the build-up of corporate inventories (prior to the acceleration in inflation) has supported production. The rise in energy prices does not appear, at this stage, to have affected household spending behaviour.

Macroeconomic pressures have led to a marked slowdown in housing loans and a decline in consumer and business lending. Whilst interest rates remain stable, new loans to households for house purchase continued to slow on a year-on-year basis in February. Consumer loans continue to decline sharply. Year-on-year, net bank lending to businesses fell for the second consecutive month in February, a situation which had not been seen since 2015. This decline is only being marginally offset by the modest year-on-year rise in net debt-security issues.

GDP: growth, carry-over and forecasts

OBSERVED GROWTH (q/q)			CARRY-OVER	FORECAST (q/q)			ANNUAL FORECAST		
Q2 2025	Q3 2025	Q4 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026	2025 (observed)	2026	2027
-0.2	0.0	0.3	0.2	0.3	0.5	0.5	0.4	1.4	1.5

Source: Refinitiv, BNP Paribas

Growth is expected to reach 0.3% in Q1, as in Q4 2025. This continued momentum would once again be driven by public investment and consumption, whilst private consumption is expected to be robust in Q1 (as household purchasing intentions have not deteriorated significantly). Inventory build-up is also expected to have a positive impact, whilst import dynamics will mean that net exports will continue to contribute negatively.

Adverse consequences could be seen in Q2, with household consumption growth hampered by rising inflation. Public consumption and investment (at least public investment) would remain robust.

Lucie Barette and Thomas Humblot (completed on 13 April 2026)

France: Growth held up well in Q1

Sector	Indicator	Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26
Global	**Composite index**	-0.1	-0.5	-0.9	-0.7	-0.7	-0.6	-0.4	-0.3	-0.4	0.3	-0.1	-0.5
	Credit*												
	Interest rate on new NFC loans, %	3.7	3.5	3.5	3.5	3.4	3.4	3.4	3.4	3.5	3.5	3.5	
	Net flows of NFC loans (12-month cumulative, EUR bn)	31	29	15	24	22	25	25	26	21	21	23	
	Net NFC debt securities issuance (12-month cumulative, EUR bn)	-6	5	9	19	19	32	31	37	34	45	44	
Industry	**Business Climate**												
	Composite	0.0	-0.6	-1.0	-0.8	-0.6	-0.6	-0.1	-0.4	-0.4	0.7	0.1	-0.4
	Expected production	0.1	-1.0	-0.9	-0.8	-0.9	0.1	0.9	0.4	0.2	0.8	0.0	-0.1
	Order books	-0.1	-0.6	-0.6	-0.3	-0.3	-0.6	0.1	-0.4	0.0	0.5	0.0	-0.2
	Export order books	-0.2	-0.3	-0.2	-0.4	-0.2	-0.2	0.9	0.0	0.6	0.7	0.5	0.0
	Price expectations	0.0	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.3	-0.4	-0.2	0.1
	Employment expectations	0.2	0.2	0.3	0.1	0.1	0.4	0.4	0.3	0.4	0.4	0.3	0.3
Services	**Business Climate**												
	Composite	0.0	-0.4	-0.5	-0.2	-0.5	0.0	-0.2	-0.1	0.0	0.0	-0.2	-0.3
	Expected activity	0.0	-0.4	-0.8	-0.2	-0.3	0.2	-0.3	0.0	0.0	0.0	-0.4	-0.3
	Price expectations	0.5	0.4	0.2	0.6	0.8	0.4	0.5	0.4	0.5	0.6	0.3	0.3
	Employment expectations	-0.7	-1.4	-1.0	-1.0	-0.6	-0.9	-0.6	-0.3	-0.7	-0.4	-0.7	-0.6
Retail	**Business Climate**												
	Retail trade	-0.9	-0.8	-1.0	-0.4	-0.3	-1.3	-1.2	-0.6	-0.7	-0.5	-0.5	-1.0
	Price expectations (Food)	0.0	-0.1	-0.1	-0.1	0.1	0.1	-0.2	0.2	0.1	0.0	0.1	0.1
	Wholesale trade	-0.6	-0.6	-0.6	-0.3	-0.3	-0.1	-0.1	-0.1	-0.1	0.1	0.1	-0.5
Construction	**Business Climate**												
	Composite	-0.1	0.0	0.0	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2
	Expected activity	-0.4	0.2	-0.2	-0.4	0.1	0.1	-0.3	-0.4	-0.5	-0.4	-0.2	0.1
	Price expectations	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	-0.1	-0.1	-0.1
	Employment expectations	0.1	0.2	0.2	0.1	0.2	0.1	-0.1	-0.1	0.0	0.0	0.0	0.0
	Household Confidence & Credit*												
	Housing purchases	-0.2	-0.2	-0.2	-0.1	-0.1	-0.1	0.2	0.2	0.2	1.5	1.5	1.5
	Interest rate on new housing loans, %	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.1	3.1	
	New housing loans (12-month cumulative, EUR bn)	162	166	170	173	175	179	182	185	187	188	188	
Consumption	**Household Confidence & Credit***												
	Composite	-0.7	-0.9	-0.9	-0.7	-1.1	-1.2	-0.5	-0.5	-0.6	-0.5	-0.2	-0.8
	Expected financial situation	0.1	-0.1	-0.1	0.2	-0.4	-0.4	0.4	0.3	0.0	0.4	1.0	0.1
	Major purchases opportunity	-0.2	-0.5	-0.4	-0.3	-0.4	-0.7	-0.7	-0.7	-0.5	-0.6	-0.6	-0.6
	Price expectations	-0.6	-0.7	-0.9	-0.2	0.2	-0.1	-0.2	-0.1	0.1	0.1	-0.2	1.5
	Fears of Unemployment	-0.4	-0.8	-0.5	-0.4	-0.4	-0.4	-0.1	-0.3	-0.1	-0.2	-0.4	-0.2
	Interest rate on new consumer loans, %	6.4	6.3	6.2	6.0	6.0	6.0	6.0	6.2	6.0	6.4	6.3	
	New consumer loans (12-month cumulative, EUR bn)	73	73	72	72	72	72	72	72	72	71	71	

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Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Positive (negative) values indicate that the indicator is above (below) its long-term average by a given number of standard deviations. Red shading corresponds to strong economic activity, elevated inflation expectations, and low unemployment fears, while blue indicates a slowdown in activity, moderate inflation expectations, and heightened unemployment fears.
**Credit indicators are neither standardised as z-scores nor associated with any colour coding: they are shown in levels (or as 12-month cumulative flows) and should be interpreted separately from the other indicators.*

The impact of the energy price shock has been limited so far. Expected price indices rebounded only slightly in March, across all sectors (a very different situation to 2022). For the time being, this shock does not involve any major supply constraints. Output is likely to be more severely affected by falling demand as the issue of purchasing power resurfaces. Although this is a concern for households, they have not yet scaled back their spending intentions.

Lending trends are beginning to reflect these tensions, as lending to households is slowing, whilst lending to businesses remains relatively stable. The year-on-year slowdown in new mortgage lending loans to households for house purchase accelerated in February as interest rates began to rise. New consumer loans have fallen for the eighth consecutive month, whilst interest rates remain at historically high levels. On a year-to-date basis, net flows of bank lending to businesses – driven in particular by the repayment of state-guaranteed loans – and net debt-security issues have risen only slightly since December 2025. Bank lending rates remained stable in February.

GDP: growth, carry-over and forecasts

OBSERVED GROWTH (q/q)			CARRY-OVER	NOWCAST	FORECAST (q/q)			ANNUAL FORECAST		
Q2 2025	Q3 2025	Q4 2025	Q4 2025	Q1 2026	Q1 2026	Q2 2026	Q3 2026	2025 (actual GDP)	2026	2027
0.3	0.5	0.2	0.5	0.3	0.3	0.3	0.3	0.9	1.3	1.3

See the Nowcast methodology. Contact: Tarik Rharrab — Source: Refinitiv, BNP Paribas

Growth is expected to have reached 0.3% q/q in the first quarter of 2026, according to our nowcast. This acceleration compared with Q4 2025 (0.2% q/q) indicates that demand (private, public, and export) remains strong. Furthermore, this growth is thought to have been supported by households stockpiling goods in anticipation of rising inflation.

In Q2, there is a significant likelihood of adverse consequences. Our forecasts are expected to be updated soon in order to reflect the expected impact of the energy shock. Although inflation remains relatively contained outside the energy sector, this fear persists among households. Therefore, they are likely to scale back their spending intentions, which could push GDP closer to stagnation in Q2 (contrary to the forecast of 0.3% q/q prior to the outbreak of the war in Iran).

Stéphane Colliac and Thomas Humblot (completed on 13 April 2026)

IMF SPRING MEETINGS: COMING TO TERMS WITH MULTIPLE REGIME CHANGES WITH REALISM, RESILIENCE AND REWIRING

Despite the war and energy shocks unfolding in parallel to the Meetings, finance officials, central bankers and other delegates took the situation with a poise that contrasted with the sense of shock that followed Liberation Day. Unable to predict with any degree of confidence how the war would evolve, and hence how large the economic damage would be, delegates focused more than usual on what lies beyond the near-term outlook: regime changes in geopolitics, economics and markets; how to explain and preserve recent resilience; and the multiple ongoing re-wirings of the fabric of the global economy and financial markets. Here are some personal key takeaways.

REALISM

While interactions at the IMF/WB Meetings are always, to some degree, a communication exercise, participants, this time, appeared remarkably lucid and candid about the scale of the challenges faced:

No baseline. Rather than providing its usual baseline year-ahead forecasts, the IMF acknowledged that with the future path of the ongoing war in the Middle East still highly uncertain, and hence too the size and length of the energy shock, the best that could be done was to provide different scenarios: a benign "reference" one, a mildly adverse one and recessionary one. In all scenarios, growth is revised lower and inflation higher, with net energy importers and poorer countries hit disproportionately. So far, so consensus. But Saudi Finance Minister Al-Jadaan, who chairs the International Monetary and Financial Committee, struck many by his words of warning that "*the hope is that we will see a serious, credible deescalation. And until that happens, I do not think we are on whatever base scenario*."[1]

Prudent policy responses. Against the backdrop of ever-rising public debts, the IMF and central banks cautioned fiscal authorities that any support to help handle the energy shock should be targeted, temporary and tailored (i.e., small). For central bankers, prudence meant adopting a firm wait-and-see stance, promising both vigilance and, at least in developed markets, patience. They vowed not to let inflation get out of hand again, but equally not to tighten policy unless and until they saw evidence of second round effects (e.g., in inflation expectations, wages, or prices beyond energy). Key to this posture was high uncertainty not just about the size and length of the energy shock, but also about households and firms' reaction to it in the current macroeconomic environment, very different from that of 2022.2

Geopolitical regime change: "I*nternational law is a fiction invented by the US and it is gone!*", said a US official at one Spring Meeting dinner. The return of "hard power" was another theme running through the Meetings. The war in the Middle East will not be the last manifestation of this, and many warned Greenland would return to front pages soon. Three implications were widely shared: first, the level of geopolitical risk is set to be permanently higher; second, all nations that hitherto benefited explicitly or implicitly from US military protection should move quickly to being able to defend themselves; third, China's standing as a top power comes out stronger, both in a relative and an absolute sense. And the current US administration will not directly confront it.

Economic regime change. String together the key topical economic themes discussed across various Spring Meetings panels, and regime change is undoubtedly what they add up to:

- Multiple supply constraints becoming binding in succession, gradually (e.g., electricity near data centers, labour force) or suddenly (e.g., rare earths, helium or oil);
- Inflation needing to be pushed down to target, not up;
- Investment needs exploding (infrastructure, defense, energy, AI) instead of a global savings glut, leading to a structurally higher cost of capital;
- Resilience and sovereignty competing with efficiency in corporate decisions and public policies;
- Artificial intelligence (AI) having the potential to alter the growth paths of all economies that adopt it, but also wreak havoc in their labour markets.

Persistently high uncertainty. The result of all these paradigm shifts is that unusually high uncertainty regarding the path of the economy prevails and is likely to persist. This requires fundamental changes in decision-making approaches by policymakers, entrepreneurs and investors alike to shock-proof their strategies.

RESILIENCE, UP TO A POINT

Economic resilience. Despite the multitude of shocks that have hit the global economy in recent years, growth outcomes have been solid, inflation mostly tamed, and labour markets strong but not overly so. The IMF scenarios assessing the impact of the ongoing energy shock further confirm this diagnostic. The causes? Spring Meetings delegates saw three: plentiful liquidity and easy financial conditions, fiscal accommodation, and investment booms driven by strategic needs: technological modernization (including, but not limited to AI build-up and adoption), rearmament, and supply-chain adaptation (*see below*).

Market resilience. The apparent disconnect between buoyant stock markets and economic risks was noted in nearly all conversations. Policymakers were more concerned than private sector participants, however. The latter stressed that stock markets are narrower than economies; in the US in particular, they overwhelmingly reflect the dynamism of a handful of tech firms, which is expected to continue. More generally, while few doubt the ongoing war in the Middle East will leave a long tail of economic costs, it is also possible to be more bullish about the prospects of firms benefiting from the ongoing structural transformations of the economy. Most are in the US, but not only.

1 See Press Briefing Transcript: International Monetary and Financial Committee, Spring Meetings 2026
2 We document these differences systematically here

If anything, private sector participants appeared more concerned by the limited extent to which sovereign bond markets have started pricing in fiscal risks, notably in the US.

Wearing thin? While the structural drivers of resilience are likely here to stay, financial conditions will need to reflect more hawkish central bank policies, and could be further tightened by a variety of factors: growing concerns around private credit limiting additional financing flows from this source; sudden spikes or even just a gradual increase in risk aversion, from a place where credit spreads are at all-time lows, and term premium off its lows but conceivably still too low (given the near record-high levels of public debt to GDP/ratios in most countries, and often rising).

REWIRING FOR THE NEW WORLD WE ARE IN

Shock-proofing supply chains. Prior to the war in the Middle East , the focus would have been almost exclusively on critical materials, after China's brief imposition of export controls last year revealed how manufacturers in the entire world critically depend on this chokepoint. But the disruptions triggered by the war made clear that the goal has to be defined more broadly, namely immunizing supply chains both from known chokepoints and from unknown disturbances, be they geopolitical, cyber, or nature-driven (like pandemics or climate change). Expect substantial efforts and capital to be deployed from governments and businesses alike towards diversification of suppliers (and energy sources), stockpiling, and emergence of national or regional champions in areas deemed essential for sovereignty.

AI. The topic was ubiquitous at the Meetings, with far more questions than answers at this stage. While there is general optimism about its potential to raise productivity, create new jobs and continue to generate large revenues for some, there was at least an equal amount of unease about the seismic risks posed to job markets and financial stability. The latter relates to concentration risk inthe stock markets and economies of countries at the center of the AI production chain (notably Korea and the US). In the US, the concentration risk extends also to investment grade credit markets, and private credit.

Dedollarization. Like last Spring, the theme featured prominently, but with new angles. We should expect meaningful shifts in capital flows as most Gulf countries receive lower export revenues owing to the war and will need to recycle them at home to rebuild rather than invest them abroad. Separately, consensus expects further diversification from overexposure of global investors to the US, but return-seeking capital will continue to find US markets uniquely attractive; however, concerns surrounding US Treasuries and their unreliability as risk hedges in the current environment mean that non-US assets are now needed for risk management. Europe was generally seen as attractive in that context, as well as emerging markets; within the latter group, for the first time in a long while, Latin America stood out with a combination of attractive features: relatively insulated from the ongoing energy shock, large producer of many raw materials that the world needs, credible central banks, and more market-friendly governments.

Digital Finance. These meetings confirmed, even more than the last, how far this topic has come of age, mobilizing leading central bank chiefs, regulators and finance CEOs alike. A notable evolution from the last IMF/WB Meetings was the shift from enthusiasm about stablecoins to excitement about tokenized finance at large. An emerging consensus was that if the main traditional finance actors are able to cooperate to tokenize their existing products and services and make them interoperable, as they intend to, the use cases for stablecoins will remain very limited. For many, this would be a good outcome.

Isabelle Mateos y Lago

Find out more in our scenario and forecasts

WORLD

In its April World Economic Outlook, the IMF has revised downwards its global growth forecast for 2026, while maintaining the projection for 2027, based on the assumption of a 'limited and short-lived' war. In this baseline scenario, the global growth forecast for 2026 stands at 3.1% (unchanged from October 2025, but down 0.2 percentage points from January). The forecast for 2027 remains at 3.2%.

The UK has seen the sharpest downgrade among advanced economies (-0.5 percentage points for 2026 and -0.2 percentage points for 2027), ahead of the eurozone (-0.2 percentage points for both 2026 and 2027). The revision for the United States is minimal (-0.1 percentage points in 2026 but +0.1 percentage points in 2027).

In emerging and developing economies, under the baseline scenario, the average growth forecast for 2026 has been revised to 3.9% (-0.3 pp compared with January), down from the 4.4% in 2025. Growth is expected to recover to 4.2% in 2027 (+0.1 percentage points). The average revisions are modest, attributed to stronger supportive factors than initially anticipated at the start of the year (reduction in US tariffs, significant carry-over effects following a robust Q4 2025 and Q1 2026). However, the repercussions of the war in the Middle East vary widely between countries, ranging from a pronounced impact on low-income net energy-importing countries to a neutral, or even positive, impact on net energy-exporting countries. The most significant revision since January, unsurprisingly, pertains to the Middle East and North Africa region, where growth is expected to be just 1.1% in 2026. Five of the eight hydrocarbon-producing countries in the Persian Gulf are expected to see their GDP contract to varying degrees this year.

ADVANCED ECONOMIES

UNITED STATES

Tensions are mounting regarding K. Warsh's confirmation: K. Warsh's hearing before the Senate Committee on Banking, Housing, and Urban Affairs begins this Tuesday. Republican Senator T. Tillis, whose vote is essential to securing a majority, is tying his support for K. Warsh to the abandonment of proceedings against J. Powell (an attempt to search the Fed's premises has just taken place). President D. Trump is threatening to remove J. Powell (although it is uncertain whether he has the authority to do so) if Powell remains on the Board of Governors after his term as FOMC Chair expires.

A more moderate-than-expected rise in producer prices, with an unexpected increase in regional business sentiment surveys: producer prices rose by 4% y/y in March (3.4% y/y in February; consensus for April: +4.6%), driven by energy prices. The core component is stable (+3.8% y/y). Manufacturing output stagnated in March (-0.1% m/m), while existing home sales fell (-3.6% m/m). Builders are reporting a deteriorating outlook (34, -4 m/m) according to the NAHB index. The April regional surveys (Empire, Philly Fed) show clear improvements in the business climate in industry, despite a rise in the input price index. The 'prices received in 6 months' component is up in both surveys.

As expected, the Fed is slowing the expansion of its balance sheet: on 13 April, the Fed announced a reduction in its monthly net purchases of T-bills to around USD 40 billion (down from USD 55 billion since December). As it will not be reinvesting maturing MBS, its balance sheet is expected to grow by USD 25 billion each month (an increase of USD 350 billion over the year). Looking ahead to 2035, the Fed plans to continue at the same pace (expanding its portfolio by USD 350-400bn each year) in order to maintain banks' reserve holdings at 9.3% of GDP. *Coming up: retail sales (Tuesday).*

EUROPEAN UNION

Strengthening measures to bolster competitiveness : the European Parliament and the Council have agreed to halve the duty-free steel import quotas and to double the duties outside the quota (to 50%). These new rules will apply to products imported from all countries (except Iceland, Norway and Liechtenstein). They will replace the steel safeguard measure, which is due to expire in June 2026. The Commission is set to introduce new guidelines on mergers between European companies. It has also launched consultations with Member States on relaxing the temporary state aid framework, paving the way for targeted support for sectors significantly affected by the crisis in the Middle East. This new framework is expected to be adopted by the end of April. Furthermore, the Commission is expected to unveil a policy paper aimed at mitigating the impact of rising energy prices.

EUROZONE

Slight upward revision to inflation : It reached 2.6% in March (revised up by 0.1 percentage points). On a twelve-month rolling basis, the current account surplus stood at EUR 289 billion in February 2026, compared with EUR 371 billion a year earlier. *Coming up: PMI (Thursday).*

France: the government is maintaining its deficit target, while business start-ups are rising sharply. Growth has been revised downwards from 1% to 0.9% in 2026 (due to the conflict in Iran), while inflation was revised higher from 1.3% to 1.9%. The public deficit target is 5% of GDP, with the flexibility created by a lower-than-expected deficit in 2025 (5.1% compared to 5.4%) being offset by the impact of the inflationary shock on growth and debt servicing. The Banque de France projects growth of 0.3% in Q1 2026 (our nowcast arrives at the same result). Business start-ups rose by 5% q/q in Q1 2026 (following a 5% increase in 2025), driven by services, including information & communication and business support (two sectors linked to AI). Services also account for the rise in business insolvencies (+6.4% y/y in Q1 2026 according to Altares). *Coming up: INSEE business climate and PMI (Thursday), household confidence (Friday).*

Germany: acceleration in wholesale price inflation; the government announces further support measures. The rise in wholesale prices reached +4.1% year-on-year in March (+1.2% on average between December and February), driven by energy products and raw materials. To mitigate the rise in energy prices, the government has announced: 1/ a reduction in fuel taxes of EUR 0.17 per litre for two months (the cost of EUR 1.6bn will be financed by antitrust or tax measures targeting companies in the energy sector); 2/ a tax-free bonus of EUR 1,000 that companies will be able to pay to their employees (to be funded by an increase in tobacco tax). Following the EU's approval of temporary aid for electricity prices, the government plans to introduce subsidies aimed at reducing energy costs for heavy industry (€3.8bn, including €800m more than planned in November). Beneficiaries will be required to invest at least 50% of the aid received in new or modernised assets to reduce electricity grid costs without increasing fossil fuel consumption. *Coming up: producer prices (Monday), government macroeconomic forecasts (Wednesday), PMI (Thursday), Ifo business climate (Friday).*

Spain: Headline inflation was revised upwards by 0.1 percentage points to 3.4% year-on-year in March, while core inflation was revised up by 0.2 pp to 2.9% year-on-year (due to rising transport costs). *Coming up: foreign trade (Tuesday), producer prices (Friday).*

UNITED KINGDOM

Economic activity held up well in February. GDP rose by +0.5% m/m in February (+0.1% m/m in January), bolstered by services (+0.5%) and industry (+0.5%, driven by energy, in contrast to -0.1%

Find out more in our scenario and forecasts

in manufacturing). The BRC leading indicator for retail sales rose by +3.1% y/y in March (Easter fell earlier in the calendar than in 2025). *Coming up: unemployment and wages (Tuesday), inflation (Wednesday), PMI (Thursday), GfK consumer confidence and retail sales (Friday).*

EMERGING ECONOMIES

Emerging markets: Sharp contraction in portfolio investment. According to IIF estimates, outflows of non-resident portfolio investment from major emerging markets reached a record USD 70 billion in March 2026. However, South Korea and Taiwan, which should be regarded more as developed countries, accounted for three-quarters of this figure.

AFRICA & MIDDLE EAST

Saudi Arabia: No inflationary pressures despite the conflict. Inflation rose slightly in March to 1.8% y/y , up from 1.7% in February, mainly due to seasonal effects on food prices (+0.3%) linked to Ramadan. Elsewhere, the slowdown continues in the property sector (+3.9%, its lowest level since October 2022), the 'transport' component is slowing down and energy prices remain unchanged (as they are regulated). **Furthermore, the Saudi sovereign wealth fund, the PIF, has just unveiled its new strategy for 2026–2030**. Structured around three portfolios, this strategy marks a shift towards seeking greater efficiency in investments focused on domestic economic development, while maintaining an international dimension.

ASIA

China: Growth accelerated in Q1 2026 and continues to follow a 'K-shaped' trajectory. Real GDP grew by +5% y/y (and +1.3% q/q), following +4.5% in Q4 2025 (+1.2% q/q). On the one hand, exports remained buoyant (+17.4% y/y in value terms vs 5.1% in H2 2025) and supported industrial production (+6.1% y/y in real terms in Q1, following +5.0% in Q4 2025). Imports rebounded sharply (+22.4% y/y in Q1 vs +3.6% in H2 2025), due to a price effect and the significant rise in trade of electronic goods. On the other hand, domestic demand remained sluggish. Retail sales, which had rebounded in the first two months of the year, slowed again in March (+0.7% y/y in real terms), due in particular to a reduced impact from government subsidy schemes for the replacement of certain consumer goods. The contraction in property transactions (-11% y/y in Q1) and house prices (-6.3% y/y on average in the existing housing market) continued. Growth in services slowed from +5.6% y/y in Q4 2025 to +5.0% in Q1 2026. The strong Q1 GDP figures should reinforce the authorities' decision to provide moderate support for demand – particularly as China is fairly well positioned to withstand the repercussions of the war in the Gulf.

EMERGING EUROPE

Romania: Unsurprisingly, inflation rose in March (9.9% y/y vs 9.3% in February), mainly due to rising fuel prices. As measures to curb inflation are very limited (caps on retail margins, reductions in excise duties), inflation is expected to reach double figures as early as next month. The Central Bank kept its key interest rate unchanged last week and is expected to remain cautious in the coming months.

Hungary: The final vote count is complete and confirms the two-thirds majority secured by Tisza in the elections held on 12 April, with 141 seats secured out of the 199 in Parliament, exceeding initial estimates. Fidesz came second with 52 seats, while Mi Hazánk obtained 6 seats. The Hungarian President is due to officially announce the election results by early May and propose the name of the Prime Minister.

Bulgaria: The centre-left party, Progressive Bulgaria, won the general election on 19 April (the eighth election in five years). The party, led by Rumen Radev (the former president who resigned last December), won the election with 44.7% of the vote and an absolute majority in Parliament (around 130 seats out of 240), according to the latest estimates. Progressive Bulgaria campaigned on an anti-corruption platform. This is likely to be one of the future government's priorities and, in the long term, should improve the business environment. However, structural changes will take time. Furthermore, Rumen Radev's victory could signal a less pro-European stance for Bulgaria.

LATIN AMERICA

Argentina: Rising inflation. Unsurprisingly, the consumer price index increased by 3.4% m/m in March, compared with 2.9% in February and 3.7% in March 2025. Year-on-year, the inflation rate fell slightly to 32.6% from 33.1% in February. The 'petrol' category recorded one of the sharpest rises (7% m/m), but this was much lower than the rise in crude oil prices on international markets, thanks to a commitment by the oil company YPF (which accounts for half of the motor fuel market) not to raise prices until May.

COMMODITIES

The OPEC+ and IEA forecasts for global oil demand in 2026 diverge significantly. While the IEA anticipates a slight decline in 2026 (-0.08 mb/d to 104.3 mb/d), OPEC maintains its growth scenario (+1.4mb/d to 106.5 mb/d), assuming that the decline forecast for Q2 2026 will be offset by a rise in demand towards the end of the year.

According to the IEA, oil supply contracted by 10.1 mb/d in March 2026. Furthermore, for the year as a whole, the IEA forecasts an average increase in production from non-OPEC+ countries of 0.85 mb/d. For its part, OPEC forecasts an increase of 0.6 mb/d.

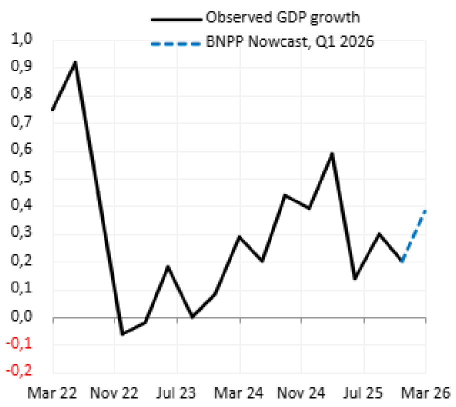
The spread between the spot price of Dated Brent (for immediate delivery) and the June 2026 Brent futures contract (the nearest expiry) narrowed to $8.50/bbl on 17 April (compared with $30/bbl at the start of the week). However, ongoing restrictions on maritime traffic in the Strait of Hormuz are weighing on the price of Brent for June 2026 delivery, which stands at around $96/b on Monday 20 April (+6% compared to its closing price last Friday).

Aluminium prices have reached their highest level since March 2022 (USD 3,644/MT on the LME) due to constraints affecting production in the Gulf countries, which account for 9% of global capacity (damaged facilities and the blockade of the Strait of Hormuz).

The scenario, forecasts and nowcasts of the Economic Research – 20 April 2026

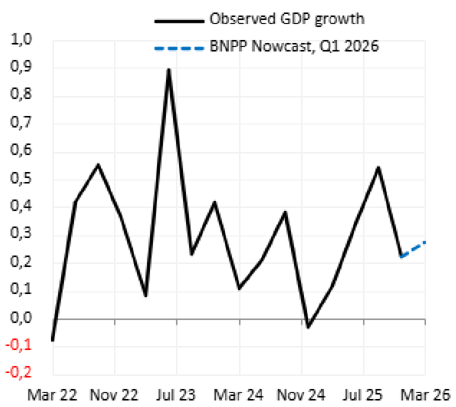
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



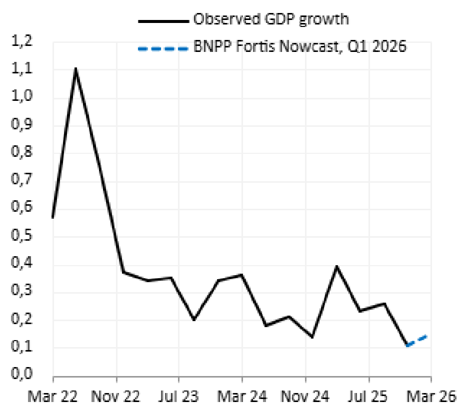
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry. The decline in consumer confidence in March is not expected to weigh on Q1 GDP, but rather on Q2.

Business sentiment at its lowest level in 10 months and the cooling down of the labor market have led to a downward revision of our nowcast for Q1 Belgian GDP growth (from 0.3% to 0.15%). In parallel, business transactions (a proxy for activity levels) are trending down again since a couple of weeks.

Read the Nowcast methodology
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2,8	2,1	2,7	2,0	2,9	2,7	3,2	2,5
Japan	0,1	1,2	0,8	0,9	2,7	3,1	2,0	2,5
United Kingdom	1,1	1,3	0,6	-	2,5	3,4	3,6	3,3
Euro Area	0,9	1,5	1,6	1,6	2,4	2,1	1,9	2,3
Germany	-0,5	0,4	1,4	1,5	2,5	2,2	1,6	2,3
France	1,1	0,9	1,3	1,3	2,3	1,0	1,1	1,5
Italy	0,5	0,7	1,0	0,9	1,1	1,7	1,5	1,9
Spain	3,5	2,8	2,5	2,3	2,8	2,7	2,3	1,9
China	5,0	5,0	4.7	4.5	0,2	0,1	0,9	1,0
India*	7,1	7,6	7,0	6,8	4,6	2,1	4,1	4,3
Brazil	3,4	2,2	1,8	1,4	4,4	5,0	4,0	3,8

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 13 April 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %			2026			2027
End of period		Spot 17/04	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.24	4.35	4.45	4.50	-
Eurozone	deposit rate	2.00	2.25	2.75	2.75	-
	Bund 10y	2.93	3.00	3.05	3.10	-
	OAT 10y	3.51	3.65	3.80	3.87	-
	BTP 10y	3.68	3.58	3.70	3.75	-
	BONO 10y	3.39	3.42	3.50	3.55	-
UK	Base rate	3.75	-	-	-	-
	Gilts 10y	4.76	4.50	4.40	4.30	-
Japan	BoJ Rate	0.75	1.00	1.25	1.25	2.00
	JGB 10y	2.39	2.00	2.05	2.10	-

Exchange Rates			2026			2027
End of period		Spot 17/04	Q2	Q3	Q4	Q4
USD	EUR / USD	1.18	1.18	1.19	1.20	1.22
	USD / JPY	158	158	159	160	160
	GBP / USD	1.36	1.30	1.29	1.30	1.30
EUR	EUR / GBP	0.87	0.91	0.92	0.92	0.94
	EUR / JPY	186	186	189	192	195

Brent			2026			2027
Quarter Average		Spot 17/04	Q2	Q3	Q4	Q4
Brent	USD/bbl	91	57	63	63	73

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 20/04/2026

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We invite you to follow our EcoInsights analyses on the war in Iran.
The "Growth and Inflation" baseline scenarios will be fully updated in April.

UNITED STATES

The US economy is expected to grow above its potential pace in 2026, with an average annual growth rate of +2.7%, a yearly improvement (+2.1% in 2025). This apparent resilience to uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, supported by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). The inflation overshooting of the target is set to continue (+3.2% in 2026) until at least 2028 due to tariffs – although the impact of these appears to be less significant than expected – and the rise in oil prices. The labour market is experiencing a slowdown in both demand and supply, linked to a less dynamic economy than after the post-pandemic reopening due to the administration's immigration policy. The rebalancing of risks surrounding the Fed's dual mandate and its emphasis on the 'employment' component has triggered a new cycle of rate cuts. The FOMC implemented three rate cuts (-75 bps cumulative) in total in 2025, and we expect the Fed Funds target range to be held steady à 3,5% - 3,75% throughout 2026.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but weakened again in March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures will continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

After holding up well in 2025 (1.5%), growth is expected to strengthen in 2026 (+1.6%). It is expected to grow at a stable quarterly rate of 0.5% over the year. Favourable carryover effect would keep the average annual unchanged in 2027 (1.6%), despite a lower quarterly profile (+0.3% q/q). The roll-out of fiscal measures in Germany and the planned increase in military spending and AI-related investment in Europe, against a backdrop of labour market resilience, underpin this scenario. This momentum will nevertheless be undermined by the energy shock linked to developments in the Middle East, which leads us to revise our monetary policy scenario for 2026: the ECB would implement three successive rate hikes (June, July, September), bringing the deposit rate to 2.75%. In this context, this tightening would increase uncertainty regarding our growth outlook, without invalidating it at this stage.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3), driven by private consumption (+0.3% q/q), household investment (+1.1% q/q) and the exports of aeronautics. Inflation was quite low in 2025 (1%) and should not accelerate in 2026 (1.1%). In 2026, GDP growth should increase to 1.3%, driven by demand (business investment, exports, private consumption), after a lower performance in 2025 (0.9%).

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth easing to 0.6% after 1.4% in 2025. The energy shock linked to the war in Iran would generate renewed inflationary pressures, and instead of gradually converging back to target, inflation is projected to reach 3.6% a/a before declining only gradually to 3.3% a/a in 2027. In this context, and contrary to the previously expected monetary easing, we now anticipate a tightening of 50 basis points in 2026. Growth momentum would remain weak, with quarterly expansion averaging around +0.1%. Activity would be mainly supported by public spending, particularly through increased public investment; defense investment plans in the UK and across Europe are expected to provide some support to economic activity. Conversely, persistent labor market tightness, risks of de-anchoring of inflation expectations (and thus second-round inflationary effects), as well as deterioration in corporate conditions could weigh further on the outlook.

JAPAN

Japanese growth is expected to slightly exceed its potential level in 2026. In 2025, the average annual growth rate stood at +1.2% and is expected to slow to +0.8% in 2026, as fiscal policy should support activity while supply constraints and inflation temper it. Underlying inflation has exceeded the +2% y/y target since 2022. As a result, solid nominal wage increases, which are expected to continue in 2026, are proving insufficient to stem the decline in real incomes and support household demand. The level of public debt is contributing to bond pressure, illustrated by record 10-year and 30-year rates over more than two decades, probably reinforced by expansionary fiscal policy and the spacing of key rate hikes. In fact, in 2024, the Bank of Japan began a cycle of 'less accommodative' policy and the policy rate currently stands at +0.75% (previously negative). We expect the process to extend, including one hike in Q2 2026 +25pb), until a +2.0% terminal rate is reached at the end of 2027.

EXCHANGE RATES

We expect the dollar to continue depreciating against the euro. Structural changes in fiscal policy and the expected strengthening of growth in Europe, coupled with the slowdown in the United States, underpin our forecast of a gradual and moderate rise in the EUR/GBP exchange rate by the end of 2026 (1.20 in Q4 2026). Conversely, we anticipate a slight depreciation of the yen and the GBP against the dollar (USD/JPY 160 and GBP/USD 1.3 in Q4 2026).

CHART OF THE WEEK

15 April 2026

LATIN AMERICA: MORE EXPOSED TO INFLATIONARY PRESSURES THAN TO DISRUPTIONS IN HYDROCARBON SUPPLIES

Hélène Drouot

Insufficient refining capacity

Energy trade balance, % of GDP, 2025

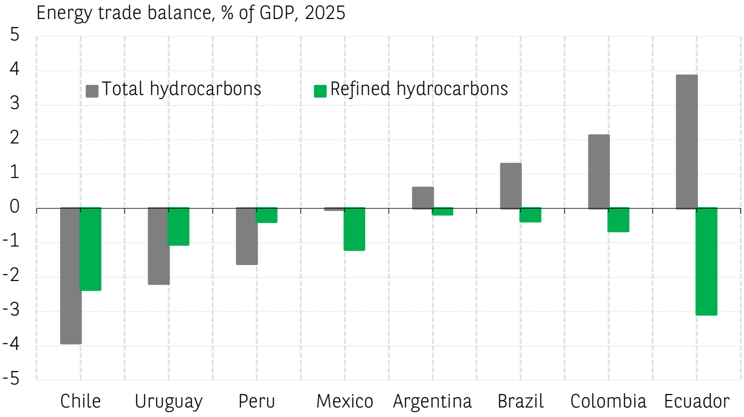

CHART 1

SOURCE: IMF, ITC, BNP PARIBAS

Signs of resilience: very moderate corrections in the foreign exchange market since the start of the conflict

Change against USD

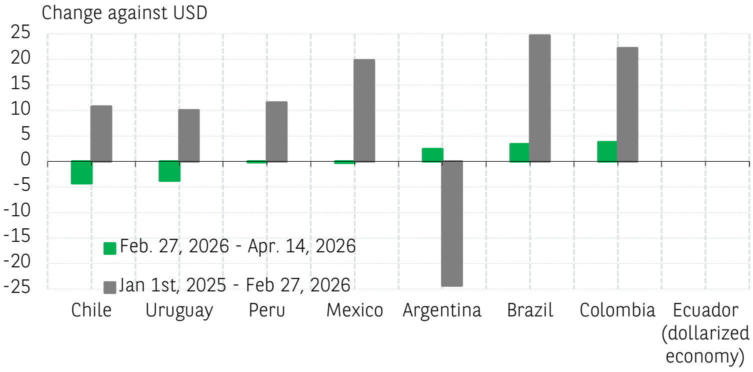

CHART 2

SOURCES : CENTRAL BANKS, BNP PARIBAS

Latin America is considerably less exposed than other emerging regions to the repercussions of the war in the Middle East. This is mainly due to its very low risk of hydrocarbon supply disruptions: the vast majority of imported hydrocarbons come from the United States and other countries in the region, with only a negligible portion coming from the Middle East. Furthermore, several countries are net exporters (Argentina, Brazil, Colombia and Ecuador (shown in grey in *Chart 1*)).

Due to this low level of vulnerability, the currencies of the main Latin American countries have reacted very little since the end of February (see *Chart 2*). The conflict in the Middle East has, admittedly, interrupted the trend of currency appreciation (against the USD) in countries that are net importers of hydrocarbons, a trend that has been observed since January 2025. However, these depreciations have remained very moderate, and the currencies of countries that are net exporters of hydrocarbons have even shown a slight appreciation as of 14 April.

However, refining capacity is limited, even in net hydrocarbon-exporting countries, which means that all the major countries in the region are therefore net importers of refined petroleum products (shown in green in *Chart 1*). Consequently, their balance of payments is exposed to fluctuations in the prices of refined hydrocarbons.

Net hydrocarbon importers, broadly defined to include Chile, Peru, Mexico, Uruguay and the Central American countries, are the most vulnerable, although exports of gold from Peru, crude oil from Mexico and copper from Chile will partially offset the impact of rising import prices. Chile and Uruguay have the largest energy deficits (-4% and -2.2% of GDP respectively). This largely explains why the Chilean and Uruguayan pesos have seen the sharpest depreciation against the USD since the start of the conflict, with declines of 4.3% and 3.8%, respectively. In the short term, however, the moderate levels of current account deficits will help to absorb the external shock.

Fiscal policy remains predominantly restrictive across Latin American countries. With the exception of Brazil, governments have generally opted to pass on the shock through price adjustments, indicative of limited room for manoeuvre and a desire to preserve the credibility of their economic policies. This stance is more a reflection of financing constraints than a matter of choice. In Chile and Colombia (although fiscal policy there is accommodative), existing mechanisms for controlling fuel prices were gradually phased out during March.

This decision implies a more significant transmission of the energy shock to domestic prices, the full effects of which are expected to materialise in Q2. Inflationary pressures were already evident in March, driven largely by the transport component, which accounts for nearly 15% of the total index on average across all countries in the region. This brings to an end the disinflationary trend observed since the second half of 2023 in Brazil, Chile, Mexico and Peru. On the monetary front, the easing cycle appears to have come to an end in Chile and Peru. In Mexico, the central bank has not ruled out a final rate cut, provided the situation in the Middle East stabilises, with the next meeting scheduled for 7 May. Brazil's central bank began its monetary easing in March, although it may proceed at a more gradual pace than initially anticipated. Finally, against a backdrop of ongoing inflation, Colombia stands out as the only major central bank in Latin America expected to raise its short-term interest rates.

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Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre
Chief editor: Isabelle Mateos y Lago

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EcoFlash

Elections in Hungary: a strong mandate to tackle economic challenges

In Hungary, Péter Magyar's pro-European centre-right party won a landslide victory in the general election held on 12 April. According to the latest official estimates, Tisza is reported to have secured a supermajority, which would give it significant room for manoeuvre to drive through institutional reforms. The new government will nevertheless face several challenges, including the release of European funds essential for revitalising the economy, and the consolidation of public finances. Meanwhile, the partnership with China in the field of electric mobility remains a priority.

A supermajority for Péter Magyar's new government?

In the general election held on 12 April, Péter Magyar, the leader of Tisza – a centre-right, pro-European party– won a landslide victory. According to the latest figures, he is reported to have secured 137 of the 199 seats in Parliament[1]. These elections bring to an end the 16-year rule of Viktor Orbán's government[2], led by Fidesz. The Fidesz-KDNP alliance, which came in second with 56 seats, is followed at a considerable distance by Mi Hazánk, the far-right party, which holds six seats. The record voter turnout of 79.6% (compared to 69.6% in 2022) reflects the high stakes of the election. The new government is expected to take office within a month for a four-year term.

This is the ideal scenario for Péter Magyar's future government. Viktor Orbán conceded defeat on election night, thereby removing any uncertainty regarding the outcome of the vote. Currently, all indications point to Tisza having secured a supermajority in Parliament. If this is confirmed next Saturday, this comfortable majority will mark a decisive turning point for Hungary. A supermajority is, in fact, essential for any constitutional change and gives the future government the necessary leeway to implement economic and institutional reforms. It is worth noting that Hungary currently ranks at the lowest position among Central European countries in terms of governance[3].

Significant yet manageable economic challenges

- **Towards a gradual release of European funds.** On the economic front, Tisza's decisive victory and its future commitment to institutional reforms should pave the way, in the coming months, for the release of European funds (EUR19 billion, or around 8.8% of GDP).
- **A tight schedule.** The transfer of European funds, particularly those linked to recovery and resilience (EUR 10.4 billion allocated, 4.8% of GDP), must be completed by 31 December 2026, with all milestones needing to be met by 31 August 2026. To date, 91.3% of the funds earmarked for Hungary are still awaiting transfer and could be permanently forfeited if the reforms are not approved in time. By comparison, other countries in the region have already used up around half of the recovery and resilience funds.
- **A flagging economy in need of a boost.** Péter Magyar's forthcoming government is counting on these resources to revive investment, which has been in sharp decline since 2022, and to support growth. It inherits a faltering economy (following several years of sluggish growth) which must also contend with the repercussions of the conflict in the Middle East. Inflation began to rise again in March (+1.8% y/y compared with 1.4% in February) and is expected to accelerate further in the coming months, although the government's cap on fuel prices and tax cuts should help to contain inflationary pressures.
- **The incoming government has pledged to consolidate public finances.** The release of European funds is expected to provide some relief for public finances. However, public spending is not expected to fall significantly in the short term under Péter Magyar's government. His priorities are healthcare, education and maintaining generous social welfare measures. In 2026, the budget deficit could remain close to 5% of GDP. The public debt-to-GDP ratio (74.6% in 2025) is the highest in Central Europe and is expected to rise further in the short term. This deterioration in public finances could act as a brake on the future government's ambitious economic programme.

  The government is expected to uphold its commitment to consolidating public finances in the medium term in order to comply with the fiscal rules set for 2030, in line with its election manifesto and with the aim of joining the eurozone. This commitment should help reduce investors' perception of sovereign risk and enable government bond yields (currently among the highest in Central Europe) to fall.

Maintaining the partnership with China

For several years, Hungary has successfully attracted foreign direct investment (inbound FDI: EUR6.8 billion, 3.2% of GDP in 2025), much of which is directed towards the automotive sector. The country is one of the main recipients of Chinese investment in the automotive sector in the region, and it is anticipated that China will continue to be a key partner for Hungary. The national strategy for electric mobility is not expected to change in the medium term. On the contrary, the war in the Middle East is likely to reinforce this strategic positioning. It should be noted that a Chinese BYD factory, focused on electric cars, is expected to become operational in 2026.

Normalisation of relations with the EU

Tisza's victory is likely to facilitate the normalisation of Hungary's relations with the EU and pave the way for the release of the EUR90 billion European loan intended for Ukraine, which Viktor Orbán's government had vetoed.

The dependence on Russian hydrocarbons is set to continue in the short term. Economic ties between Russia and Hungary are expected to remain strong in the short term, particularly in the energy sector. Currently, 80.3% of oil and 77.3% of gas comes from Russia. However, Peter Magyar's election manifesto aims to reduce dependence on Russian energy supplies by 2035. However, the ongoing conflict in the Middle East may prolong this transition.

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[1] The number of seats required for a supermajority is 133. By way of comparison, in 2022, Fidesz, Viktor Orbán's party, won a supermajority with 135 seats. The final results will be announced on Saturday.
[2] Election results as of 2:58 pm on 14 April, according to the National Election Office.
[3] Transparency International's Corruption Perceptions Index ranks Hungary at the bottom of the table alongside Bulgaria.

ECOINSIGHT

Issue 26.17
10 April 2026

IN THE FACE OF AGEING POPULATION, EUROZONE ECONOMIES APPEAR TO BE THE MOST VULNERABLE

Koen De Leus

Most developed countries are ageing rapidly. According to the United Nations population database, the proportion of people aged 65 and over in the group of "more developed countries[1]" is projected to rise from 21.5% in 2026 to 32.3% by 2100. There are however significant differences between countries. In Japan, for example, over 30.5% of the population is already over 65. By the end of the century, this figure is expected to stabilise at around 39%. In countries with a more favourable ageing profile, such as the United States, the share is projected to increase from 19% to 30.5%.

Such increases pose a threat to social security systems. Without any specific reforms, pension and healthcare spending will rise while contributions from the shrinking working-age population will decline.

Which countries are financially most vulnerable to ageing? We analysed this question for 16 developed countries using five ratios in our ageing vulnerability index[2].

The Anglo-Saxon countries together with the Scandinavian countries Sweden and Denmark perform best in the overall ranking. The most vulnerable countries are all European, with rapidly ageing Spain and Italy ranking lowest.

1 These include all European countries, North America, Australia and New Zealand, and Japan.

2 The five ratios are: net government debt as a percentage of GDP; government revenues as a percentage of GDP; the increase in the dependency ratio (25–65 / 0–25 & 65+) during the period 2026–2050; the current share of public pensions (old-age and survivors' pensions) in total pensions; and the net present value of additional government spending on pensions and healthcare between 2024 and 2050 as a percentage of GDP. The final ranking takes into account the average score on the five different ratios. Source: De Leus, Koen & Gijsels, Philippe (2024), The New World Economy in Five Trends, Uitgeverij Lannoo.

IMF AGEING VULNERABILITY INDEX, 2026 UPDATE

Countries based on their vulnerability to aging: green=low orange=moderate red=high	Average Score ******	Net debt (% GDP)*	General government revenues (% GDP)**	Dependency ratio increase (0-25 & 65+/25-65) 2026-2050 (% points)***	Share public pensions (old age and survivors) /total pension income (%)****	NPV extra pension & health spending 2024-50 (% GDP)*****
Australia	78.75	32.4	36.3	10.4%	49.8%	37.5
Sweden	75	14.2	47.0	2.1%	84.0%	3.6
Canada	73.75	14.1	42.1	9.6%	62.5%	46.1
Denmark	68.75	-4.3	50.0	8.9%	82.3%	27.2
Ireland	67.5	24.4	23.4	18.2%	79.1%	43.8
United Kingdom	65	95.9	40.2	6.5%	71.8%	49
United States	62.5	103.0	30.1	5.4%	55.6%	114.3
Netherlands	56.25	37.3	43.5	12.4%	70.5%	61.8
Japan	45	128.9	37.2	27.0%	77.9%	59.9
Germany	43.75	50.7	48.0	24.1%	94.3%	41.8
Norway	43.75	-168.3	59.7	14.2%	90.2%	72.8
France	40	111.3	51.7	8.9%	98.2%	27.6
Portugal	35	82.6	44.1	37.5%	97.6%	61.6
Belgium	33.75	97.7	49.6	11.8%	91.1%	78
Italy	33.75	128.6	47.1	41.4%	95.3%	34.7
Spain	27.5	84.6	42.6	51.9%	97.9%	82.9

* Net debt: General Government, IMF estimate (WEO database);
** General Governement Revenues: IMF estimate (WEO database);
*** Dependency ratio increase (0-25 & 65+/25-65) over 2026-2050: United Nations, World Population Prospects 2024, medium variant;
**** Share public pensions (old age and survivors) in total pension income: OECD Social Expenditures;
***** NPV: IMF fiscal Monitor Oct 2025;
****** Average score.

TABLE

SOURCE: IMF, UNITED NATIONS, OECD, DE LEUS KOEN & GIJSELS PHILIPPE (2024), THE NEW WORLD ECONOMY IN FIVE TRENDS, UITGEVERIJ LANNOO

Assessing vulnerability to ageing

Looking at the different ratios, we observe the following:

- **Net government debt (as a percentage of GDP)**: In many countries, government debt is at its highest peacetime level, or close to it. This leaves little room to absorb the additional costs of an ageing population. Japan and Italy top the ranking, at 129% of GDP.

- **Tax revenues (as a percentage of GDP)**: Raising tax revenues to finance the rising costs of an ageing population is no longer a viable option in many countries. Several European countries already have government revenues around 50% of GDP, including Denmark (50%), Belgium (50%), France (51.7%) and Norway (59.7%). However, this is not an issue for Norway, as its net government debt is negative (its financial assets, thanks to its massive oil fund, exceed its liabilities). In the Anglo-Saxon countries and Japan, the percentage is around 40% or less. These countries still have some room to increase government revenues.

- **Increase in the dependency ratio**: The more people paying taxes, the more sustainable the social security system. However, the dependency ratio — the proportion of people aged 0–25 and 65+ compared to those aged 25–64 — is set to rise sharply in Europe in the coming decades, particularly in Southern European countries. Spain is the negative outlier, with an expected increase of 52% by 2050. In Italy and Portugal, the increase will be 41.4% and 37.5% respectively. The countries faring best are the Anglo-Saxon countries, where ageing is less rapid, and most Scandinavian countries.

- **Share of public pensions in total pensions**: The rising dependency ratio is making it increasingly difficult to finance public pensions through social security contributions. Besides, in countries where the dependency ratio is rising most sharply, public pensions (i.e. old-age and survivors' pensions) account for 90% or more of total pension income. Such high dependence on public pensions makes altering these schemes politically very sensitive. Once again, Anglo-Saxon countries fare better thanks to their well-developed occupational pension systems. In the United Kingdom, this second pillar accounts for 28%; in Canada, the United States and Australia, the figures are 37.5%, 44.4% and 50.2%, respectively. On the European mainland, only the Netherlands (29.5%) has followed this example.

- **Net present value of additional government spending on pensions and healthcare between 2024 and 2050**: The United States stands out here. The net present value of additional social security spending over the period 2024–2050 would double US public debt without reforms. However, many European countries are also facing substantial increases in spending on pensions and healthcare.

Healthcare costs driving future spending

Notably, in three quarters of all countries, the majority of additional social security spending relates to healthcare. These costs are particularly difficult to contain. Since 2000, pension benefits have already been significantly adjusted in most countries. Older generations in Europe receive roughly twice as much in lifetime benefits as they contributed during their working lives. Reforms introduced after the 2008 Global Financial Crisis reduced the ratio of benefits to contributions for younger generations to around 1.5. This addressed roughly half of the problem. However, more recent reforms in many countries have once again pushed the bill higher.

***

In summary, Southern European countries, as well as Belgium and France, stand out as those where public finances appear most vulnerable to population ageing. The main reasons are: high initial public debt levels, which limit future fiscal manoeuvring room, and an under-representation of complementary defined-contribution plan (pension funds, etc.) which means that the system relies heavily on public funds. It should be noted that some countries stand out positively thanks to a low net present value of uncovered social liabilities (pensions, healthcare). However, this criterion can be quite volatile depending on the discount rate used.

Koen De Leus

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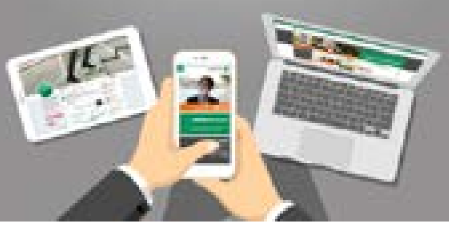

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DEMAND SHOULD CONTRIBUTE LESS TO INFLATION IN 2026 THAN IN 2022 IN THE EUROZONE AND THE UNITED STATES

Stéphane Colliac

Will a different situation lead to different outcomes? In other words, will the combination of weaker demand and more moderate supply constraints in 2026, as compared to 2022, help to limit the rise in inflation? Having illustrated the impact of the energy shock caused by the war in the Middle East on six key variables in the Eurozone (see here), we now move on to a new comparison between these two dates, this time focusing on the relative levels of supply and demand issues. In the Eurozone, weaker demand has resulted in a more pronounced decline in inflation, unlike in the United States, where both demand and inflation have remained more sustained. In both regions, business climate surveys have recently shown a deterioration in some supply-side indicators (input prices), while demand indicators have not weakened yet. This asymmetry is likely to push inflation upwards in the coming months, albeit to a lesser extent than in 2022.

In the Eurozone, demand constraints are limiting the production, but supply constraints remain significant

PERCENTAGE OF BUSINESSES FACING DEMAND OR SUPPLY FACTORS LIMITING THEIR PRODUCTION

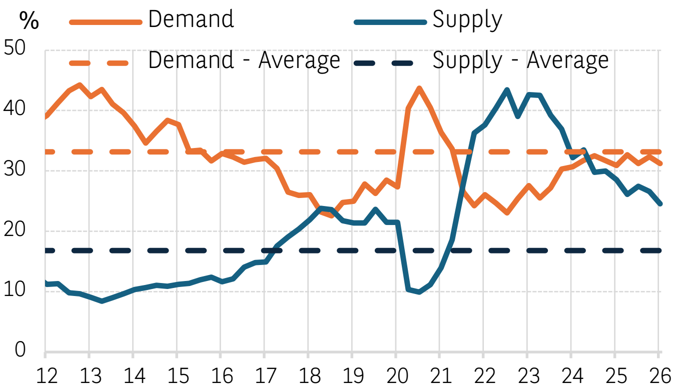

CHART 1

SOURCE: DG ECFIN, BNP PARIBAS

In the US, demand is contributing a bit more to inflation

DEMAND AND SUPPLY CONTRIBUTIONS TO PCE INFLATION

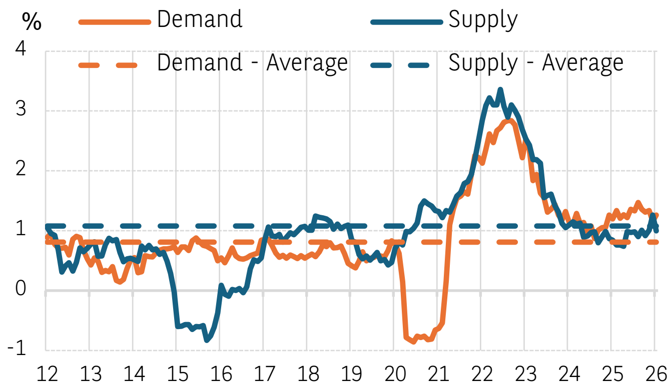

CHART 2

SOURCE: BEA, BNP PARIBAS

In the Eurozone, demand is exerting a downward pressure on inflation, unlike in 2022. The European Commission's survey shows to which extent supply constraints (such as shortages of inputs or labour, which drive inflation upwards) or demand constraints (which limit inflation) are affecting business output. The increase in supply constraints and the decrease in demand constraints, typical of the post-Covid period, were two factors that contributed to the acceleration of inflation at the time (10.6% y/y at its peak in October 2022). The level of these constraints in January 2026 allows for cautious optimism (*see Chart 1*). The lack of demand has exerted a greater influence than supply since mid-2024, while supply-side constraints have continued to ease. This trend has allowed inflation to return to the ECB's 2% target. However, it has not fallen below this target, as supply constraints, despite their reduction, remain significantly higher than the historical average. Furthermore, while harmonised inflation rose by 0.6 percentage points to 2.5% year-on-year in March (at this stage, only due to the rise in fuel prices), the conflict in Iran could well trigger a resurgence of these constraints, as indicated by the rise in input price indices in business climate surveys. These same surveys do not currently indicate that these pressures are being passed on to selling prices by the end of Q2, but this may occur in the longer term, which would then suggest a rebound in core inflation.

In the United States, demand plays a more significant role in inflation, but less so than in 2022. In the absence of a survey similar to that conducted by the European Commission, we use a different method to compare the impact of supply and demand (*see Chart 2*): we examine the direct contributions of supply and demand to inflation dynamics based on a breakdown between these two factors, as provided by the Bureau of Economic Analysis (using a methodology developed by A. Shapiro from the San Francisco Fed). Although significantly lower than in 2022, the contribution of supply to inflation is not negligible and plays roughly the same role as in 2018–19. These constraints even appear to have increased slightly since the Trump administration's tariff hikes and are likely to rise further with the recent rebound in input prices and delivery times. The contribution of demand to inflation continues to be more substantial, reflecting the resilience of consumption (and its post-Covid outperformance; see our analysis). However, this momentum has been moderating in recent months, against a backdrop of a deteriorating labour market.

Inflation is expected to rise due to increased supply constraints, before easing. In both regions, the war in Iran is likely to trigger a resurgence in supply constraints, although probably less than in 2022. Nevertheless, these constraints are expected to push inflation higher, while the negative effects of the conflict on demand would take longer to materialise, as would their disinflationary effects.

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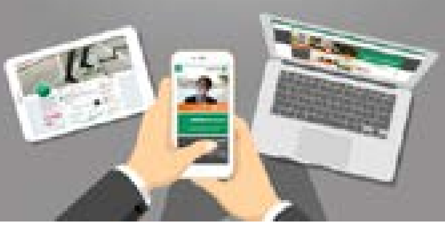

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre
Chief editor: Isabelle Mateos y Lago

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